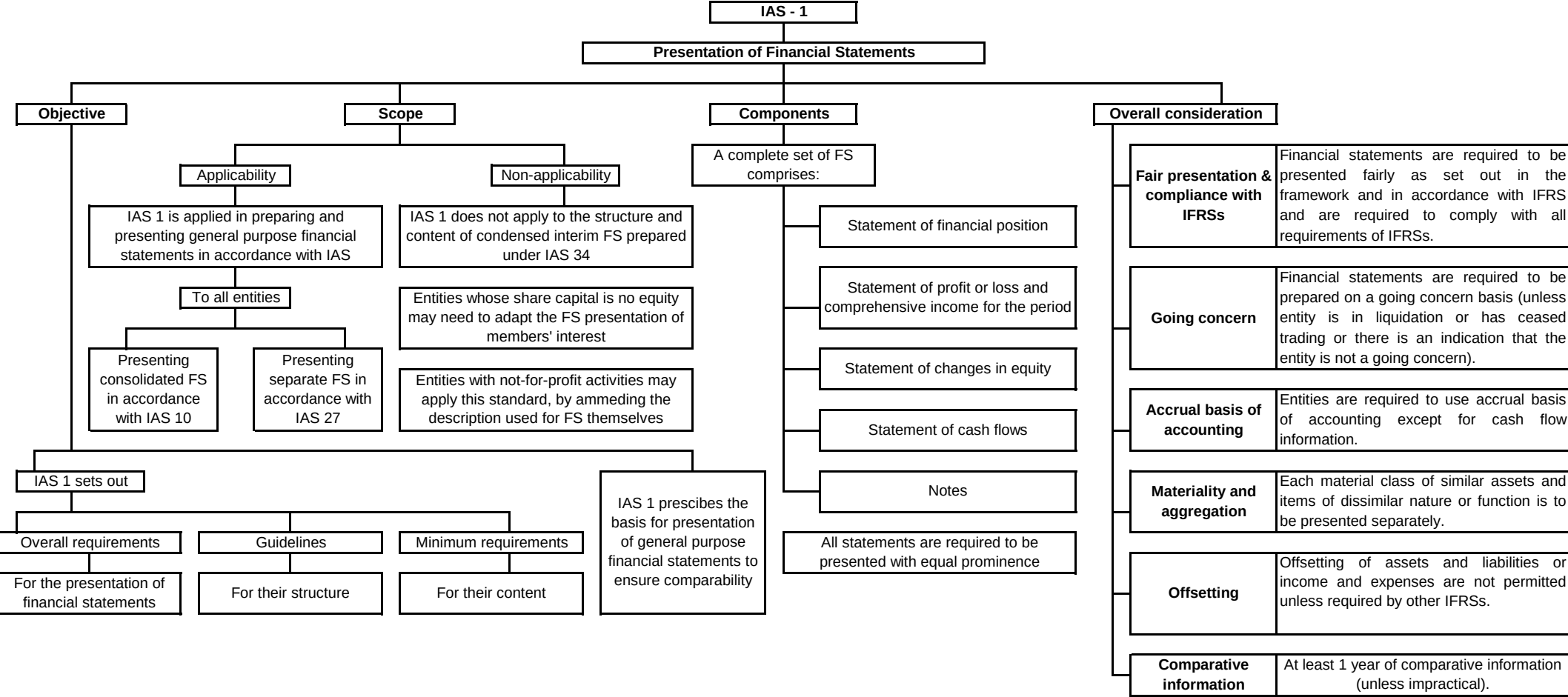


Corporate reporting
Chapterwise summary

Chapter	Topic	Related IAS/IFRS	Related ISA	Page
Principles and Regulations in Corporate Reporting and Auditing				
1	Introduction			
2	Principles of corporate reporting			
Ethics and Governance				
3	Ethics			
4	Corporate governance			
The Modern Audit Process				
5	The statutory audit: planning and risk assessment			
6	The statutory audit: audit evidence			
7	The statutory audit: evaluating and testing internal controls			
8	The statutory audit: finalisation, review and reporting			
Reporting Performance				
9	Reporting financial performance	IAS - 01, 24, 34 IFRS - 01, 05, 08, 14		
10	Reporting revenue	IFRS - 15		
11	Earnings per share	IAS - 33		
Assets and Liabilities				
12	Reporting of assets	IAS - 02, 16, 36, 38, 40, 41, IFRS - 04, 06		
13	Reporting of non-financial liabilities	IAS - 10, 37		
Financing				
14	Leases, government grants and borrowing costs	IFRS - 15, 16 IAS - 07, 20, 23		
15	Financial instruments: presentation and disclosure	IFRS - 07, 09 IAS - 32		
16	Financial instruments: recognition and measurement	IFRS - 09, 13 IAS - 39		
17	Financial instruments: hedge accounting	IFRS - 09		
Remuneration				
18	Employee benefits	IAS 19, IAS 26		
19	Share-based payment	IFRS 2, IAS 24		
Business Combinations				
20	Groups: types of investment and business combination			
Reporting Foreign Activities				
21	Foreign currency translation and hyperinflation	IAS - 21, IAS 29		
Taxation				
22	Income taxes	IAS - 12		
Financial Statement Analysis				
23	Financial statement analysis 1			
24	Financial statement analysis 2			
25	Assurance and related services			
26	Environmental and social considerations			
27	Internal auditing			

IAS - 1: Presentation of Financial Statements



Audit issue

This standard requires management to make assessment of an entity's ability to continue as a going concern. Should there be any indication of material uncertainties regarding the ability of the entity to continue as a going concern IAS 1 requires adequate disclosures.

Audit issue or risk regarding going concern problem

- Management may use inappropriate basis of preparing the financial statements
- Assets and liabilities may be misclassified as noncurrent when they should be classified as current in a situation where the entity will be liquidating its assets.
- There may be inadequate disclosure in the account regarding the going concern uncertainty

ISA 570 summarizes the main responsibilities of both management and auditor regarding going concern. The going concern assumption is a fundamental principle. Readers of the financial statements would assume the entity is viable unless it is clearly stated otherwise:

Responsibilities of management	Responsibilities of Auditor
- Management should assess the entity's ability to continue as a going concern - Management should use the correct basis of presentation e.g. where the entity is no more a going concern, alternative basis of presentation should be adopted E.g. break-up basis. - Adequate disclosure should be made in the notes to the account regarding any uncertainty in the going concern of the entity.	-The auditor should obtain sufficient, appropriate evidence about the appropriateness of management's use of the going concern assumption in preparing the financial statement. - Based on the evidence collected, the auditor should conclude whether there is a material uncertainty about the entity's ability to continue as a going concern. - Auditor should determine the implication on the auditor's report. If there is material uncertainty on the entity's ability to continue as a going concern and this has been duly disclosed by the management, there will be no need to qualify the auditor's opinion, otherwise qualified opinion will need to be issued. - The auditor shall remain alert throughout the audit for audit evidence of events or condition that may cast significant doubt on the entity's ability to continue as a going concern.

The following range of indicators may be used by both the auditor and the management in making assessment of going concern:

Financial indicators: Analytically compare key financial ratios. Any adverse movement could indicate going concern problem e.g. drop in profit margin, decrease in interest over, decrease in current ratio.

Operating indicators: The following factors could indicate going concern problem:

Inability to obtain finance to fund operation or invest in new projects/ Emergence of a successful competitor/ Inability to renew operating license/ Loss making, this is because losses deplete owners' capital and reserves / High gearing/ Reliance on overdraft facilities./ Unusual increase in inventory level or insufficient inventory level/ Selling of non-current assets in order to raise capital for the business/ Over-trading/ Loss of key customer and key staff/ Impairment of assets/ Debts going bad etc.

Audit procedures on going concern

If the auditor becomes aware of factor of uncertainty casting significant doubt on the entity's ability to continue as a going concern, the auditor must carry out further procedure to obtain sufficient evidence. The following specific procedures may be helpful:

- The auditor should evaluate management's future plan to sustain the entity's going concern. E.g. management's plan for the expansion of its business or invest in new projects.
- The auditor should consider the availability and sufficiency of finance available to fund any future business expansion or new projects.
- The auditor should obtain direct confirmation from the entity's bank on its readiness to provide the needed finance for the entity.
- The auditor should assess the viability of management's plan e.g. by assessing the market research report.
- The auditor should evaluate management's cash flow forecast to determine if the underlying assumptions are reasonable
- Auditor should obtain written representations from management regarding its plan for future and the feasibility of the plan.

Implication of going concern on audit opinion

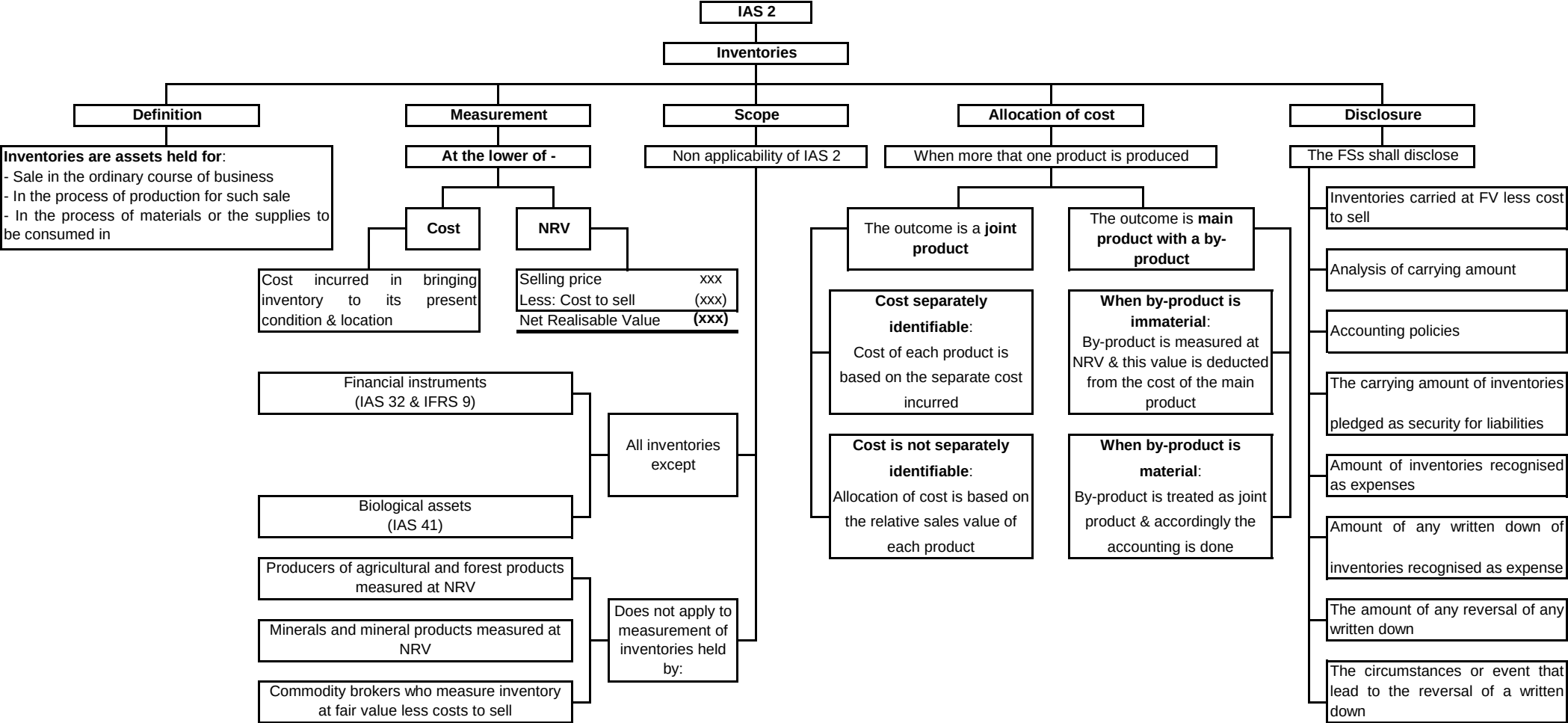
-Where the auditor considers that there is significant level of concern about the ability of the entity to continue but do not disagree with management's use of the going concern assumption in preparing the financial statements, an unqualified opinion will be issued provided it is adequately disclosed in the notes to the account. The auditor's report would include a going concern uncertainty paragraph to draw readers' attention to the note.

- If the use of the going concern is appropriate but there is material uncertainty on the going concern and required disclosures are inadequate the auditor would issue a qualified or adverse opinion depending on the pervasiveness of the uncertainty to financial statements.

- If the auditor disagrees with the basis of preparation, an adverse opinion will be issued because it is pervasive to the financial statements.

- Where the accounts have been prepared on an alternative basis, e.g. break up basis, and the disclosure to this effect is considered not adequate, the auditor's report would need to be modified on the ground of inadequate disclosure.

- If there is clear indication that the entity will be liquidating its assets and there is no adequate disclosure, regardless of the basis of preparation of the financial statements, an adverse audit opinion should be expressed. The use of the "except for" qualification or disclaimer of opinion would be grossly inappropriate in this situation.



Audit issue

IAS 2 requires that inventory should be valued at the lower of cost and net realizable value. The method used in allocating costs to inventory needs to be selected with a view to providing the fairest possible approximation to the expenditure actually incurred in bringing the inventory to its present location.

- It is permitted to value inventory at market price at year end only if the rate of turnover and fluctuations in the market price is very high, but this is a departure from IAS 2 and as such needs to be adequately explained and justified in the financial statement.
- LIFO is not acceptable method of valuing inventory under IAS 2.
- Base inventory valuation is not acceptable.
- Selling price less gross profit margin is an acceptable method of approximating to cost of inventory.

Inventory valuation- matters to consider for audit

Cut-off: Inventory will be undervalued or overvalued if cut-off has not been appropriately applied.

Counting: Inventory will be undervalued if not all inventory items have been included in count.

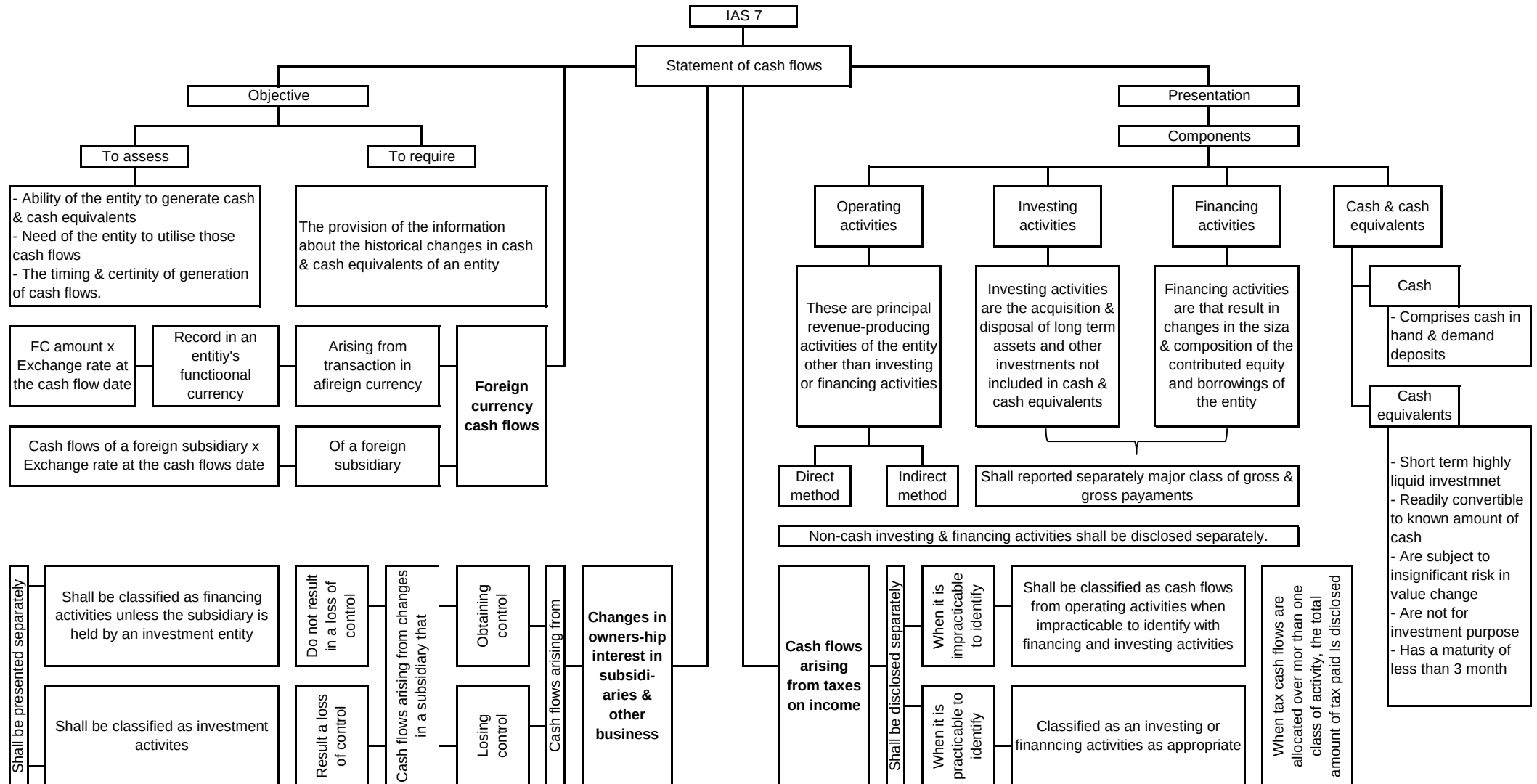
Inventory will be undervalued or overvalued if the valuation methods are incorrect

Audit Procedures to carryout

Obtain inventory counting instructions in place and review to make an assessment of their adequacy.

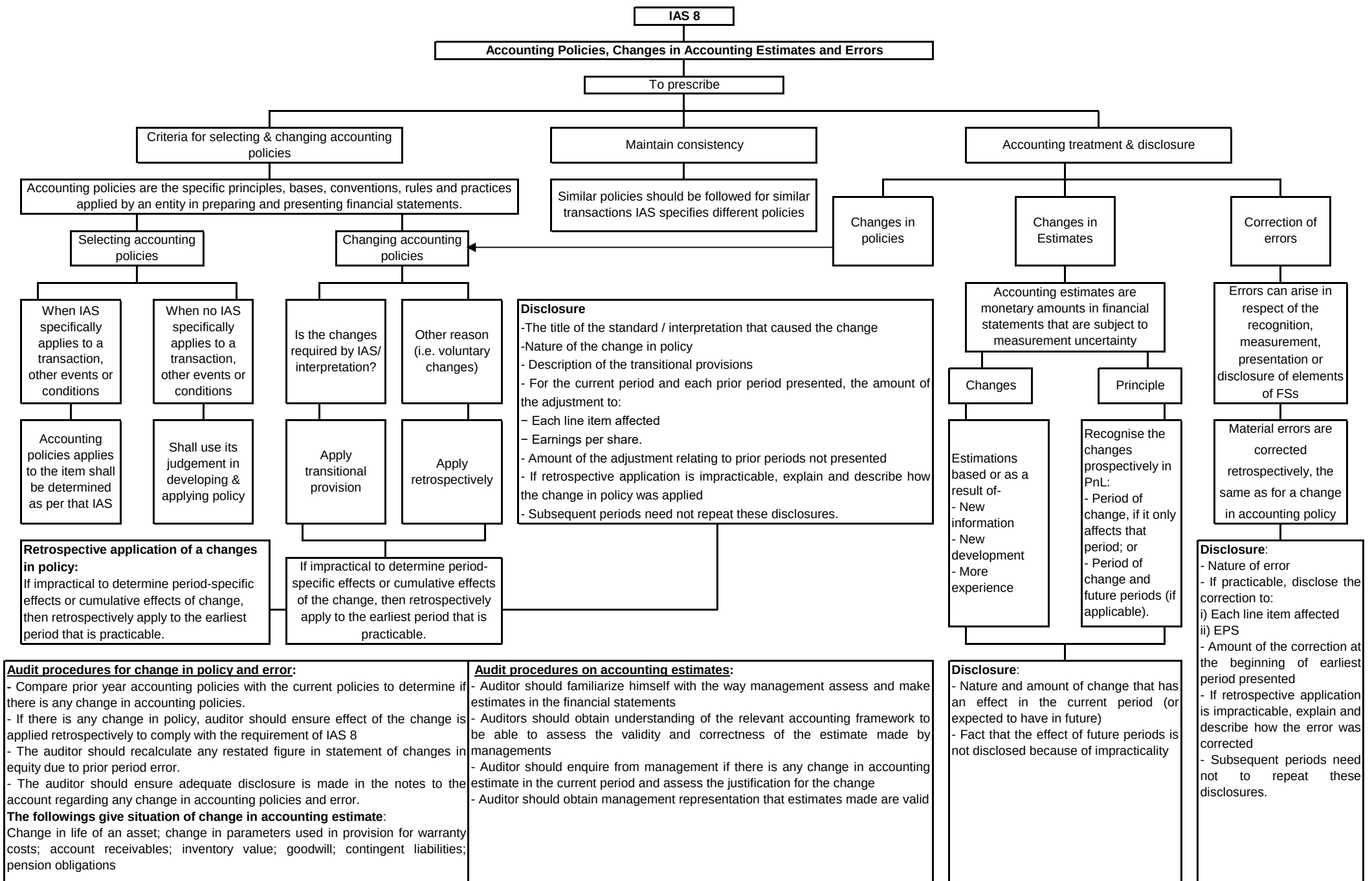
- Perform analytical procedures, any unexpected result should be discussed with appropriate staff
- Discuss scrap and wastage policy with the concerned staffs.
- Examine details of scrap and discuss reasonability of figures with appropriate staff
- Agree cost to purchase invoice to confirm valuation
- Check sales invoices immediately after the year end and compare to the cost of inventory to confirm the net realizable value is not lower.
- Test cut-off is correct by tracing the last goods delivery notes and dispatch notes to the invoices.
- Recast additions on inventory sheets to verify accuracy.

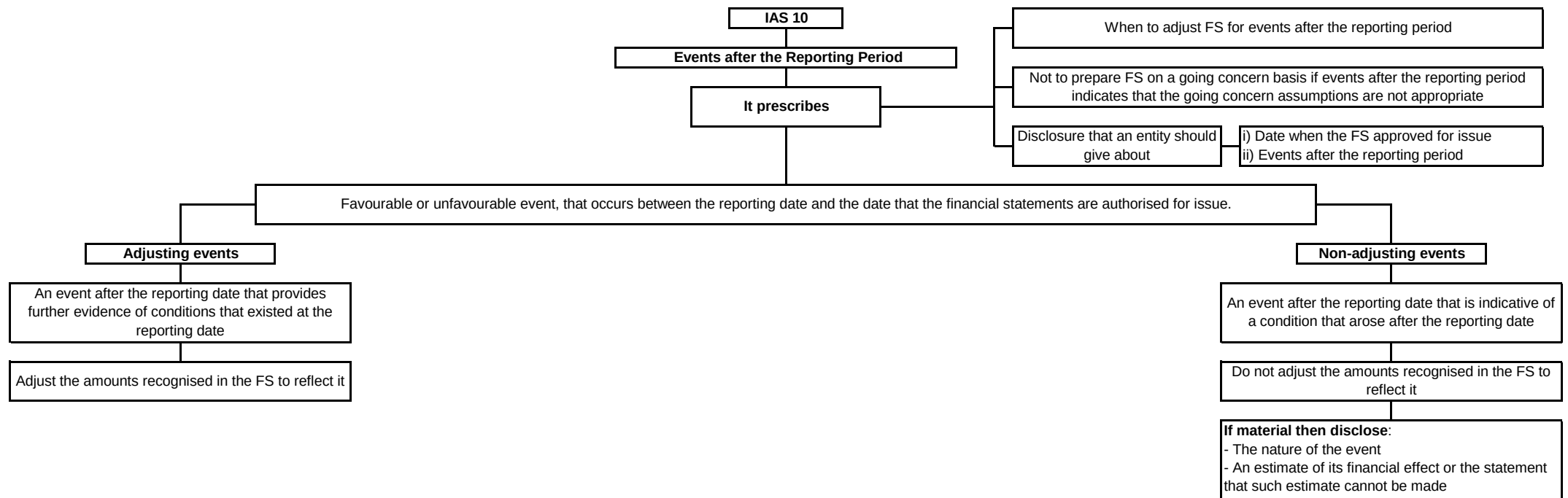
IAS - 7: Statement of Cash flows



Point to note:

- Received or paid interest and dividends are disclosed separately and can be classified as operating, investing or financing, based on their nature and as long as they are consistently treated from period to period.
- Equity investments are excluded from cash equivalents
- Cash flows denominated in a foreign currency are reported in a manner consistent with IAS 21
- Unrealised gains/losses arising from changes in foreign currency exchange rate are not cash flows
- When tax cash flows are allocated over more than one class of activity, the total amount of taxed paid is need to be disclosed
- Disclose, together with a commentary by management, the amount of significant cash & cash equivalent balances held and are not available for use by the entity.
- Cash payments made by lessees for the reduction of lease liability are financing activities.





Auditor's concern:

The auditor needs to consider whether the events have been properly accounted for in accordance with the requirements of IAS 10 Events after the reporting date

Audit risk with IAS 10:

- Lack of disclosure or inadequate disclosure of non-adjusting events
- Non adjustment of necessary adjustments required for adjusting events as required by IAS 10

Audit procedure to get evidence of subsequent events:

- Discuss with management on the need to make adjustments for adjusting events
- Review any adjustments made in the financial statements to ensure adequacy
- Review disclosure made in respect of non-adjusting events to ensure IAS 10 complied with.
- For a sample of sales invoices immediately after the year end, compare invoice value with purchase cost to get evidence of impairment.
- Review correspondences with client lawyer to get further information on pending cases at year end.
- Enquire from management of any out-of-court settlement being negotiated

Audit procedures for restructuring cost discovered after the year end (Non-adjusting event):

- Verify that management has included a note disclosing this event in the FS as required by IAS 10
- Agree the estimated cost of the restructuring to related calculations and supporting documentation
- Review the details of the announcement made on the restructuring and agree the details to the disclosures made in the FS.
- Review board's minutes for details of the plan and verify that it has been approved by the board

Events occurring between date of the financial statement and the date of auditor's report: In this period

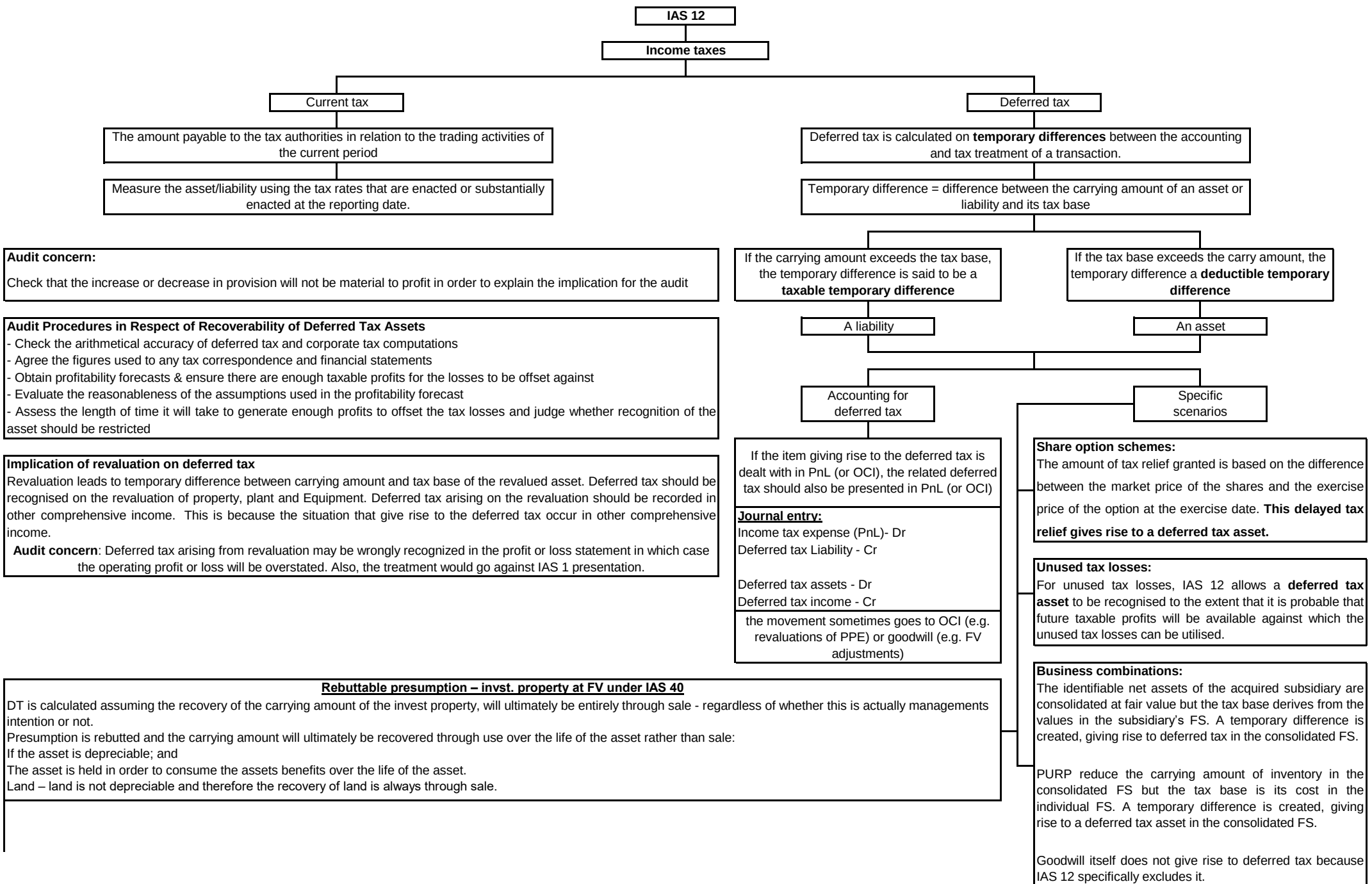
- The auditor has an active duty to perform procedures to identify any subsequent events.
- The auditor should perform procedures to identify events that might require adjustment or disclosure in the year-end FS.
- The auditor should consider the impact on the audit reports and whether modification is necessary to the audit report

Events occurring after the date of auditor's report but before the financial statements are issued: In this period

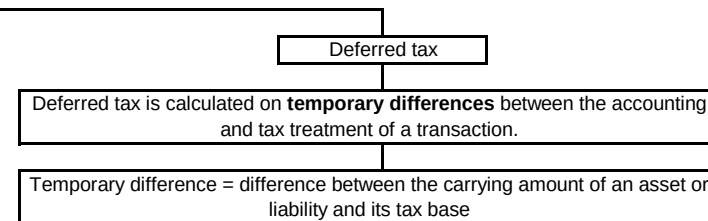
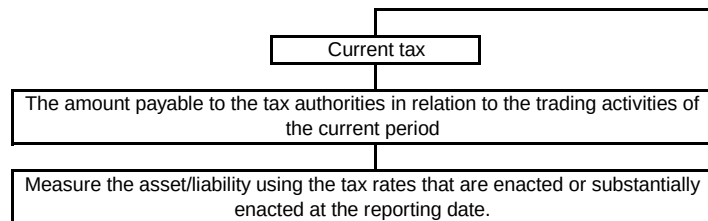
- The auditor has a passive duty
- The auditor does not have a duty to search for evidence of events after reporting period. If the auditor becomes aware of information which might have led him to give a different audit opinion, he should disclose the matter to the directors.
 - amend the account to allow for the subsequent event
 - should review any amendment made by management
 - should re-issue the audit report

Events discovered after the financial statements are issued:

- Auditors have no obligations to perform procedures after the FS have been issued
- If the auditor becomes aware of a situation that if he had known at the date of the FS would have caused the auditor to give alternative audit opinion, the auditor should carry out the following procedures:
 - Discuss the matter with management
 - Discuss the need to amend the financial statements with management
 - On management's revision of the financial statements, the auditor should carry out further procedures:
 - Ensure management has taken necessary measure to prevent reliance on the previously issued FS
 - Issue new auditor's report



IAS 12
Income taxes



Deferred tax on Share Based Payment (SBP)

Equity-settled transaction

Estimated
future
tax
deduction

Greater
than

Smaller
than

Cumulative
remuneration
expense

Cumulative
remuneration
expense

The tax benefit
is recorded in
profit or loss
up to the amount
of the cumulative
expense

The excess over
the cumulative
expense
is recorded
in equity

The tax benefit is
recorded in profit
or loss

Cash-settled transaction

Estimated
future tax
deduction

All

Recorded in
profit or loss

The deferred tax asset temporary difference is measured as:

Carrying amount of share-based payment expense	X
Less tax base of share-based payment expense	(X)
Temporary difference	(X)

Journal:

Deferred tax assets - Dr.
Deferred tax income - Cr.

A temporary differences can be -

Taxable temporary difference

(i.e, tax will be imposed in future)

Journal entry:

Deferred tax expenses - Dr
Deferred tax Liability - Cr

Deductible temporary difference

(i.e, tax burden will be reduced due to allowing tax credit)

Journal entry:

Deferred tax assets - Dr
Deferred tax income - Cr

Computation of temporary differences

Assets

Liabilities

Carrying value of assets as per FS	X		Carrying value of liabilities as per FS	X
Carrying value of assets as per tax	(X)		Carrying value of liabilities as per tax	(X)
Temporary difference	X	or = Taxable	Temporary difference	(X) or
	(X)	= Deductible		X

Deferred tax on carried forwarded business losses:

A Deferred Tax Asset (DTA) may be recognised only if it is probable (≥50% likelihood) that future taxable profit will be available within the next 6 years to utilize the loss:

Scenario

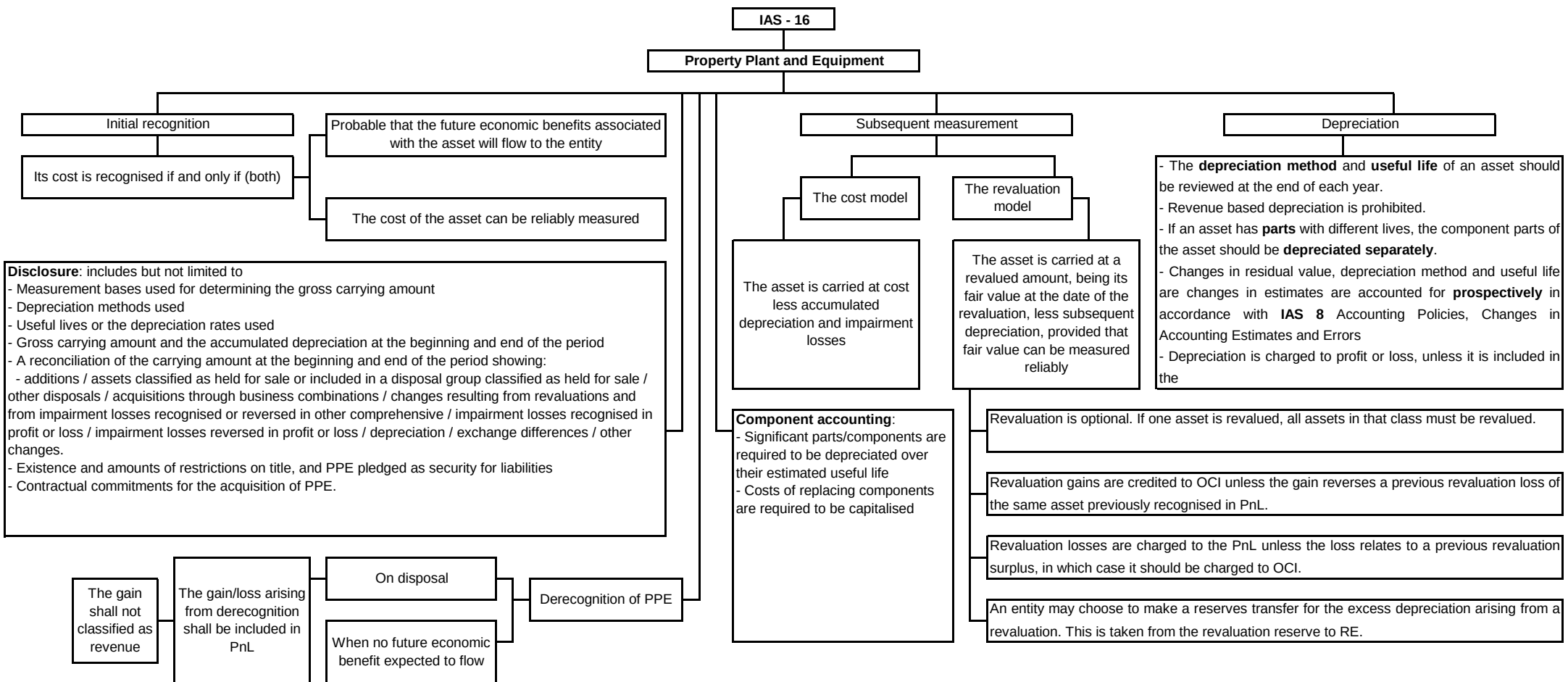
Journal entry

i) Recognise DTA

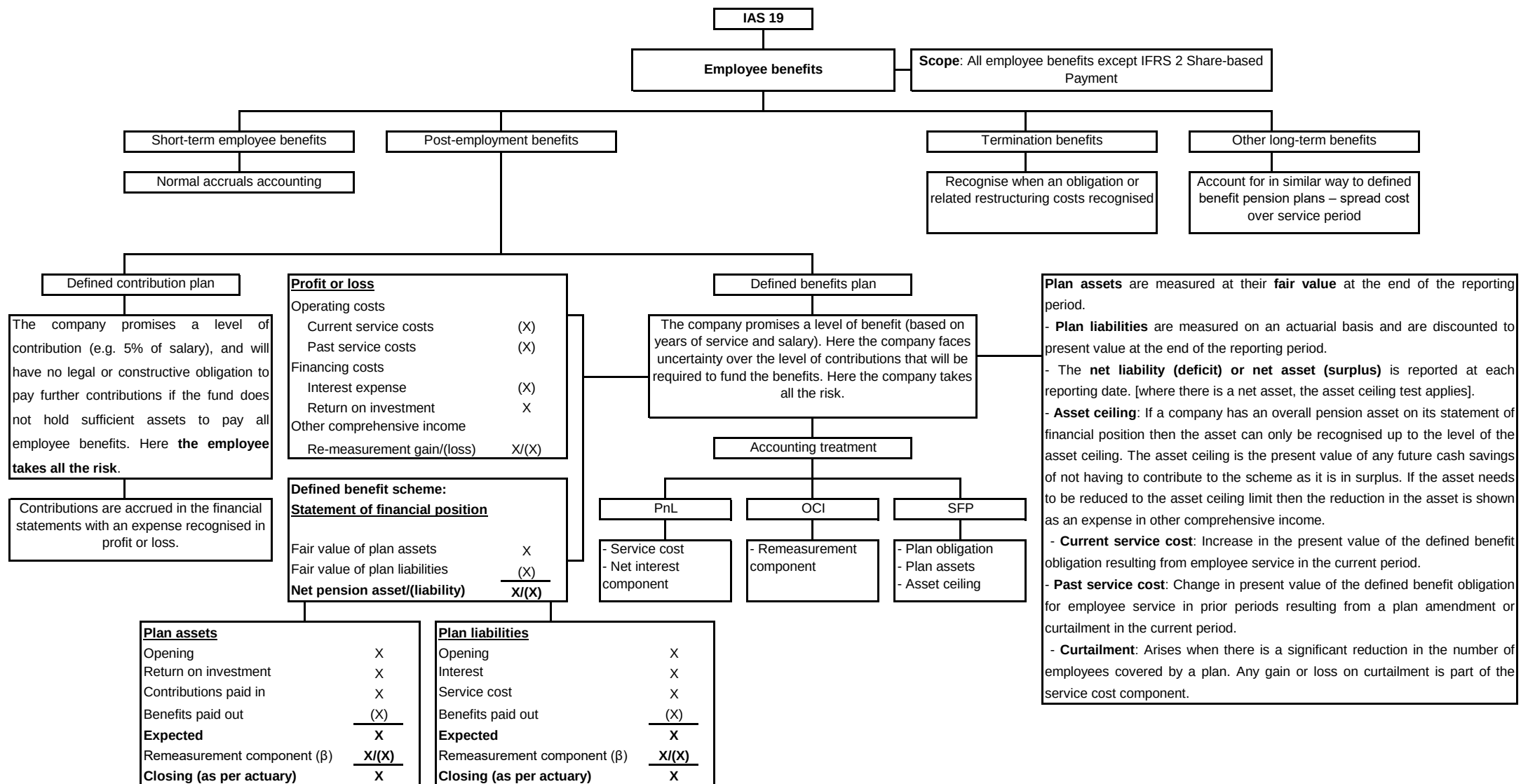
Deferred Tax Asset - Dr.
Deferred tax income (PnL) - Cr.

ii) Reversed DTA or losses expire unused

Deferred tax expenses (PnL) - Dr.
Deferred Tax Asset - Cr.



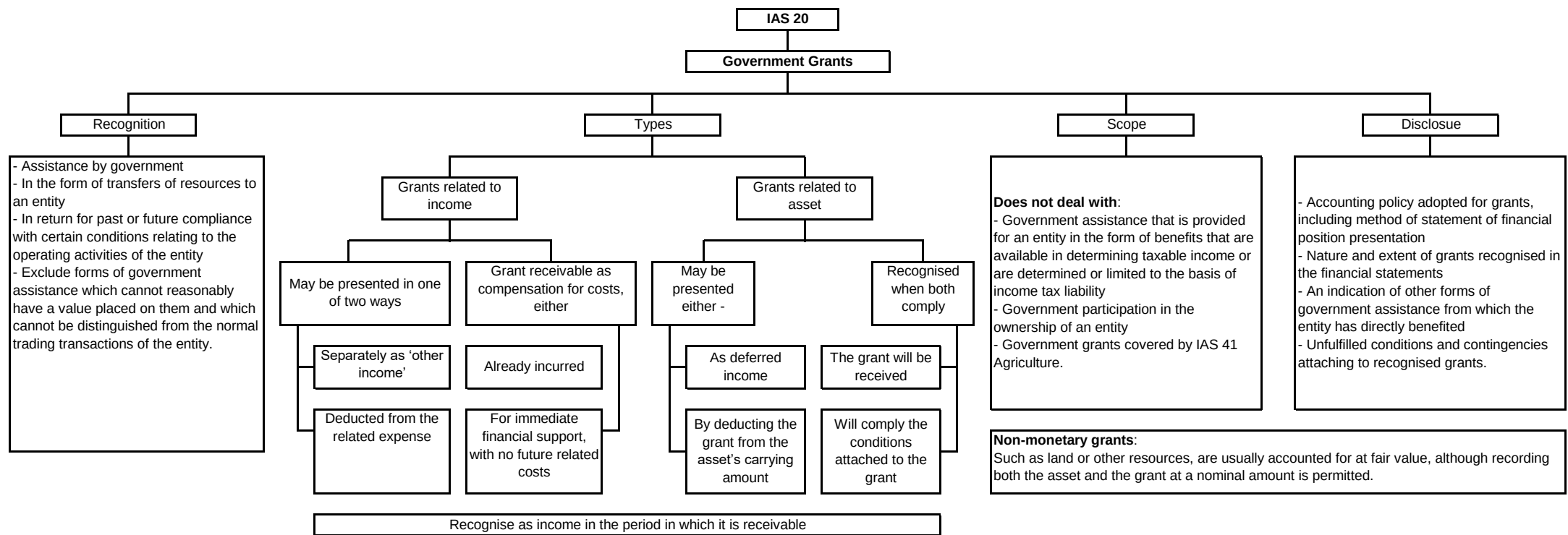
Audit risks relating to IAS 16: - Cost of assets not correctly calculated - Trade discount is not removed from cost - Use of wrong depreciation rate which does not reflect consumption pattern - Revaluation gain may be wrongly recognised as realized profit which over-state the profit - Depreciation of revalued asset is not adjusted to new useful life revealed after revaluation - Newly acquired assets may be omitted from the asset register which lead to understatement of assets and depreciation - Assets disposed during the period are not removed from the asset register which lead to over-depreciation and over statement of asset in the financial statement. Over-depreciation leads to understatement of profits - Training costs may be wrongly capitalized. Training costs, according to IAS 16 should be expensed as it does not meet recognition criteria.	Audit risks in respect of dismantling cost: Dismantling costs should be capitalized as non-current assets, and a provision created against them. - Provision may not have been created which understate liabilities - Asset and Liabilities might have been understated - The provisions may not have been measured correctly according to IAS 37, provisions, contingent liabilities and contingent assets <i>Account should be taken care of the effect of discounting if it is material to the account, and should be included in the statement of profit or loss to represent the unwinding of the discount.</i>	Audit procedures in respect of the carrying amount of Plant, Property and equipment (PPE) under construction: - Verify cost of the PPE by reviewing the contract with the contractor - Agree cost of the PPE to invoice - Inspect the asset at year end to assess the stage of completion. Use this to confirm the reasonableness of the management's expert report. - Review the management's expert report concerning stage of completion at the end of reporting period and estimate cost of completion. - Agree finance cost to the terms of the finance contract and payment made. - Recalculate capitalized amount to ensure accuracy - Review the basis of capitalization to ensures it agrees with IAS 16 - Discuss with management on the consideration of possible impairment
	Audit procedures regarding PPE: - Take a sample of assets from the asset register and trace to physical location to confirm existence - Recalculate the depreciation to confirm valuation of assets - Check to confirm any disposed asset has been removed from the asset register and ledger properly updated	



Plan assets are measured at their **fair value** at the end of the reporting period.

- **Plan liabilities** are measured on an actuarial basis and are discounted to present value at the end of the reporting period.
- The **net liability (deficit) or net asset (surplus)** is reported at each reporting date. [where there is a net asset, the asset ceiling test applies].
- **Asset ceiling:** If a company has an overall pension asset on its statement of financial position then the asset can only be recognised up to the level of the asset ceiling. The asset ceiling is the present value of any future cash savings of not having to contribute to the scheme as it is in surplus. If the asset needs to be reduced to the asset ceiling limit then the reduction in the asset is shown as an expense in other comprehensive income.
- **Current service cost:** Increase in the present value of the defined benefit obligation resulting from employee service in the current period.
- **Past service cost:** Change in present value of the defined benefit obligation for employee service in prior periods resulting from a plan amendment or curtailment in the current period.
- **Curtailment:** Arises when there is a significant reduction in the number of employees covered by a plan. Any gain or loss on curtailment is part of the service cost component.

Audit risks relating to defined contribution plan: - Correct amount of pension expense may not be recognized in the profit or loss statement by the entity which will lead to overstatement of profit. - Employees who have cease to be employee may not have been removed from the scheme which may lead to over-provision of pension expenses and thus overstate liability and understate profit. - The defined pension contribution may be misclassified as defined contribution plan which may leads to wrong presentation in the financial statements.	Audit risks relating to defined benefit plan: - Use of wrong discount rate to calculate return on pension asset which lead to overstating of assets - The effect of Past service costs may be ignored which lead to understating of liabilities - New employees joining the scheme may be wrongly omitted from calculation of liabilities which understate the liabilities. - The auditor may lack knowledge of estimating the fairs values of pension asset and liabilities which increases the detection risks - Auditor may have to depends on the knowledge of experts because of the complex actuarial calculation involved in the deriving the fair values of pension asset and liabilities which increase the detection risks - Benefit paid may not be removed from the pension asset and liability thereby overstating both assets & liabilities - Re-measurement components may be wrongly recognised in the operating profit instead of recognizing it in the OCI thereby overstating the operating profit
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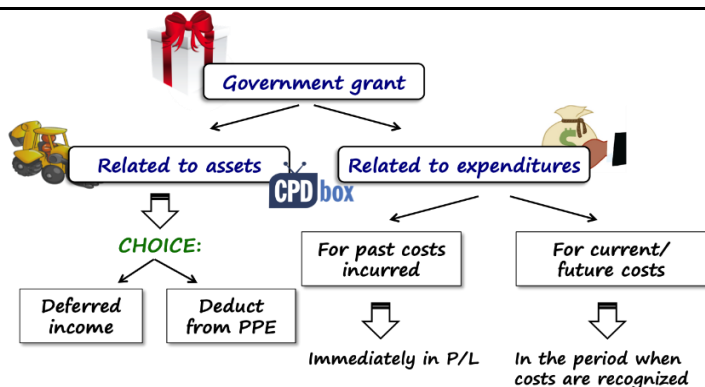
Audit risk:

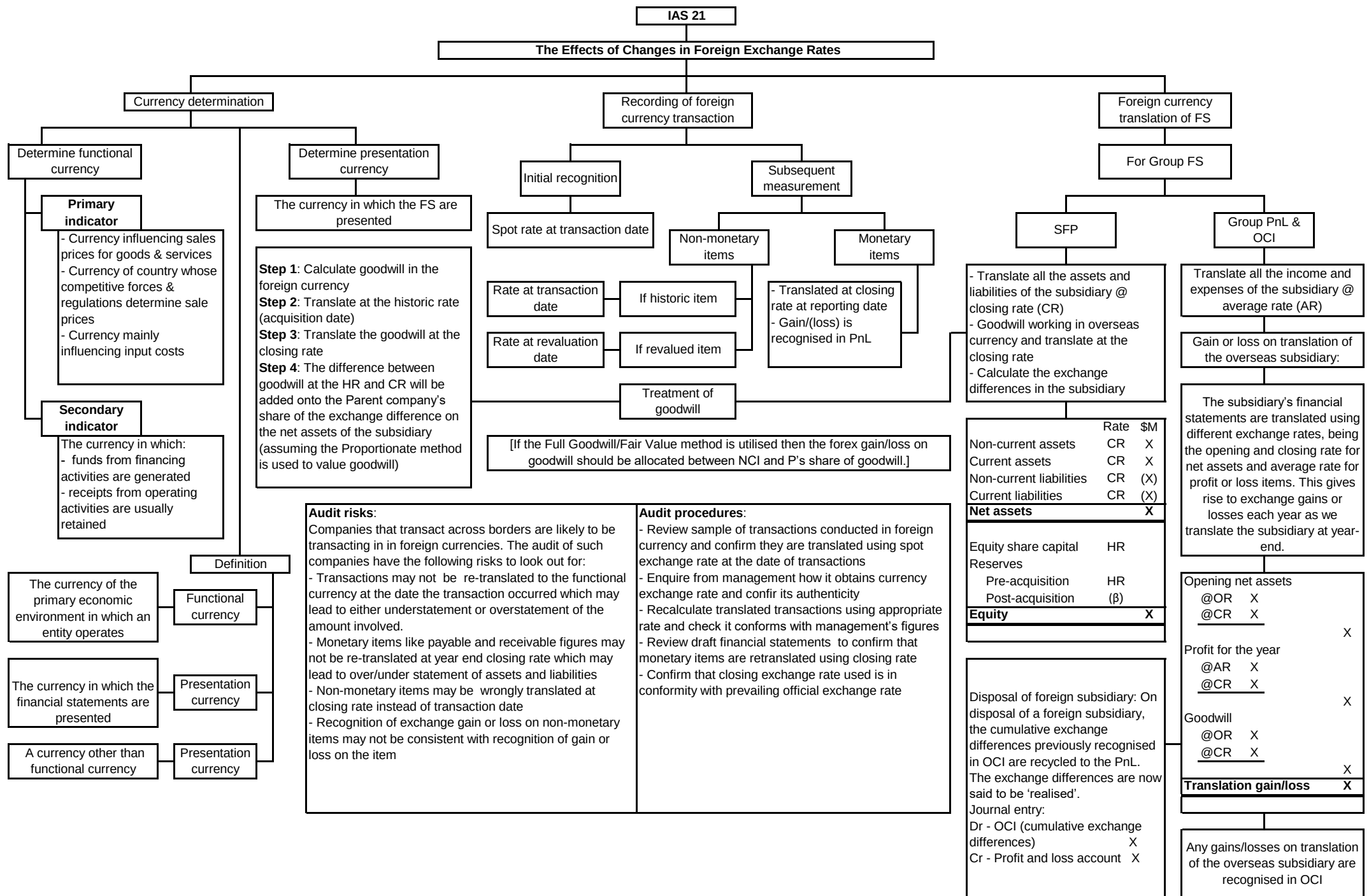
Just as we systematically allocate the cost of a non-current asset over the useful life in line with the matching concept, IAS 20 requires that Govt. grant should be recognized as deferred income in the statement of financial position. There is risk that this may not be done **leading to liabilities being understated and profit being overstated.**

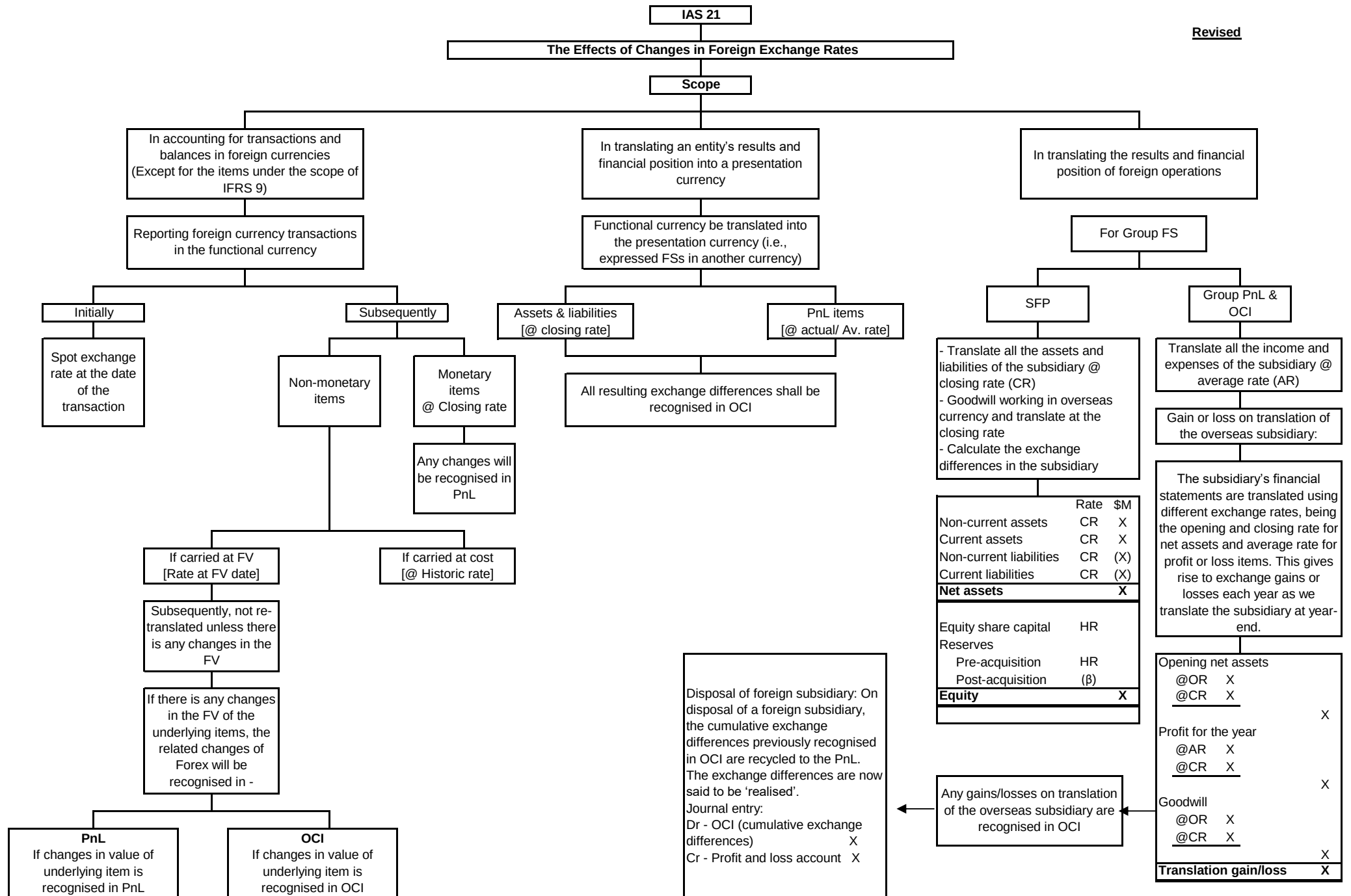
IAS 20 requires that a grant is recognized only when there is Reasonable assurance that the company will meet the condition attached to the grant. Where there is doubt over this, a provision should be recognised in line with IAS 37. There is risk that this will not be done thereby understating liabilities and overstating profits.

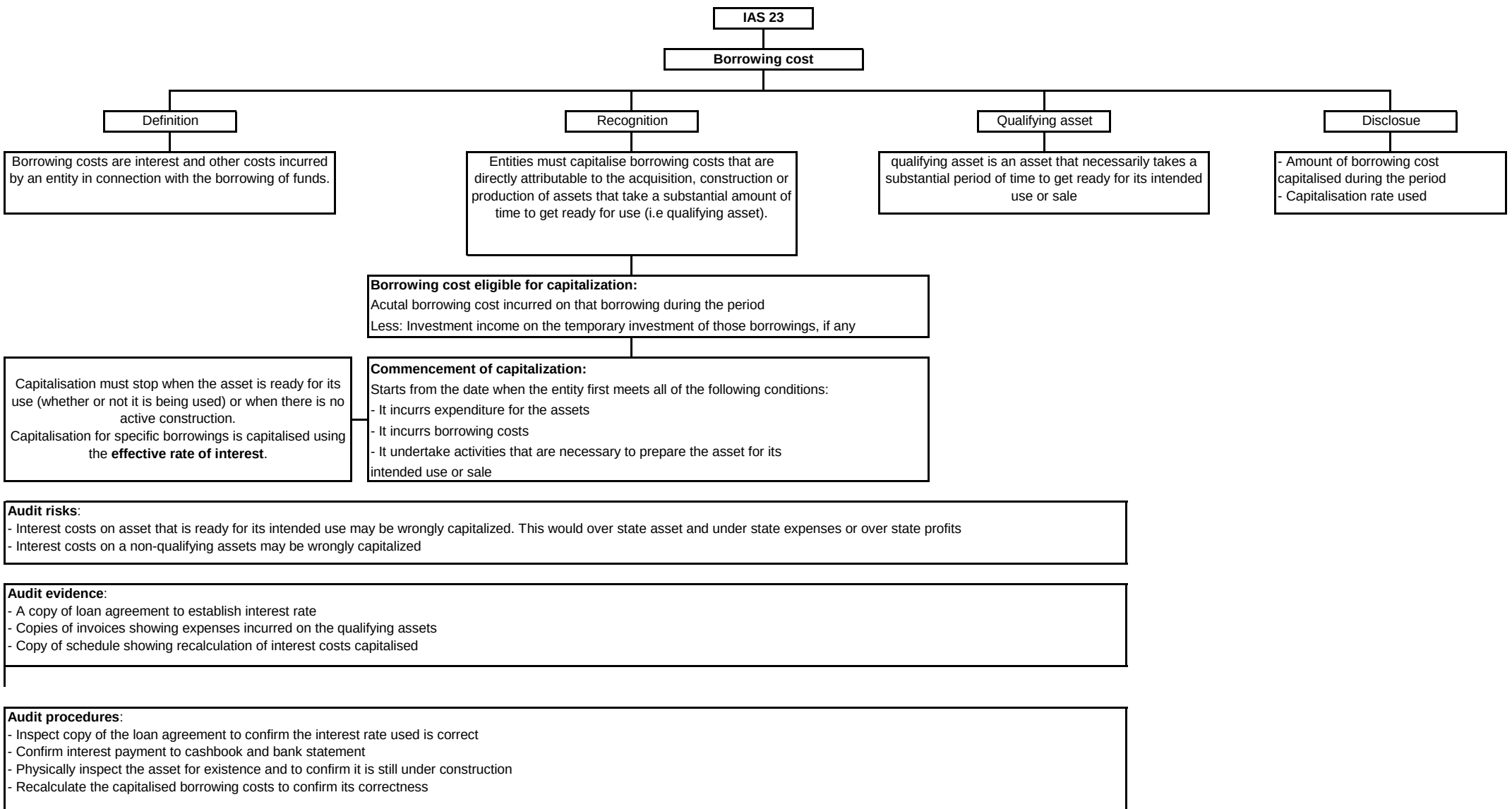
Audit Procedures on the receipt of Government Grant:

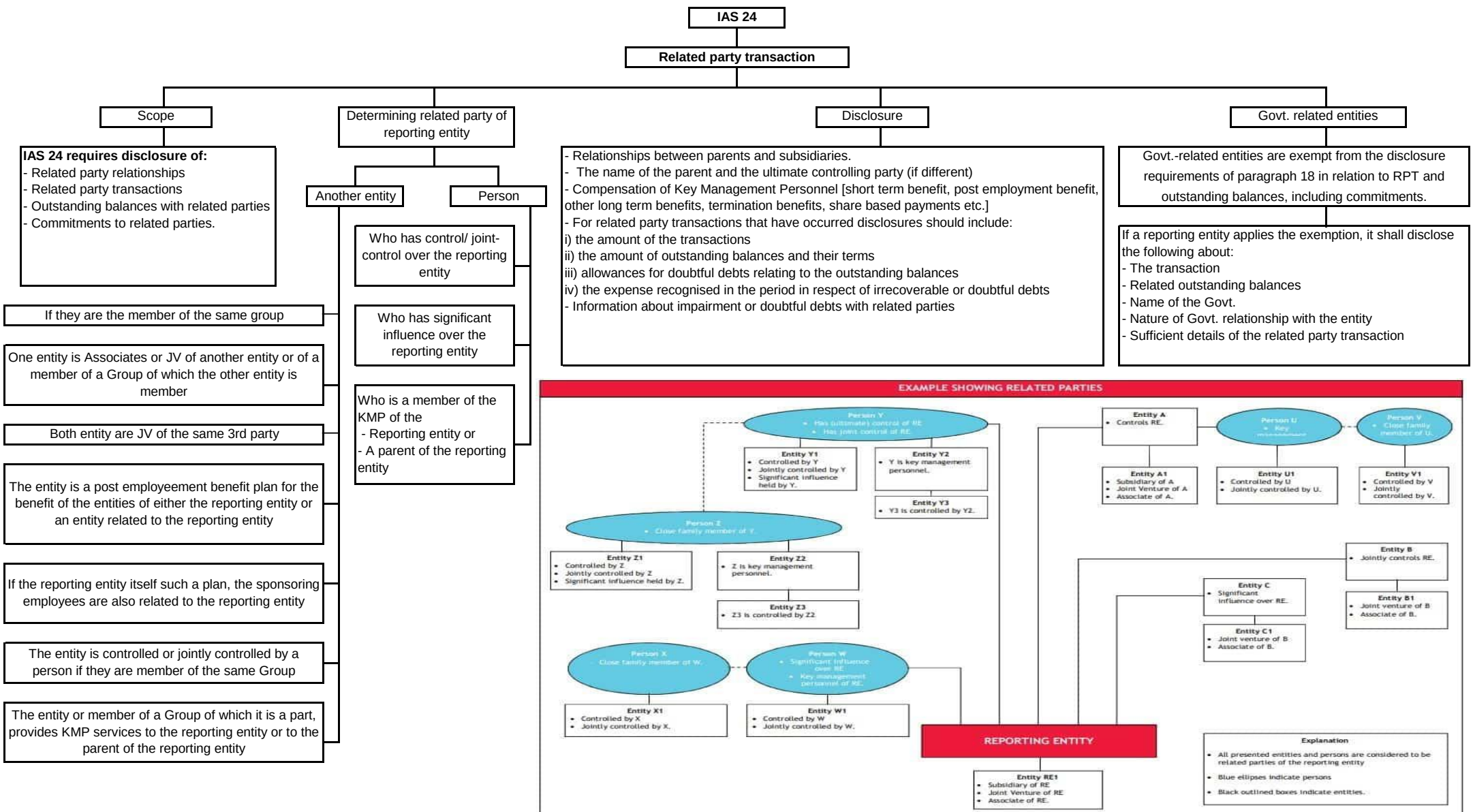
- Obtain the grant document and review the terms to verify the amount of grant.
- Determine the period the grant covered by reviewing the grant document to ensure the grant income is correctly spread.
- Revision of the terms and condition attached from the grant document to determine the consequence of any breach on terms.
- Review correspondences with relevant government agencies to determine if there has been any breach of terms.
- Obtain representation from management that the condition of the grant will be met.











Audit risk:

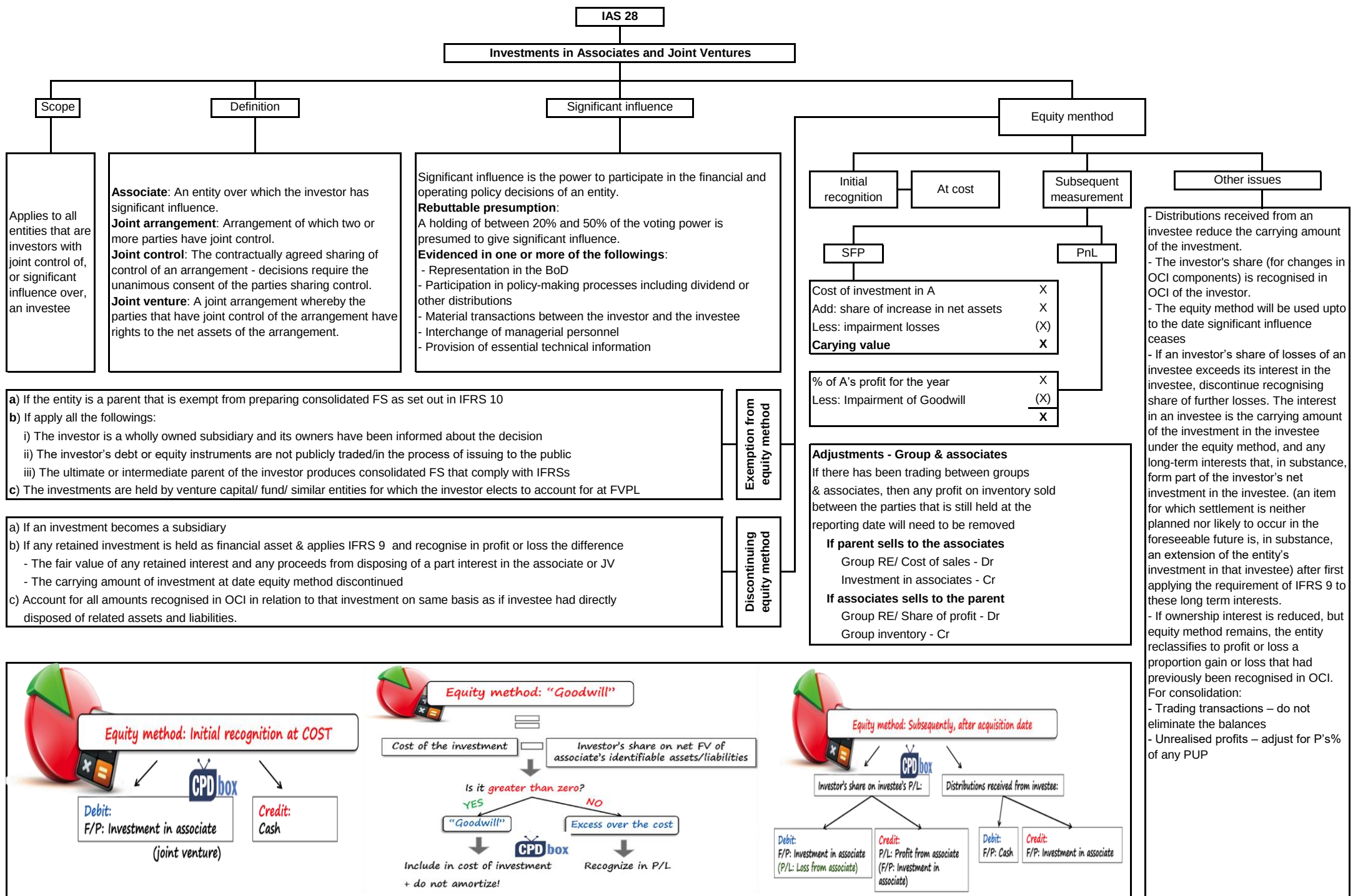
- Likelihood of fraud which may cause material misstatement in the financial statements
- Risks of disclosures not made or inadequate in line with IAS 24
- Risks of going concern problem emanating from related party transactions

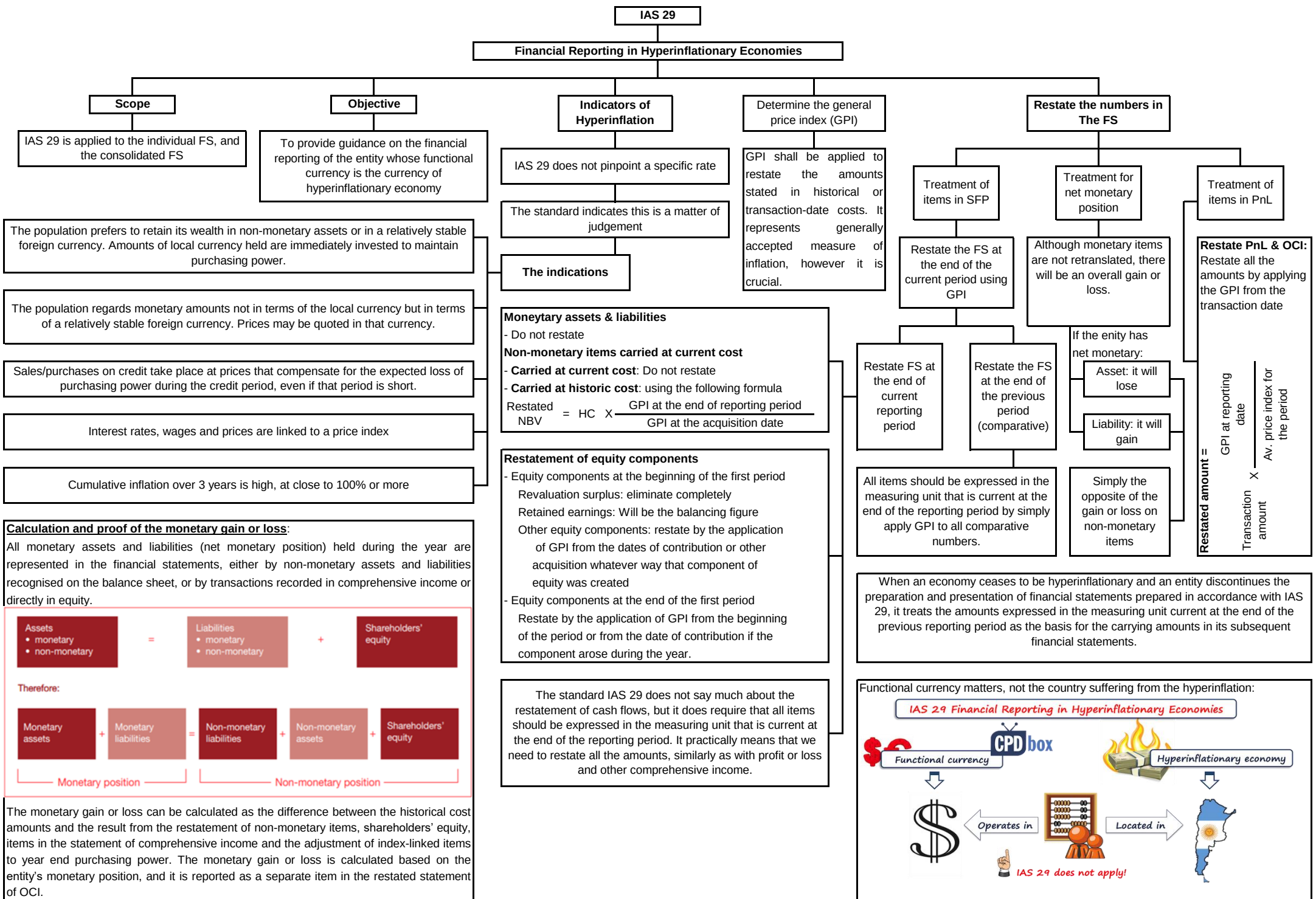
Audit procedures on related party transactions:

- Auditor should plan and perform the audit with high level of professional skepticism
- Enquire of management if the company enter into any transactions with an identified related party
- Obtain management representation that all related party transactions have been disclosed
- Inspect the financial statement of the related party to confirm that the amount due is recognized as either payable or receivable

A person, or member of their close family, is related to the reporting entity if they:

- have control or joint control over the entity
- have significant influence over the reporting entity
- are a member of key management personnel of the entity or its parent





Calculation and proof of the monetary gain or loss:

All monetary assets and liabilities (net monetary position) held during the year are represented in the financial statements, either by non-monetary assets and liabilities recognised on the balance sheet, or by transactions recorded in comprehensive income or directly in equity.

Assets

- monetary
- non-monetary

=

Liabilities

- monetary
- non-monetary

+

Shareholders' equity

Therefore:

Monetary assets

+

Monetary liabilities

=

Non-monetary liabilities

+

Non-monetary assets

+

Shareholders' equity

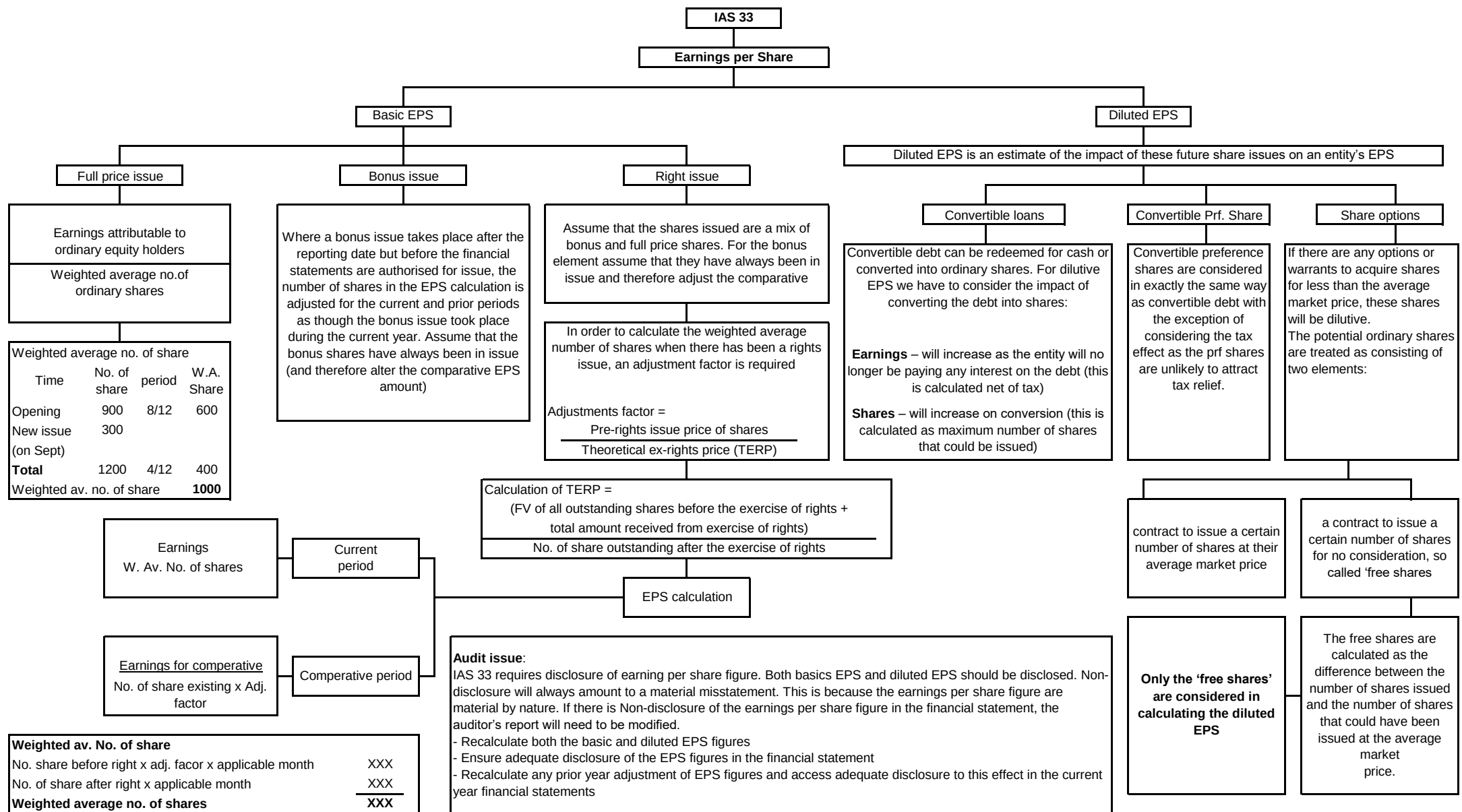
Monetary position
Non-monetary position

The monetary gain or loss can be calculated as the difference between the historical cost amounts and the result from the restatement of non-monetary items, shareholders' equity, items in the statement of comprehensive income and the adjustment of index-linked items to year end purchasing power. The monetary gain or loss is calculated based on the entity's monetary position, and it is reported as a separate item in the restated statement of OCI.

Functional currency matters, not the country suffering from the hyperinflation:

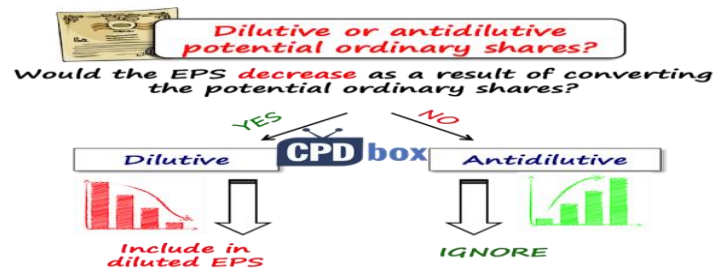
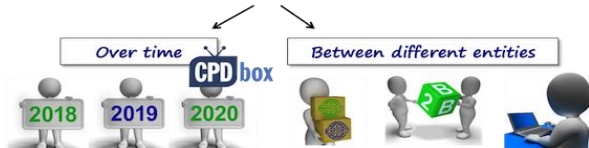
IAS 29 Financial Reporting in Hyperinflationary Economies

IAS 29 does not apply!

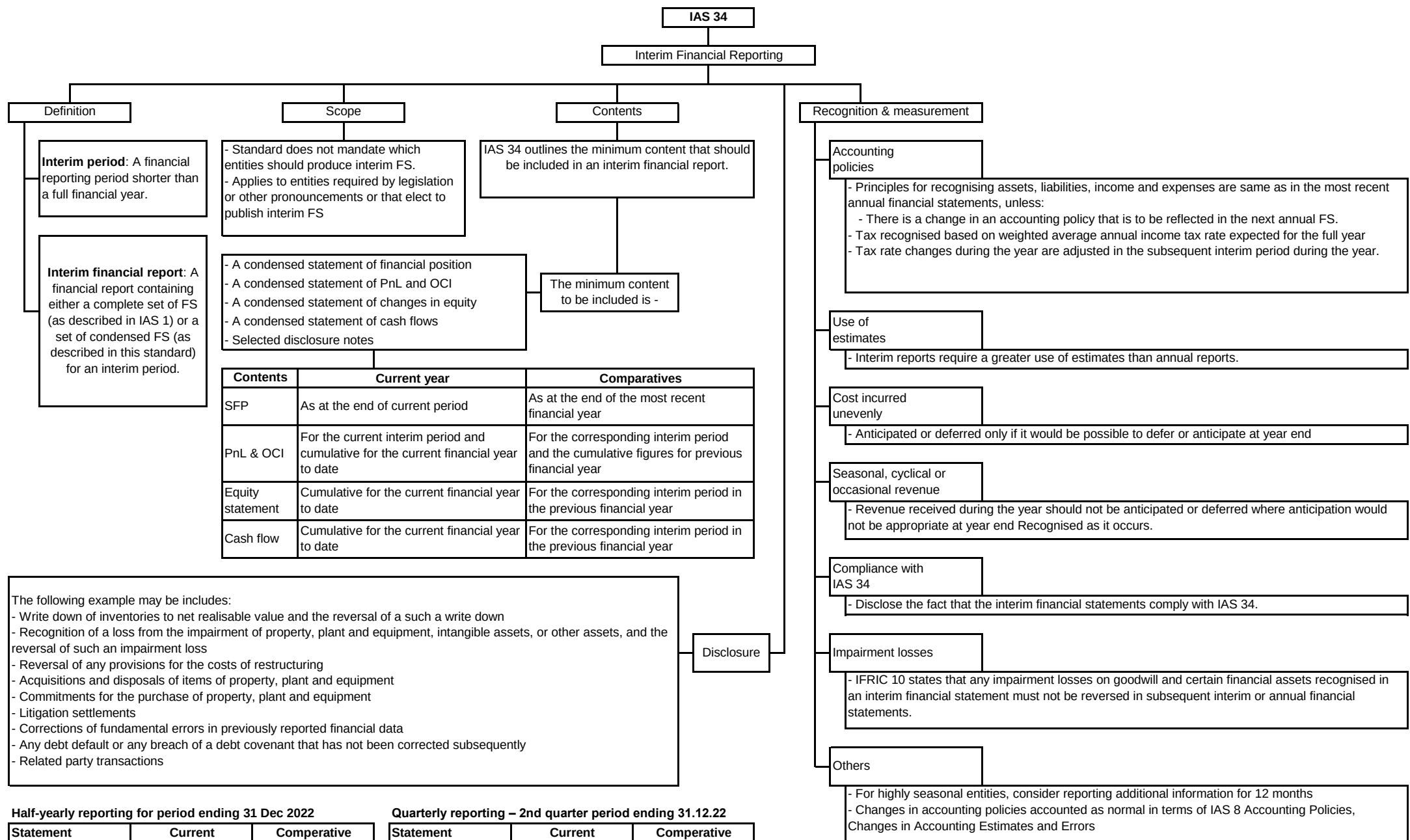


Objective of IAS 33 Earnings per Share

=> To specify the principles for presenting of EPS to improve comparisons:



Dilution is	Antidilution is
a reduction	an increase
in earnings per share or	
an increase	a reduction
in loss per share	
resulting from the assumption that convertible instruments are converted, that options or warrants are exercised, or that ordinary shares are issued upon the satisfaction of specified conditions.	

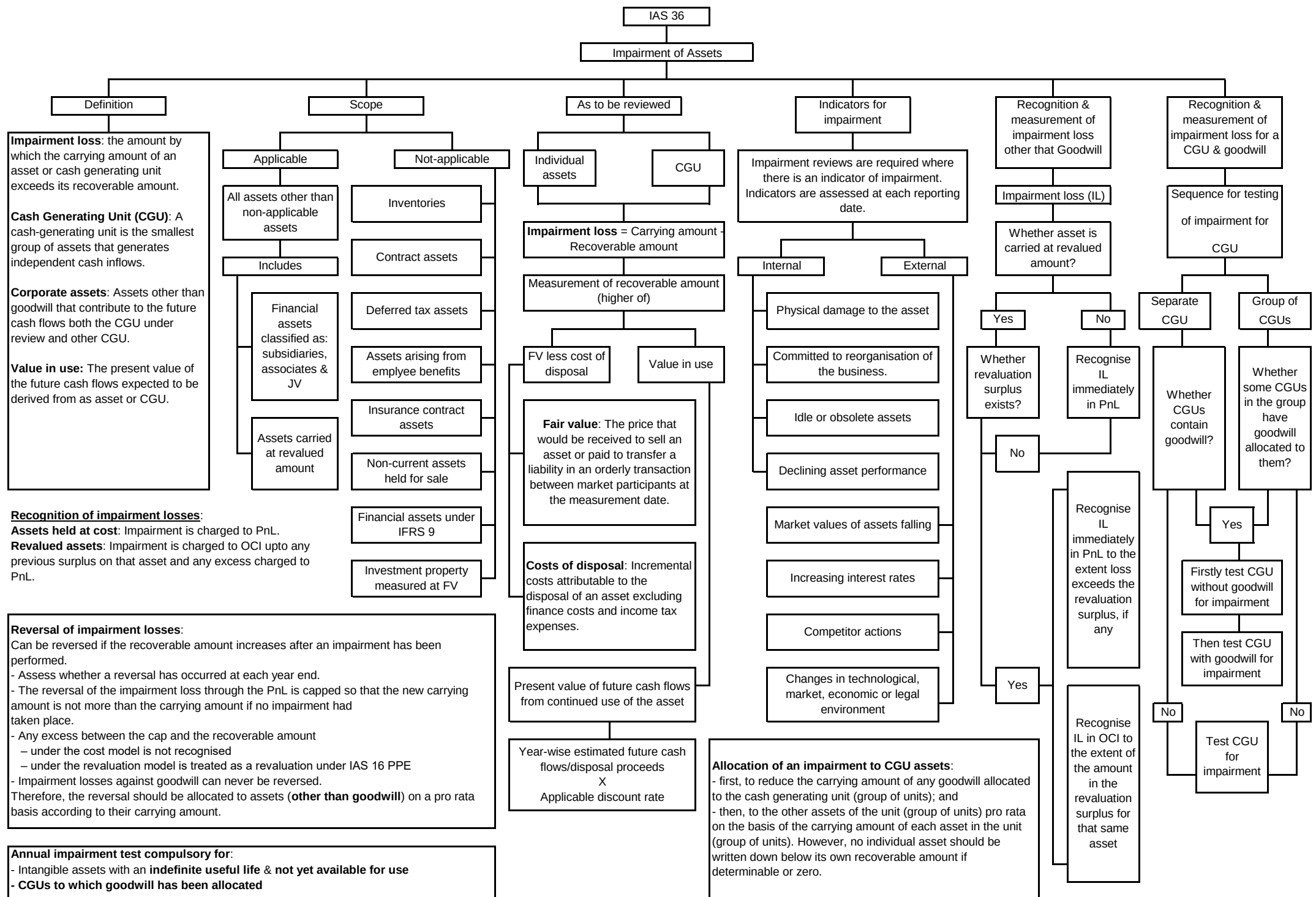


Half-yearly reporting for period ending 31 Dec 2022

Statement	Current	Comperative
SPF at	31.12.22	30.06.22
PnL & OCI (6 months ended)	31.12.22	31.12.21
Equity statement (6 months ended)	31.12.22	31.12.21
Cash flows (6 months ended)	31.12.22	31.12.21

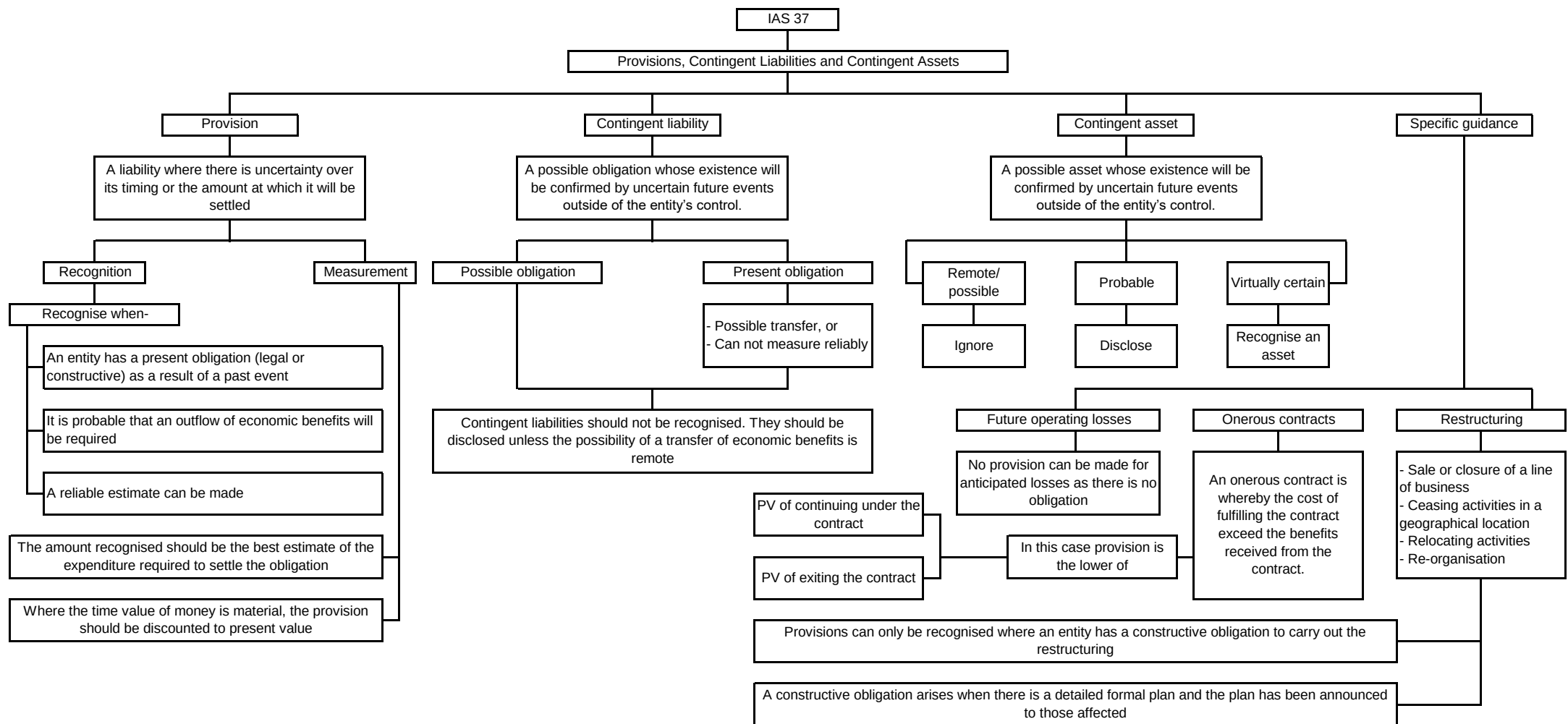
Quarterly reporting – 2nd quarter period ending 31.12.22

Statement	Current	Comperative
SPF at	31.12.22	30.06.22
PnL & OCI (6 months ended) (3 months ended)	31.12.22 31.12.22	31.12.21 31.12.21
6 months ended - Equity statement	31.12.22	31.12.21
Cash flows	31.12.22	31.12.21

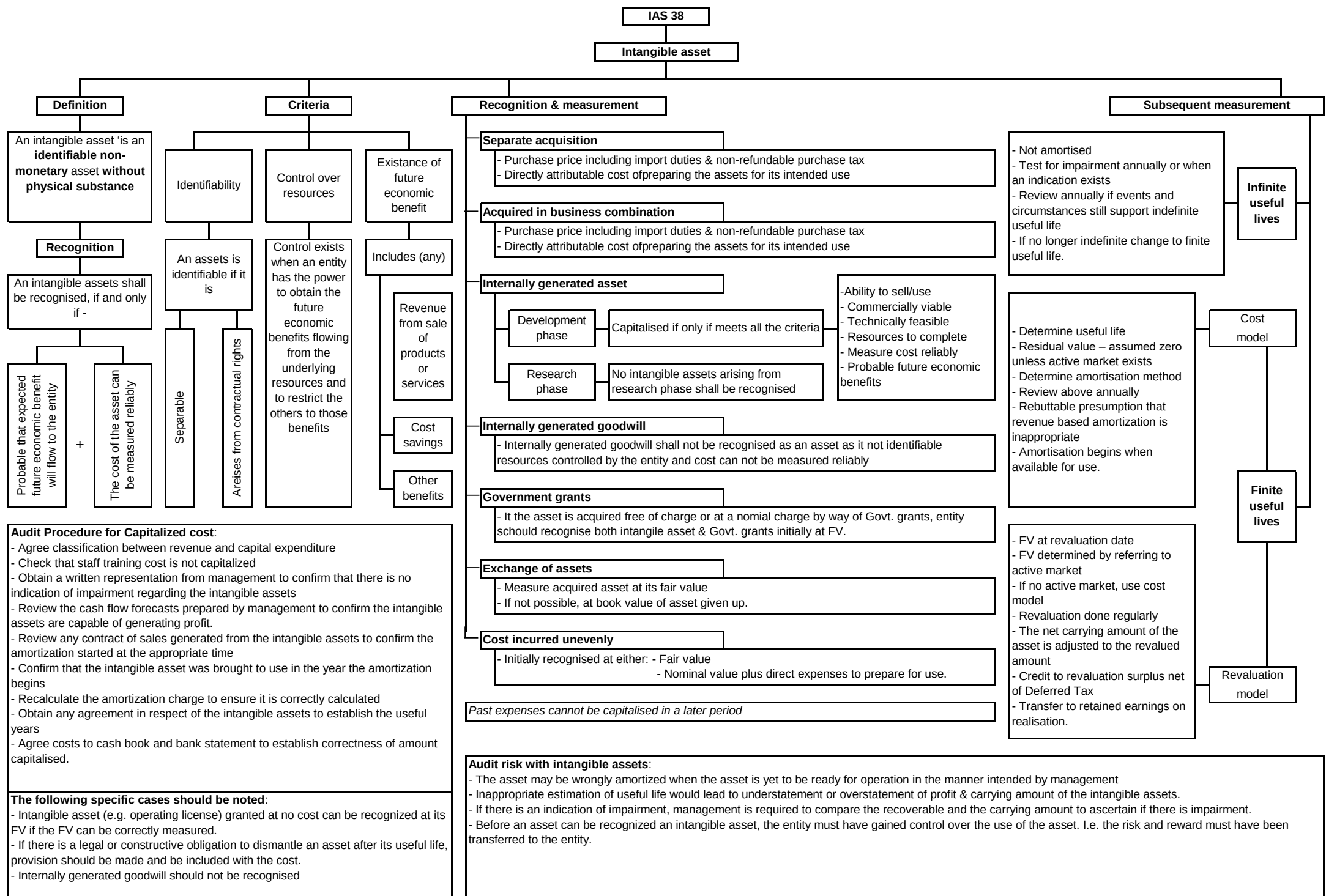


Allocation of an impairment to CGU assets:

- first, to reduce the carrying amount of any goodwill allocated to the cash generating unit (group of units); and
- then, to the other assets of the unit (group of units) pro rata on the basis of the carrying amount of each asset in the unit (group of units). However, no individual asset should be written down below its own recoverable amount if determinable or zero.



Audit issue: IAS 37 requires that a company set up a provision where there is a present obligation as a result of past event from which it is probable that a transfer of economic benefit will be required to settle the obligation and reliable estimate can be made. In a situation where the future payment is only possible but not probable, no provision is required but there should be adequate disclosure in the notes to the account. This is called contingent liability. Examples of cases where provision may be required include: - Warranty cost on products already sold - Legal case brought against the company, the outcome of which may turn out unfavourable - Breach of law and regulation which may likely lead to fines and compensation - Obligation to decommission a site after use.	Audit risk: - Not making adequate provision leading to understatement of liabilities and overstatement of profits - Not making provision when it is required leading to understatement of liabilities and overstatement of profits - Contingent liability may not be disclosed <table border="1" data-bbox="770 1265 1424 1489"> <thead> <tr> <th>Probability of Occurrence</th><th>Contingent liabilities</th><th>Contingent assets</th></tr> </thead> <tbody> <tr> <td>Virtually certain</td><td>Provide</td><td>Recognise</td></tr> <tr> <td>Probable</td><td>Provide</td><td>Disclose in note</td></tr> <tr> <td>Possible</td><td>Disclose in note</td><td>Ignore</td></tr> <tr> <td>Remote</td><td>Ignore</td><td>Ignore</td></tr> </tbody> </table>	Probability of Occurrence	Contingent liabilities	Contingent assets	Virtually certain	Provide	Recognise	Probable	Provide	Disclose in note	Possible	Disclose in note	Ignore	Remote	Ignore	Ignore	Audit procedures: - Discuss with management on the need to make provision - Discuss with management on the suitability of the method used to arrive at the provision - Assess the reasonability of management's method of making the provision - Review notes to the account to assess the adequacy of disclosures - Inspect Correspondence with the other parties involved to assess the likelihood of any claim being successful - Obtain direct confirmation from company's lawyer to assess the probability of any pending claim being successful - analytically compare current's year provision with that of prior years, obtain explanation for any unexpected result
Probability of Occurrence	Contingent liabilities	Contingent assets															
Virtually certain	Provide	Recognise															
Probable	Provide	Disclose in note															
Possible	Disclose in note	Ignore															
Remote	Ignore	Ignore															



Audit Procedure for Capitalized cost:

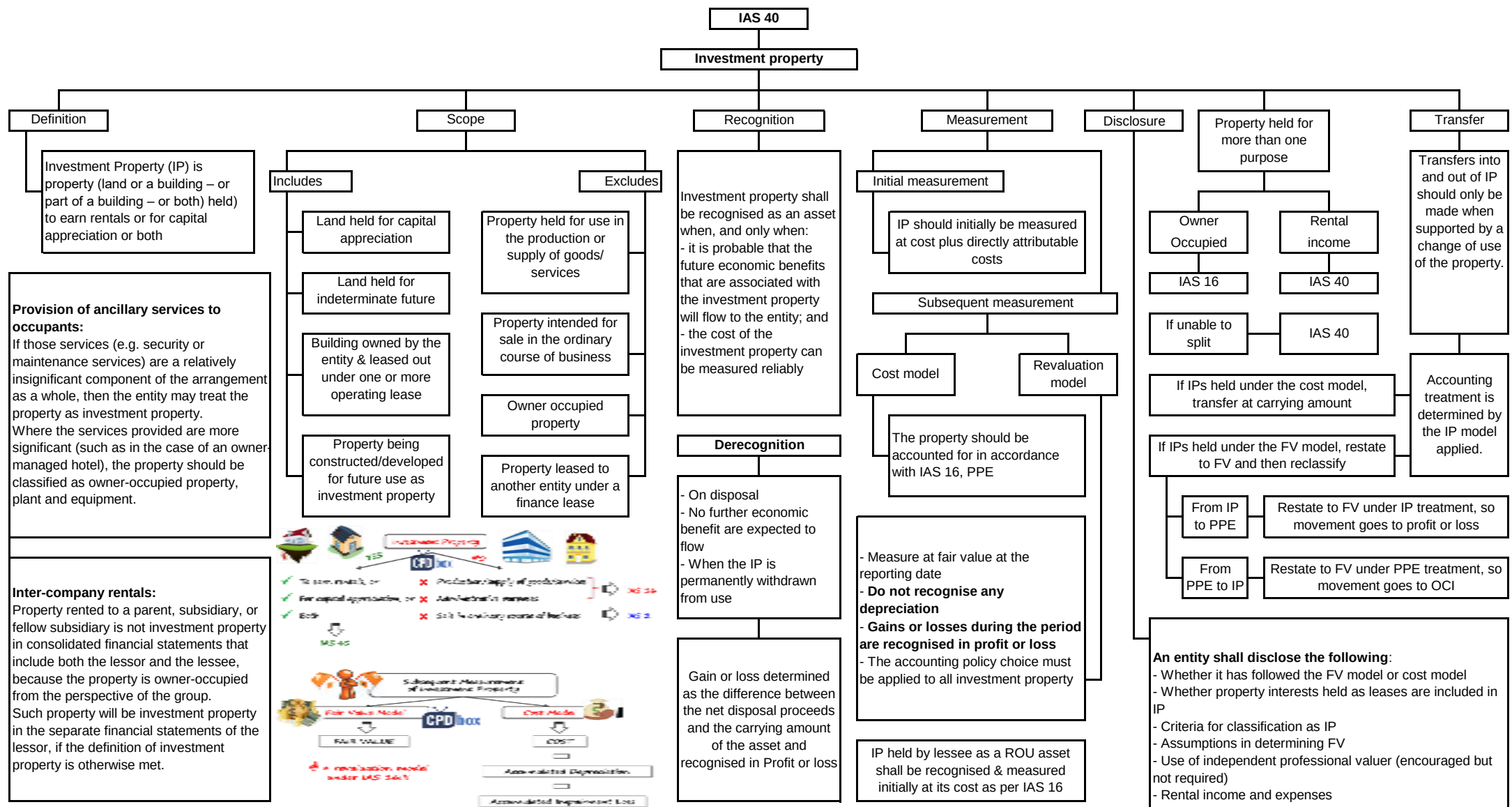
- Agree classification between revenue and capital expenditure
- Check that staff training cost is not capitalized
- Obtain a written representation from management to confirm that there is no indication of impairment regarding the intangible assets
- Review the cash flow forecasts prepared by management to confirm the intangible assets are capable of generating profit.
- Review any contract of sales generated from the intangible assets to confirm the amortization started at the appropriate time
- Confirm that the intangible asset was brought to use in the year the amortization begins
- Recalculate the amortization charge to ensure it is correctly calculated
- Obtain any agreement in respect of the intangible assets to establish the useful years
- Agree costs to cash book and bank statement to establish correctness of amount capitalised.

The following specific cases should be noted:

- Intangible asset (e.g. operating license) granted at no cost can be recognized at its FV if the FV can be correctly measured.
- If there is a legal or constructive obligation to dismantle an asset after its useful life, provision should be made and be included with the cost.
- Internally generated goodwill should not be recognised

Audit risk with intangible assets:

- The asset may be wrongly amortized when the asset is yet to be ready for operation in the manner intended by management
- Inappropriate estimation of useful life would lead to understatement or overstatement of profit & carrying amount of the intangible assets.
- If there is an indication of impairment, management is required to compare the recoverable and the carrying amount to ascertain if there is impairment.
- Before an asset can be recognized an intangible asset, the entity must have gained control over the use of the asset. I.e. the risk and reward must have been transferred to the entity.



Audit risks relating to investment properties	Audit procedures
- Use of wrong fair value which may lead to over or understatement of assets and profits - Recognition of owner occupied property as IP leading to under or overstatement of profit - Use of wrong depreciation rate - Non removal of disposed IP from the FS - Inclusion of pre-acquisition costs in the value of IP - Revaluation gain or loss may be recognized in OCI instead of PnL	- Physically inspect the investment properties to ensure existence - Agree costs of the investments properties to bank statements or cashbook - The purpose for which the asset is held and decide if it meet definition of IP according to IAS 40 - Review the criteria used by the entity to classify asset as IP to determine if it conforms to IAS 40 - For investment properties recognized at FV, discuss with management how FV was determined - For investment properties recognized at FV, discuss with management how FV was determined - Obtain list of disposed IP and trace to the ledger to be sure they have been derecognized - Obtain list of newly acquired IP and trace to the ledger to be sure they are all captured - For IP carried at cost models, recalculate the depreciation charge

An entity shall disclose the following:

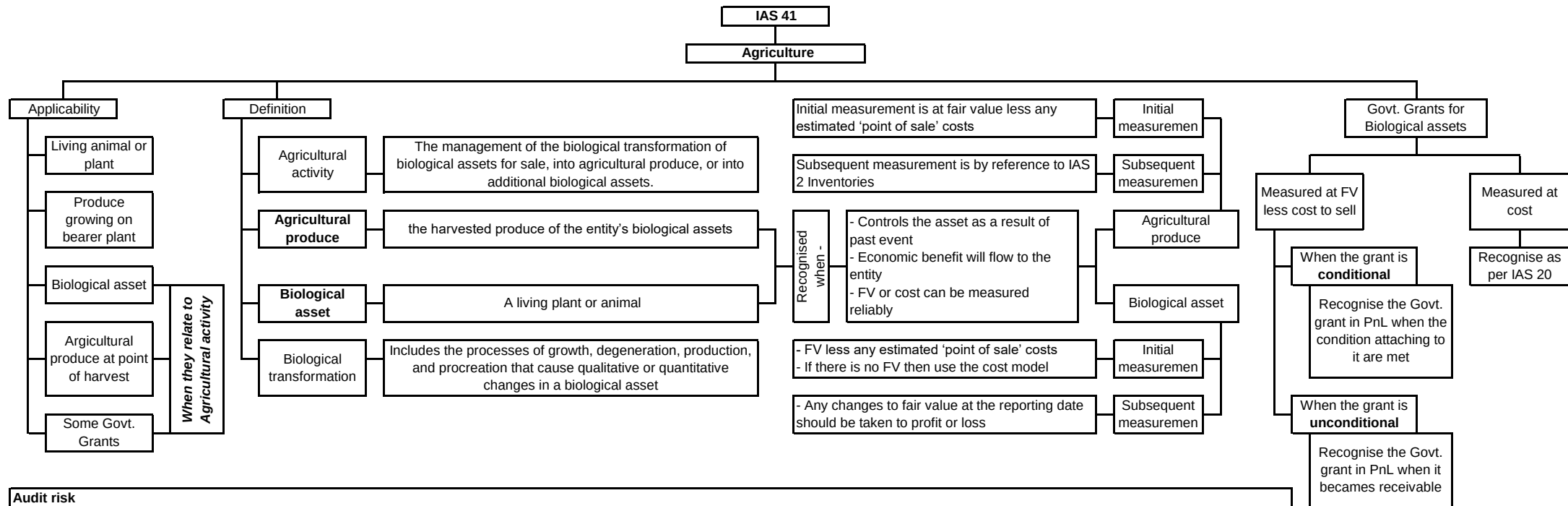
- Whether it has followed the FV model or cost model
- Whether property interests held as leases are included in IP
- Criteria for classification as IP
- Assumptions in determining FV
- Use of independent professional valuer (encouraged but not required)
- Rental income and expenses
- Any restrictions or obligations

For FV model:

An entity that adopts this must also disclose a reconciliation of the carrying amount of the IP at the beginning and end of the period

For cash model:

These relate mainly to the depreciation method, rates and useful lives used as well as a reconciliation of the carrying amount at the beginning and end of the period. In addition, an entity which adopts the cost model must disclose the FV of the IP.

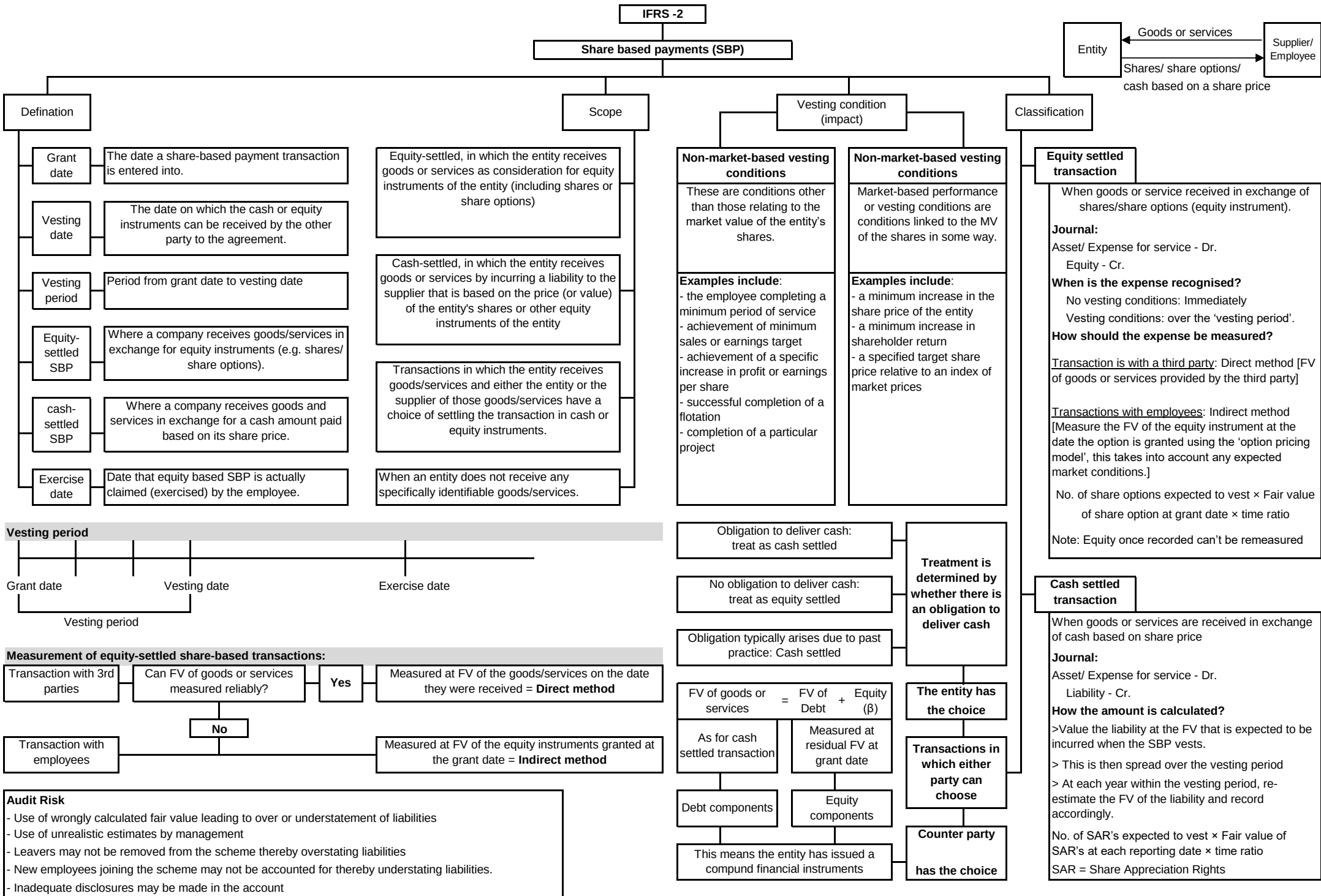


Audit risk

- Fair value used may be wrongly estimated which may overstate assets or profit. Getting fair value may be particularly difficult in situation where the asset is not traded on established market.
- Wrong application of IAS 41 to non-agricultural assets
- Risk of making inadequate disclosure

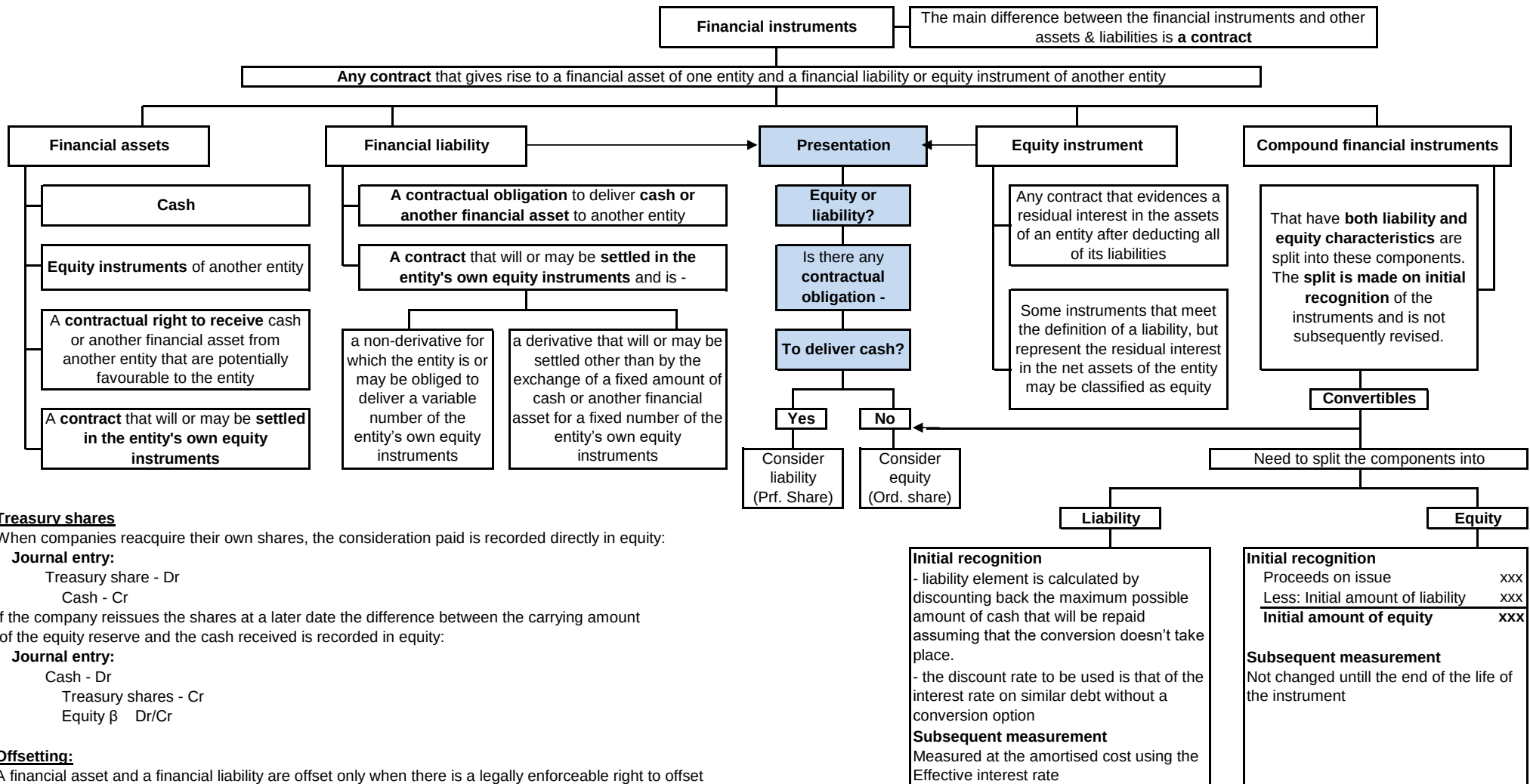
Assets outside the scope of IAS 41

- Land related to agricultural activity (IAS 16 Property, Plant and Equipment and IAS 40 Investment Property are applicable).
- Intangible assets related to agricultural activity (IAS 38 Intangible Assets is applicable).
- Bearer plants related to agricultural activity (IAS 16 Property, Plant and Equipment is applicable)



Financial instruments: presentation and disclosure

The principles of IFRS 7 complement the principles for recognising, measuring and presenting financial assets and financial liabilities in IAS 32, Financial Instruments: Presentation and IFRS 9, Financial Instruments.



Treasury shares

When companies reacquire their own shares, the consideration paid is recorded directly in equity:

Journal entry:

Treasury share - Dr
Cash - Cr

If the company reissues the shares at a later date the difference between the carrying amount of the equity reserve and the cash received is recorded in equity:

Journal entry:

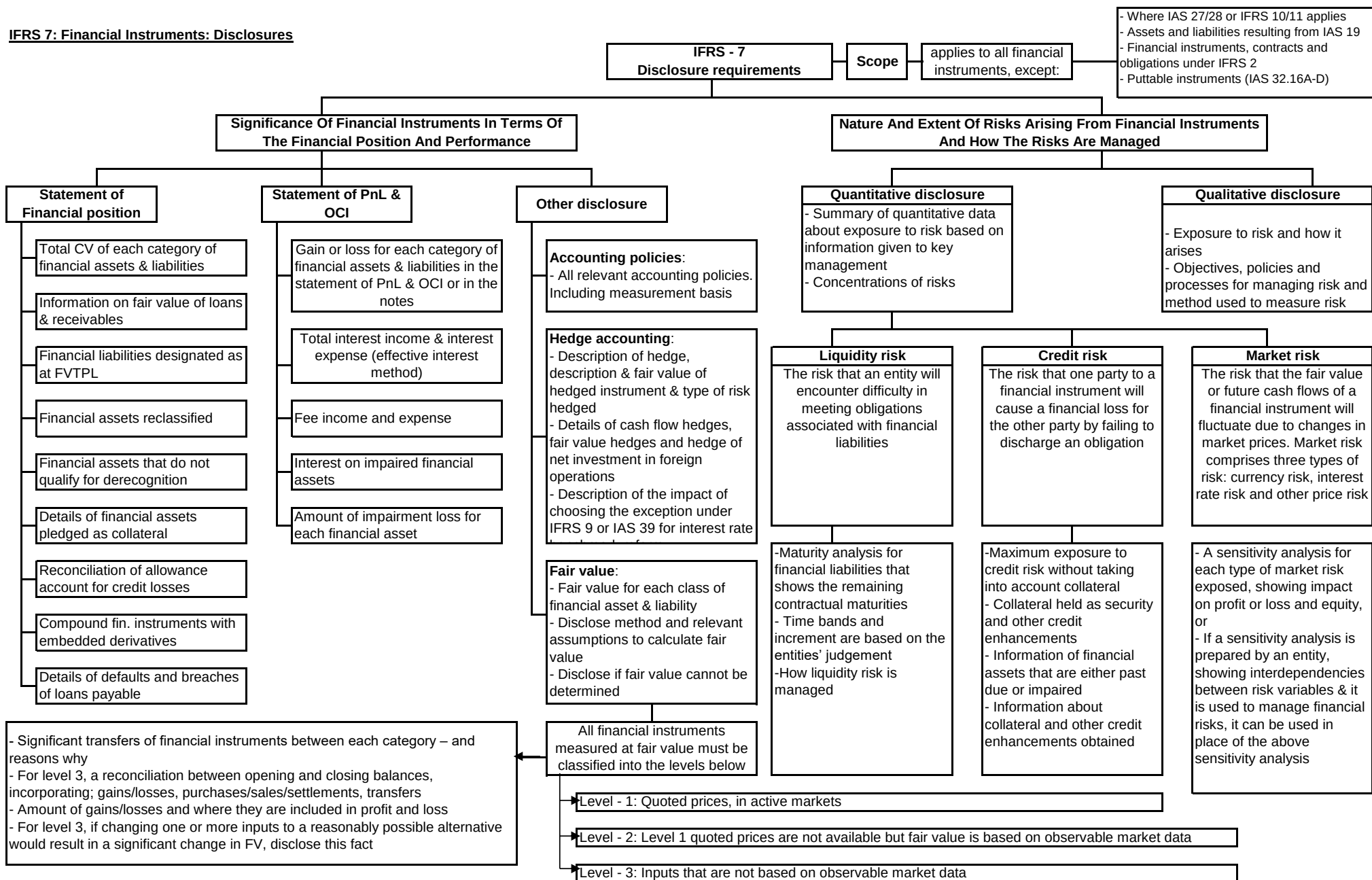
Cash - Dr
Treasury shares - Cr
Equity β Dr/Cr

Offsetting:

A financial asset and a financial liability are offset only when there is a legally enforceable right to offset and an intention to settle net or to settle both amounts simultaneously. The right of set-off:

- Must not be contingent on a future event
- Must be legally enforceable in all of the following circumstances:
 - The normal course of business, - The event of default & - The event of insolvency or bankruptcy of the entity and all of the counterparties

IFRS 7: Financial Instruments: Disclosures



Financial instruments: recognition and measurement

Recognition of financial assets and liabilities

Financial assets

Investment category	Initial measurement	Subsequent measurement
Investments in debt instruments Business model approach		
i) Held to collect contractual cash flows; and cash flows are solely principal and interest	Fair value + transaction cost	Amortised cost
ii) Held to collect contractual cash flows and to sell; and cash flows are solely principal and interest	Fair value + transaction cost	Fair value through OCI (with reclassification to profit or loss (P/L) on derecognition)
Investments in equity instruments not 'held for trading' (optional irrevocable election on initial recognition)	Fair value + transaction cost	Fair value through OCI (no reclassification to profit or loss (P/L) on derecognition)
All other financial assets	Fair value (transaction costs expensed in P/L)	Fair value through profit or loss

Financial liabilities

Investment category	Initial measurement	Subsequent measurement
Most financial liabilities (eg, trade payables, loans, preference shares classified as a liability)	Fair value less transaction cost	Amortised cost
Financial liabilities at fair value through profit or loss - 'Held for trading' (short-term profit making) - Derivatives that are liabilities - Designated on initial recognition at 'fair value through profit or loss' to eliminate/significantly reduce an 'accounting mismatch' - A group of financial liabilities (or financial assets and financial liabilities) managed and performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy	Fair value (transaction costs expensed in P/L)	Fair value through profit or loss

Amortised cost

A financial asset is measured at amortised cost if it fulfils both of the following tests:

- Business model test – intent to hold the asset until its maturity date; and,
- Contractual cash flow test – contractual cash receipts on holding the asset

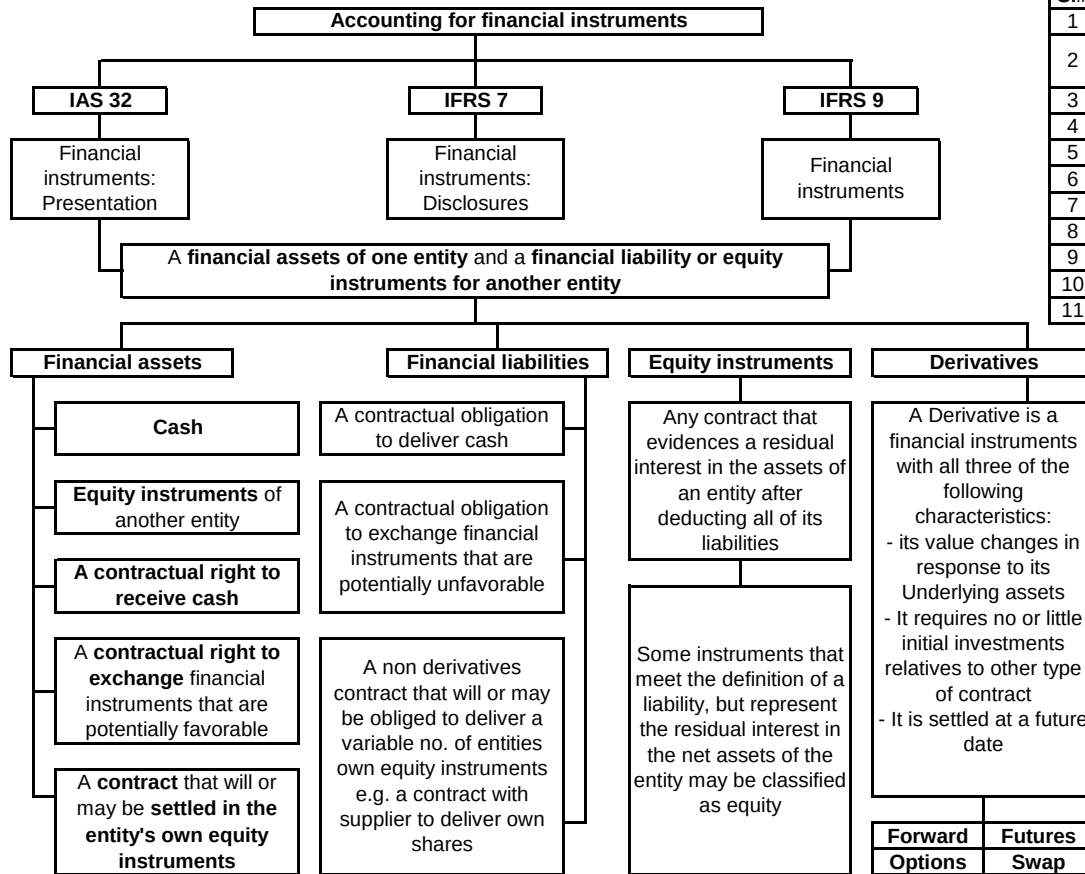
If the contractual cash flow test is satisfied but there is no intention to hold the asset until maturity then the financial asset is held as fair value through other comprehensive income.

Amortised cost is -

The initial amount recognised for the financial asset	xxx
Less any repayments of the principal sum	(xxx)
Plus any amortisation	xxx
	xxx

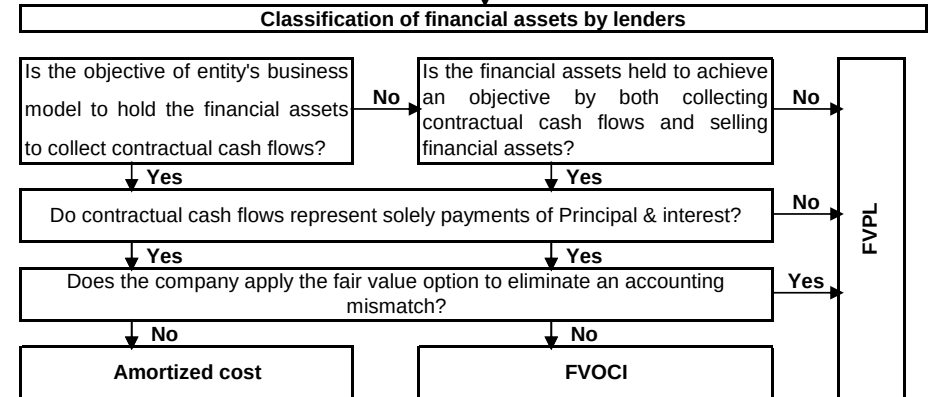
Is the objective of entities business model to hold the financial assets to collect contractual cash flows?

Accounting for financial instruments



SI#	Particulars	Lenders	Borrowers
1	Definitions (IAS 32 –For borrowers and IFRS 9)	✓	✓
2	Recognition (IFRS 9, see IAS 32 for additional guidance on equity/ Financial)	✓	✓
3	Classifications (IFRS 9)	✓	✓
4	Initial Measurement (IFRS 9)	✓	✓
5	Subsequent Measurement (IFRS 9)	✓	✓
6	Reclassifications (IFRS 9)	✓	N/A
7	De-recognition (IFRS 9)	✓	✓
8	Impairment of Financial Assets (IFRS 9)	✓	N/A
9	Hedging (IFRS 9)	✓	✓
10	Embedded Derivatives (IFRS 9)	✓	✓
11	Disclosures (See IFRS 7)	✓	✓

IFRS 9 requires both the lender and the borrower to recognise a financial instrument when the entity becomes party to the contractual provisions of the instrument

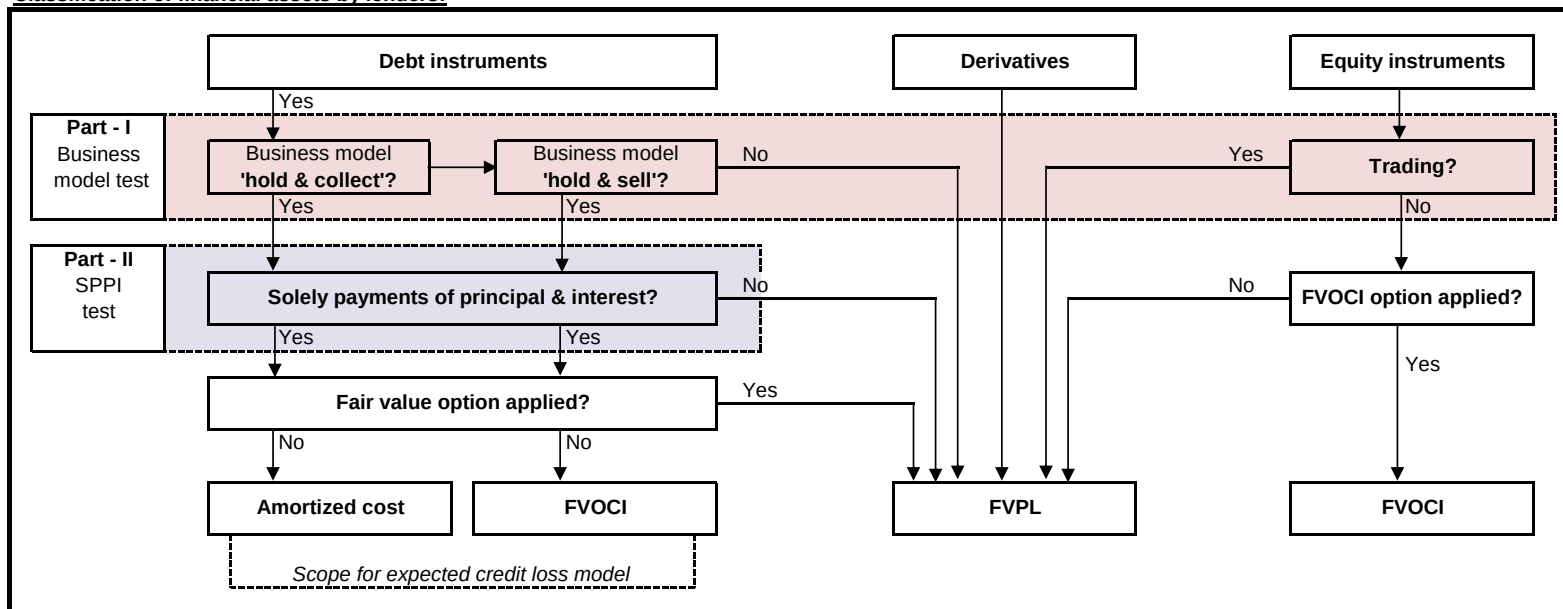


Classification of financial assets by lenders:

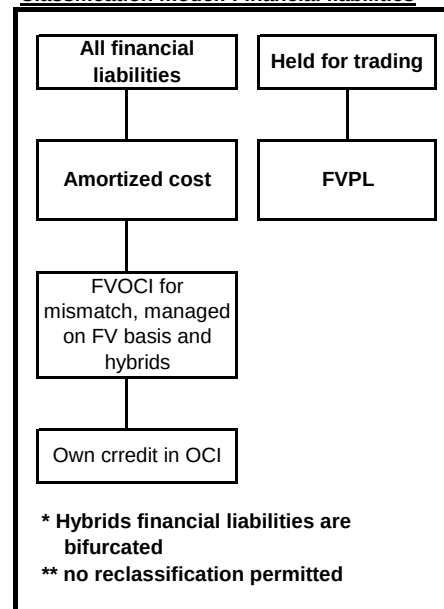
How will lender classify the following financial assets	Method
Investment held for Trading purpose	FVPL
Investment Bond (not listed, maturing in 5 years) The intention is to collect cash flows (which are interest and principal amounts only)	AC
Investment Bond (listed, maturing in 5 years). The intention is to collect cash flows (which are interest and principal amounts only). The entity may sell the bond earlier if price increases.	FVOCI
Trade Receivable	AC
Derivatives held for speculation purposes, with a favorable position	FVPL
Investment in equity shares of a private company. The entity has no intention of sell these shares in the foreseeable future	FVOCI
Investment in loan notes. The objective is to collect contractual cash flows which consist of interest, changes in price in next 5 years and principal amount at the end of 5 years	AC
Investment in loan notes. The objective is to collect contractual cash flows which consists of interest, changes in price in next 5 years and principal amount at the end of 5 years. However, The entity may sell the loan note earlier if any good offer is received.	FVOCI
Investment in convertible loan stock	AC

IFRS 9 - Classification & measurement: 3 steps to classify financial assets

Classification of financial assets by lenders:



Classification model: Financial liabilities



Classification of Financial Liabilities by the borrower - Examples

How will borrower classify the following financial liabilities	Method
Borrowed a 10% bank loan from X Ltd., payable in 5 years' time	AC
Issued a 5 year 10% loan stock trading in the market, but intention is to settled on maturity	AC
Entered into a short term currency swaps agreement with AB Bank Ltd., which is currently unfavourable	FVPL
Trade payable	AC

Initial measurement & subsequent measurement

Category	Financial assets			Financial Liabilities		
	Initial measurement	Subsequent measurement	Changes	Initial measurement	Subsequent measurement	Changes
FVPL	Fair value	Fair value	FV>PnL	Fair value	Fair value	FV>PnL
AC	FV + TC	Amortized cost	EI>PnL	FV + TC	Amortized cost	EI>PnL
FVOCI (Equity)	FV + Transaction cost	Fair value	Changes in FV> OCI			
FVOCI (Debt)	FV + Transaction cost (TC)	1st - include effective interest 2nd - Change to FV	Effective interest (EI)> PnL Change in FV> OCI			

Reclassification financial assets by lender

From	To	Requirement
AC	FVPL	Measure FV at reclassification date & recognise differences between FV & AC in PnL
FVPL	AC	FV at the reclassification date becomes the new gross amount
AC	FVOCI	Measure FV at reclassification date & recognise any differences in OCI
FVOCI	AC	Cumulative gain/loss previously recognised in OCI is removed from equity & apply FV at reclassification date
FVPL	FVOCI	Assets to measure at FV & subsequent gain/loss in OCI
FVOCI	FVPL	Assets to measure at FV and cumulative gain/loss previously recognised in OCI is reclassified from equity to PnL

Impairment of Financial assets – the Lender

The impairment requirements under IFRS 9 are applied to:

1. Financial assets measured at amortized cost (incl. trade receivables)
2. Financial assets measured at fair value through OCI
3. Loan commitments and financial guarantees contracts where losses are currently accounted for under IAS 37 Provisions, Contingent Liabilities and Contingent Assets
4. Lease receivables

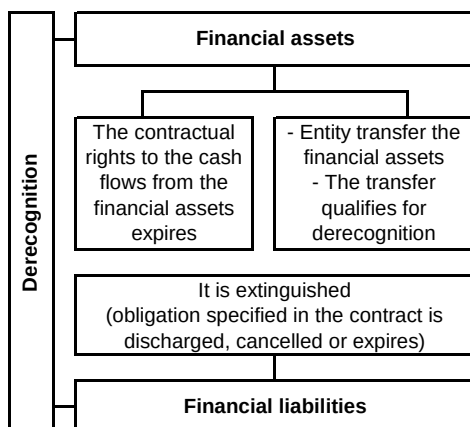
2. Simplified Approach

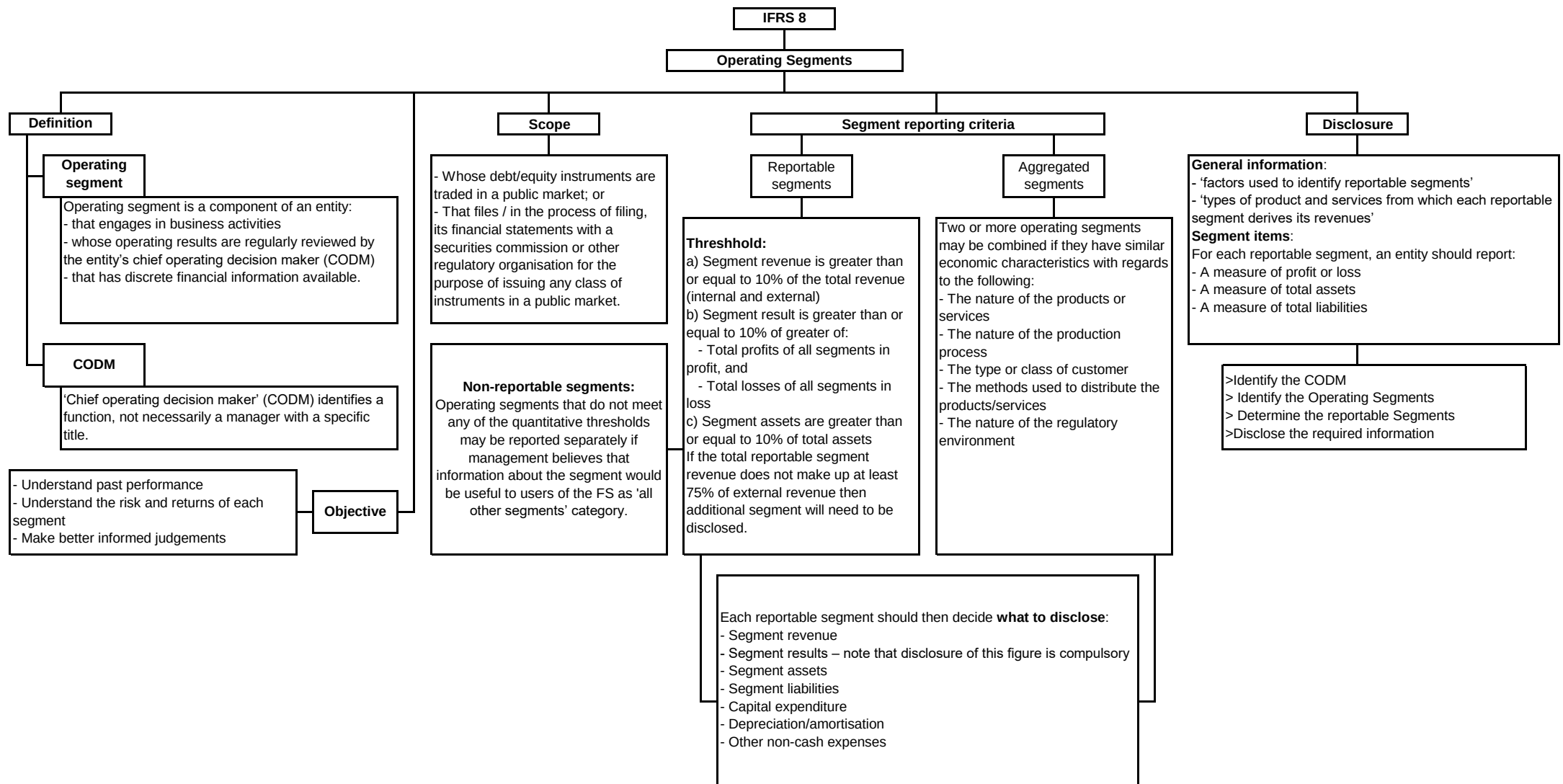
Aging	Trade receivable balances (Tk.)	Historical loss rates adjusted for current condition and forward looking information (%)	Provision for ECLs (Tk. x %)
Not past due	748,400	0.50%	3,742
1 - 30 days	104,600	0.80%	837
31 - 90 days	55,200	5.60%	3,091
91-180 days	26,400	8.90%	2,350
181-365 days	15,000	20.30%	3,045
365+ days	10,000	63.90%	6,390
Debtors X	40,400	100.00%	40,400
Total	1,000,000		59,855

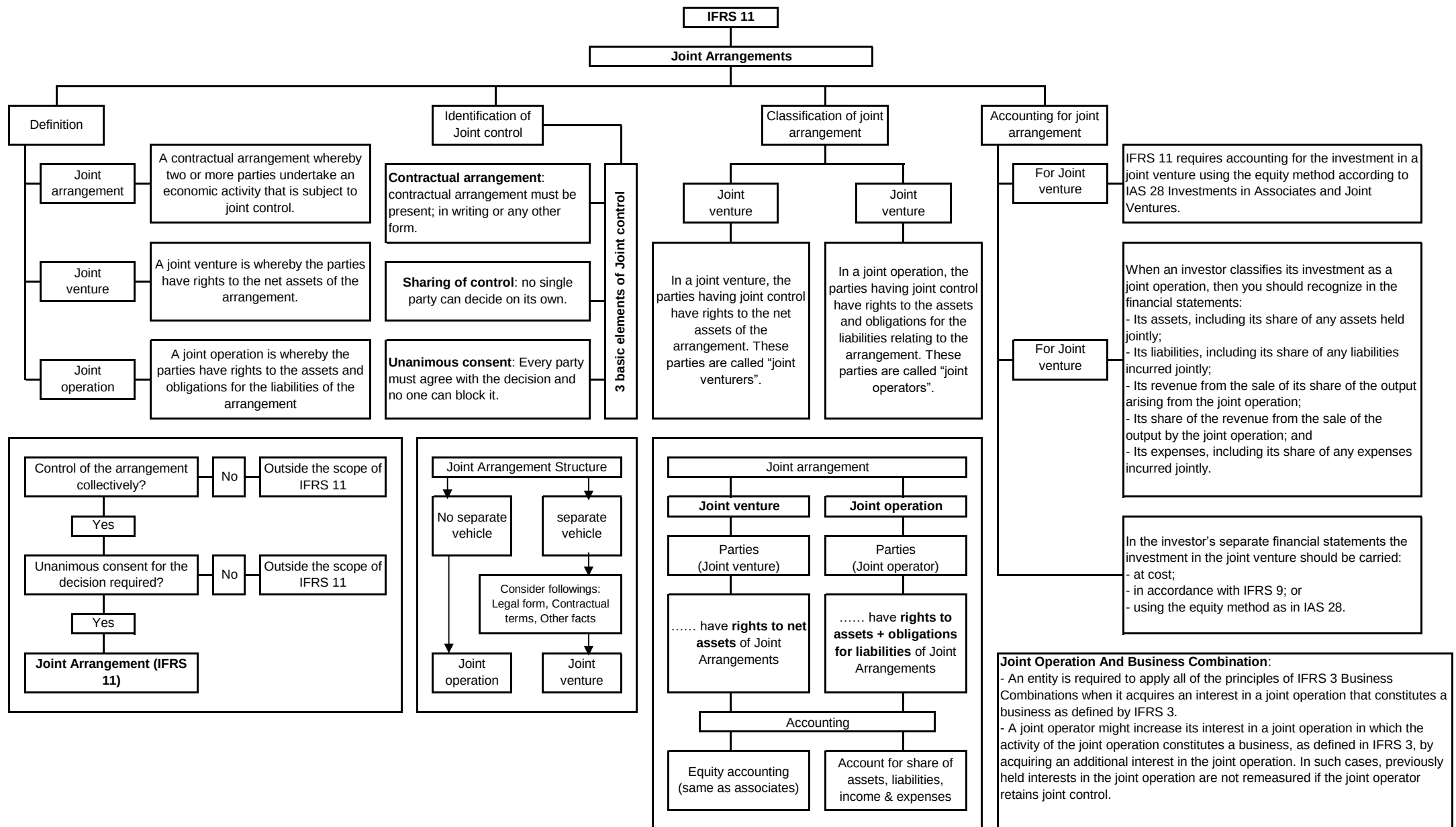
1. The general model for measuring a loss allowance (Expected Credit Loss):

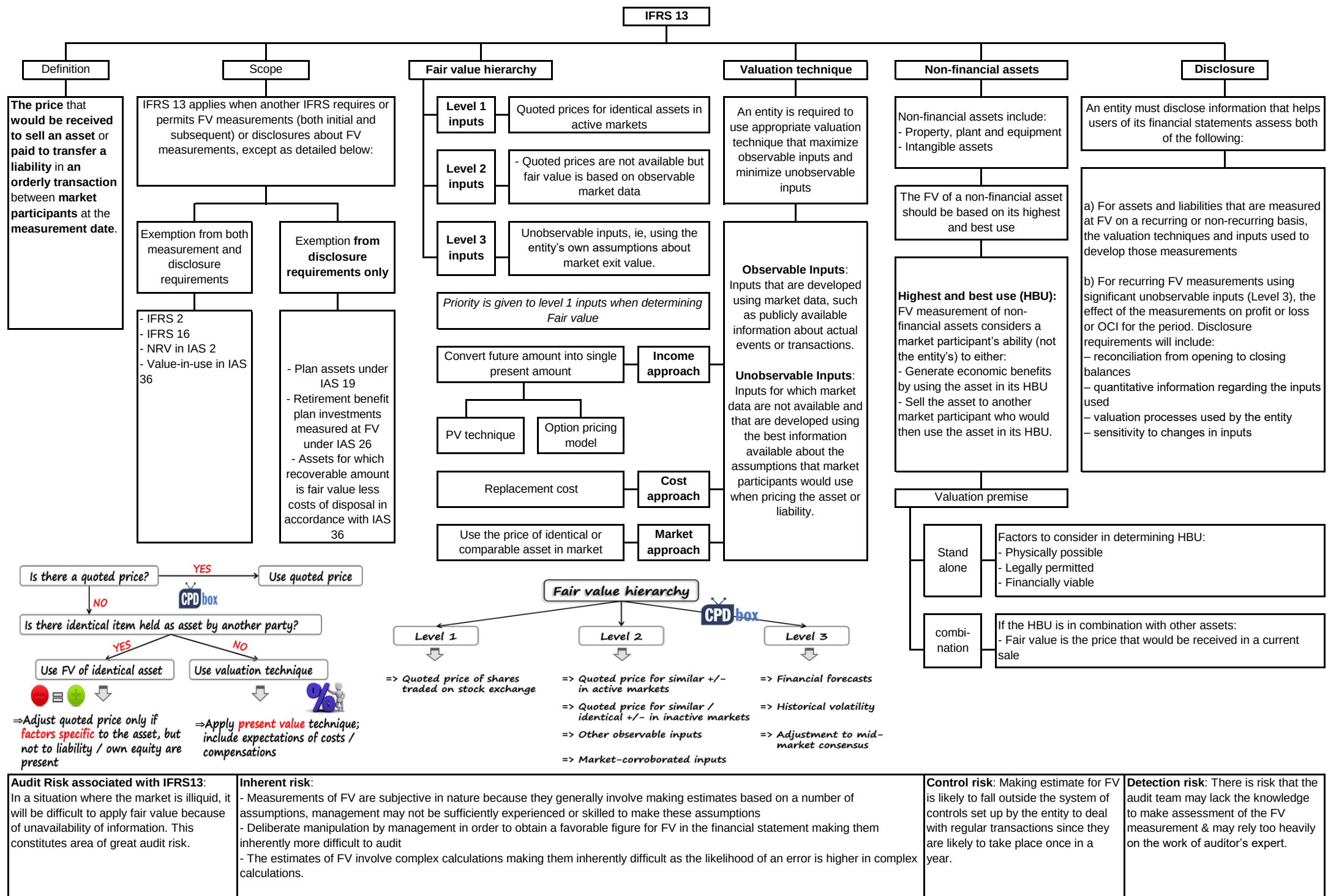
	Stage - 1 Performing assets (Low credit risk) Loss allowance is recognized in the amount of 12-month expected credit loss	Stage - 3 Financial assets with significantly increased credit risk Loss allowance is recognized in the amount of lifetime expected credit loss	Stage - 3 Credit-impaired financial assets Loss allowance is recognized in the amount of lifetime ECL and interest revenue is recognized based on amortized cost
Loss amount updated at each reporting date	12 month expected credit loss (Credit losses that result from default events that are possible within next 12 months)	Lifetime expected credit loss	
Lifetime expected credit loss criterion		Credit risk has increased significantly since initial recognition (Whether on an individual or collective basis) + Credit impaired	
Interest revenue calculated based on	Effective interest rate on gross carrying amount	Effective interest rate on gross carrying amount	Effective interest rate on amortised cost (gross carrying amount) less loss allowance

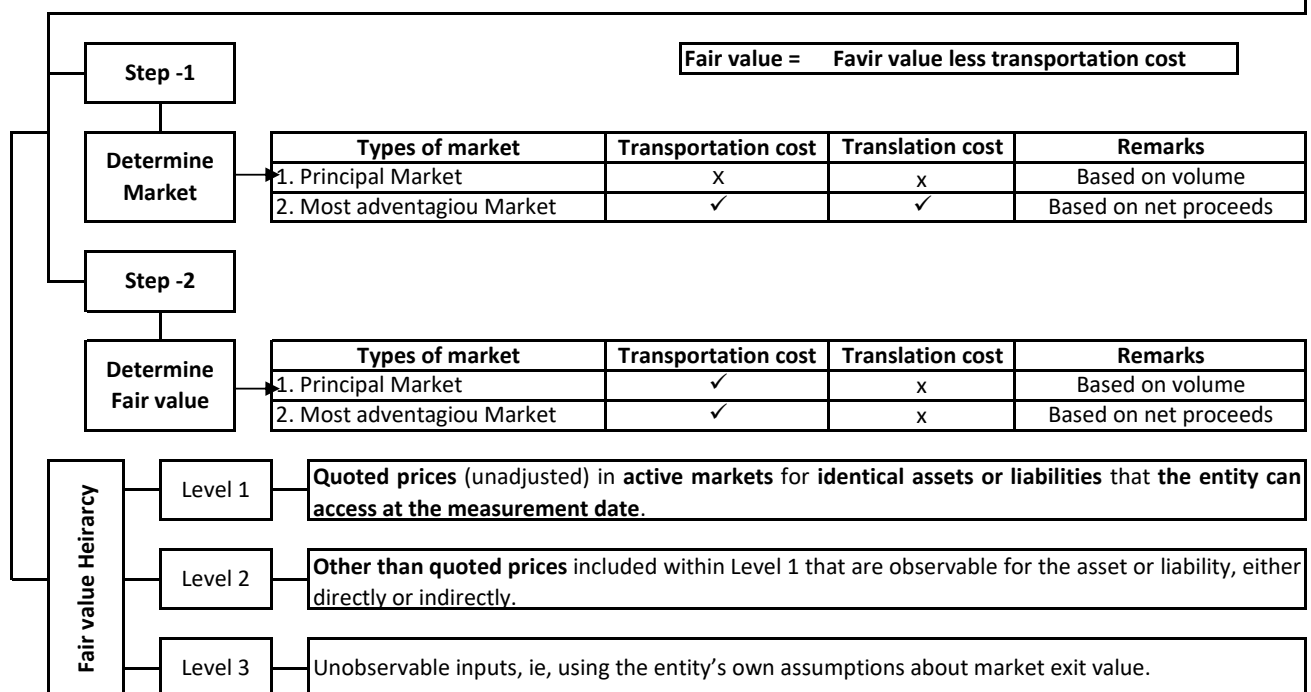
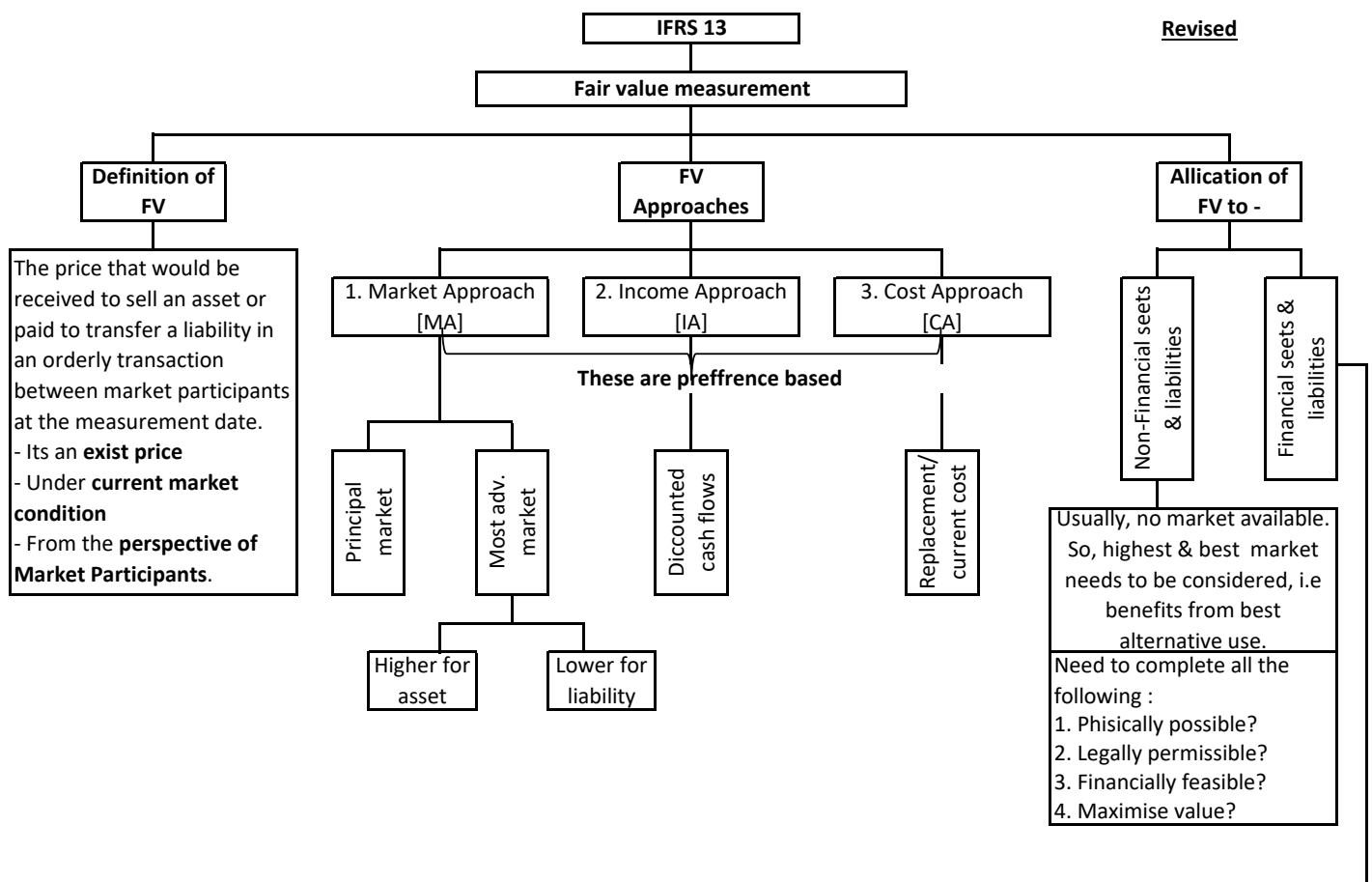
Derecognition of Financial Assets & Liabilities





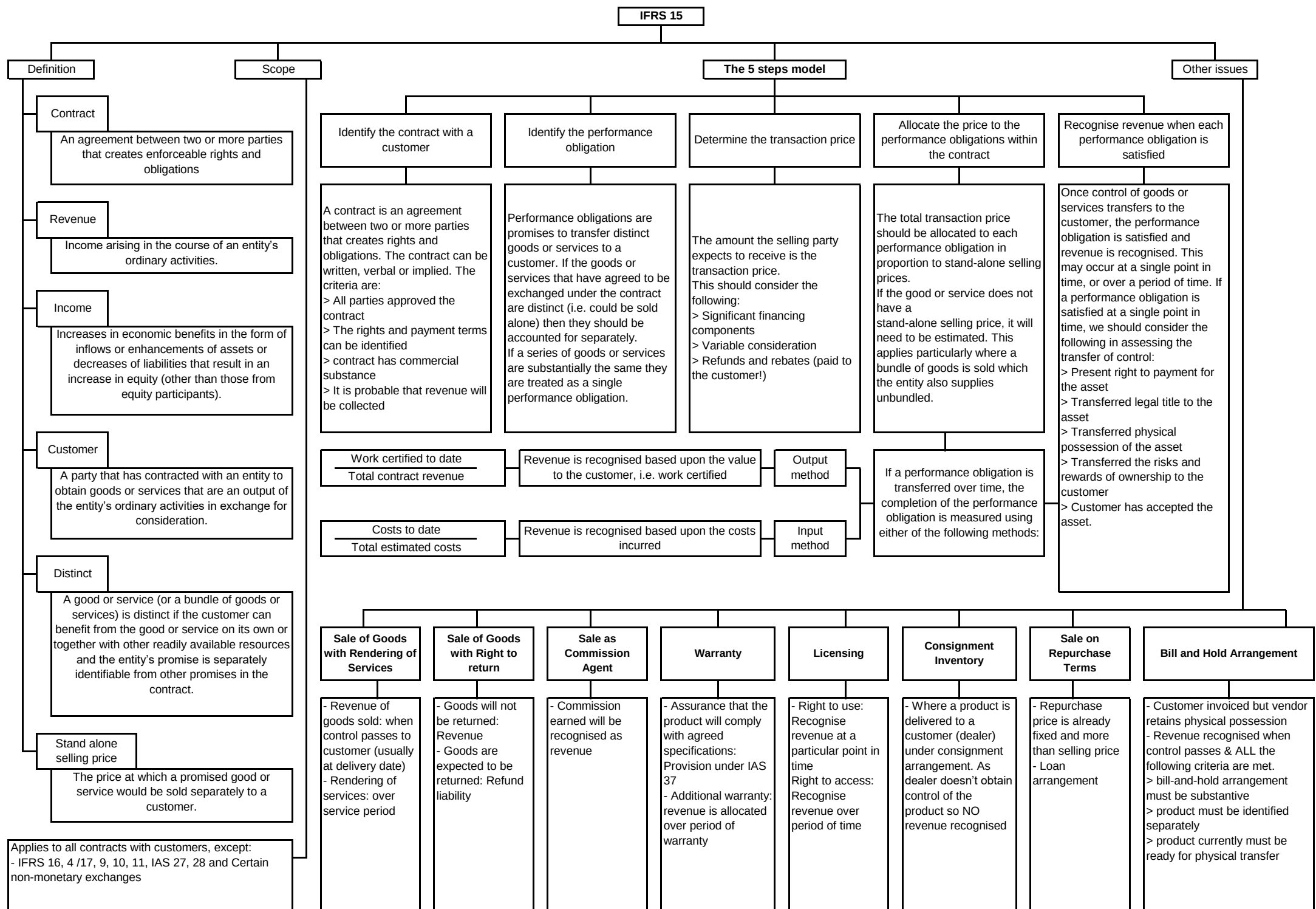


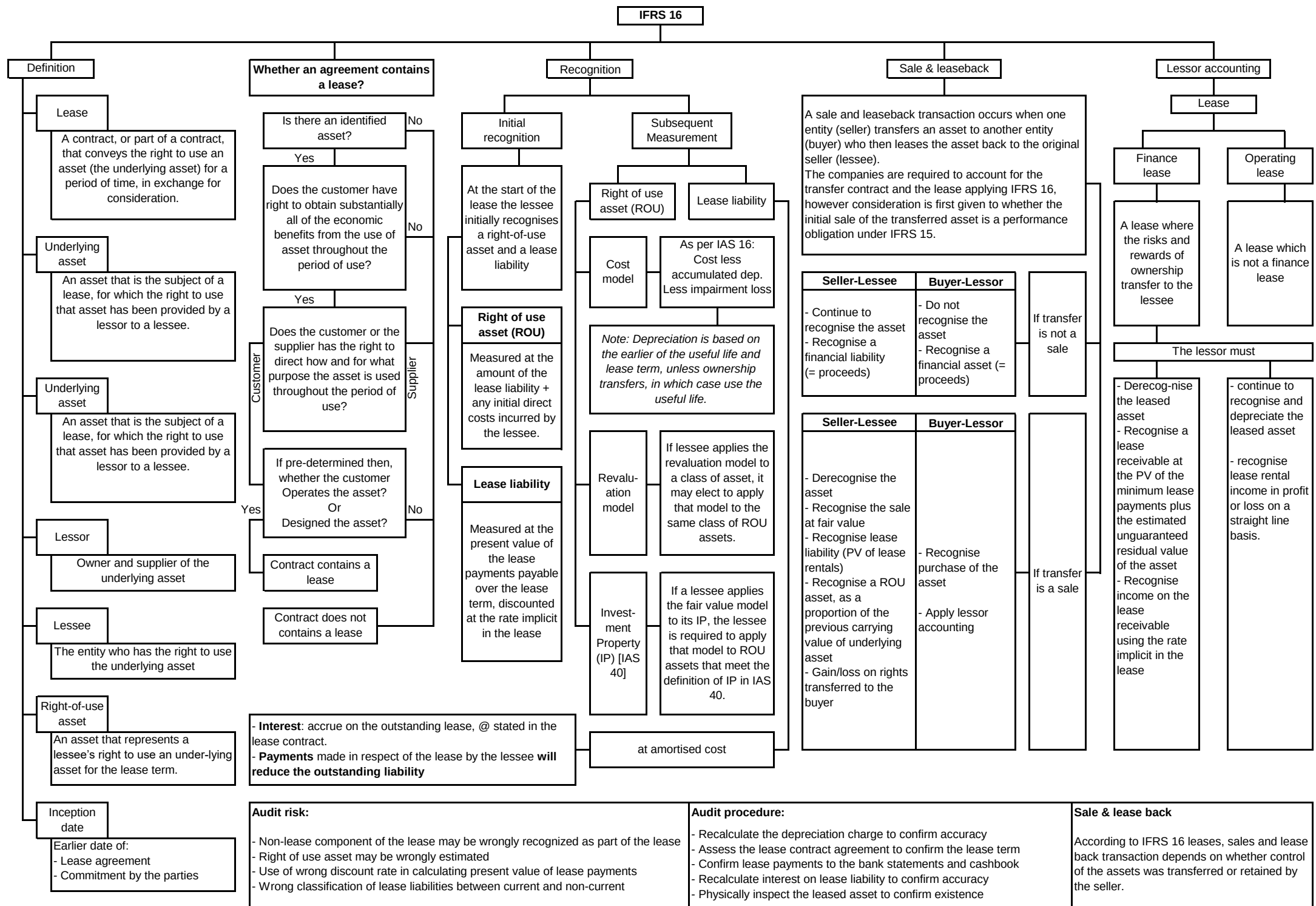




Summary:

Input level	FV Approaches	Observable inputs
Level 1	MA	- Active market, -Unadjusted quoted price, -Identical asset/liability, -Access to market
Level 2	MA, IA	- Inputs other than quoted price in level one, -Observable inputs for assets/liabilities
Level 3	IA, CA	- Unobservable inputs





IFRS 18: Presentation and Disclosure in Financial Statements

Replaces IAS 1 requirements for income statement presentation

Core Objective:

Improve predictability, comparability, and transparency of financial statement analysis by:

- Standardizing income/expense categorization
- Defining subtotals (especially operating profit)
- Enhancing disclosure discipline

Major Changes

a) New Income Statement Structure

Category	Definition	Examples
Operating	Activities central to revenue generation	Sales, COGS, R&D, SG&A
Investing	Managing long-term resources	Dividends <i>received</i> , asset sales
Financing	Funding activities	Dividends <i>paid</i> , interest <i>paid/received</i>
Income Taxes	Tax-related items	Current/deferred tax
Discontinued Operations	As defined in IFRS 5	

b) Mandatory Subtotals

- Operating Profit: *Must* be disclosed, with standardized rules
- Profit Before Financing/Tax: New subtotal (operating + investing)

c) Enhanced Disclosures

- Management-Defined Performance Measures (MDPs):
 - Must be labeled clearly (e.g., *not* "EBITDA" if adjusted)
 - Reconciliation to IFRS-specified subtotals required
- Aggregation Policy: Disclose criteria for grouping line items

Why Issued?

- Problem: Companies overused non-GAAP measures (e.g., "adjusted EBITDA")
- Solution: Standardize core subtotals + regulate custom metrics

Comparison with IAS 1

Area	IAS 1	IFRS 18
Income Categories	No defined categories	5 mandatory categories
Operating Profit	Not defined	Strictly defined
Interest/Divs	Classified by nature/function	<i>Always</i> in investing (income) or financing (expense)
Custom Metrics	Minimal regulation	Strict labeling/reconciliation required

Statement of profit or loss (under IAS 1)

Revenue	1,000
Cost of sales	(600)
Gross profit	400
Other Income	30
Operating expenses:	
Selling & admin. Expenses	(150)
R&D expenses	(50)
Operating profit	230
Finance cost	(30)
Profit before tax	200
Income tax expenses	(45)
Profit from continued operation	155
Loss from continued operation	(5)
Profit for the year	150

Statement of profit or loss (under IFRS 18)

Revenue	1,000
Cost of sales	(600)
Selling & admin. Expenses	(150)
R&D expenses	(50)
Operating profit	200
Investing category:	
Investment income	20
Gain on disposal of investment	10
Profit before financing and income tax	230
Financing category:	
Interest expenses	(15)
Foreign exchange loss	(15)
Profit before tax	200
Income tax expenses	(45)
Profit from continued operation	155
Loss from continued operation	(5)
Profit for the year	150

Aggregation Threshold:

Line items can be aggregated only if sharing similar nature/function

Management-defined Performance Measures (MPM) Disclosure Rules:

- Must not appear in primary financial statements
- Require reconciliation to the closest IFRS-defined subtotal

Effective Date & Transition

Effective: Annual periods starting 1 Jan 2027

Comparative Restatement: Required (2026 data restated under IFRS 18)

IFRS S1: General Requirements for Disclosure of Sustainability-related Financial Information

What it is:

The first global baseline standard for sustainability-related financial disclosures, issued by the IFRS Foundation's International Sustainability Standards Board (ISSB) in June 2023.

Core Objective:

To require entities to disclose information about sustainability-related risks and opportunities that could reasonably be expected to affect the entity's cash flows, access to finance, or cost of capital over the short, medium, or long term (i.e., information relevant to assessing enterprise value).	Disclose sustainability-related risks/opportunities that could affect: - Cash flows (i.e., information relevant to enterprise value) - Access to finance - Cost of capital
--	---

Core Content Requirements (The "4 Pillars"):

Entities must disclose information under four key pillars aligned with the **Task Force on Climate-related Financial Disclosures (TCFD)** framework:

Governance: Oversight and management's role regarding sustainability risks/opportunities.

Strategy: How these factors affect the entity's business model, strategy, and financial planning; resilience under different scenarios.

Risk Management: Processes to identify, assess, prioritize, and monitor related risks.

Metrics and Targets: Information used to measure, manage, and monitor performance, including targets set by management or required by law/regulation.

Pillar	Key requirements
Governance	Oversight by board/management; governance processes/policies.
Strategy	Effects on business model/strategy; resilience (scenario analysis); time horizons.
Risk Management	Processes to identify, assess, prioritize, and monitor risks.
Metrics and Targets	Industry-specific KPIs (using SASB), targets set by management/law.

Materiality Focus

Disclosures must focus on information material to investors and other primary users related to enterprise value. Requires disclosure of information that could influence investors' decisions (financial materiality).	Impact of sustainability matters ON the entity (not "double materiality").
--	---

Foundation

Built on the Task Force on Climate-related Financial Disclosures (TCFD) recommendations and incorporates industry-specific disclosure requirements from the Sustainability Accounting Standards Board (SASB) Standards.	MUST use SASB for industry metrics
---	---

Reporting

Disclosures should be made alongside financial statements (e.g., in the same report), for the same reporting period, and subject to fair presentation and materiality assessments. Comparative information is required. Location of disclosure: Must be part of the general purpose financial reports, not in a separate sustainability	- Integrated Reporting - Comparative Information - Fair Presentation
--	---

Consistency and Comparability

Entities are required to report consistently over time and provide comparative information.

Significance

Aims to create globally comparable, reliable sustainability information for capital markets, reducing fragmentation and greenwashing, and meeting investor demands for decision-useful data.

Effective Date:

Applies for annual reporting periods beginning on or after 1 January 2024, with earlier adoption permitted if IFRS S2 (Climate-related Disclosures) is also adopted.

IFRS S2: Climate-related Disclosures

Core Purpose & Scope

Objective: Provide decision-useful climate-related information to investors.
Applies to: All entities reporting under IFRS Sustainability Standards (effective Jan 1, 2024).
Companion Standard: Used with IFRS S1 (general sustainability disclosures)

Governance, Strategy, Risk Management, Metrics & Targets

Governance: Oversight of climate risks/opportunities by board/management.
Strategy: Climate impacts on business model, value chain, and financial planning. Includes:
- Climate resilience (scenario analysis)
- Transition plans (if any)
Risk Management: Processes to identify, assess, and manage climate risks
Metrics & Targets: Quantitative climate performance data and goals.

Key Disclosure Requirements

Greenhouse Gas (GHG) Emissions
- Mandatory disclosure - Scope 1 (Direct emissions), Scope 2 (indirect emissions from energy), Scope 3 (indirect emissions in the value chain).
- Measured in CO₂-equivalent (CO₂e)
- Scope 3 disclosure includes phased relief (e.g., later reporting date)
Cross-Industry Metrics:
- Climate-related risks/opportunities.
- Capital deployment, internal carbon prices.
Industry-Specific Metrics:
- Supplemental guidance for high-impact sectors (e.g., oil/gas, transport)
Targets:
- Progress against climate targets (e.g., net-zero).
- Current actions taken to meet targets.

Key Disclosure Requirements

- Disclose material climate risks/opportunities (short/medium/long-term).
- Aligns with IFRS S1 definition (information that could influence investor decisions).

Why It Matters

- **Investor Demand:** Standardizes climate data for capital allocation.
- **Global Baseline:** Part of ISSB’s goal to harmonize sustainability reporting.
- **Integration:** Designed to be used with IFRS S1 and alongside financial statements.
- **Comparability:** Enables consistent cross-entity climate performance assessment.

Implementation Timeline

- Effective for annual periods starting Jan 1, 2024.
- Scope 3 emissions: Additional time for preparation (exact timing varies by jurisdiction).
- Proportionality relief for non-public entities

Comparison Table of IFRS S1 & S2

Feature	IFRS S1	IFRS S2
Scope	Broad sustainability issues	Focused on climate-related issues
Based on	TCFD framework	TCFD (climate-specific)
Disclosure Focus	Governance, Strategy, Risk, Metrics & Targets	Same, but climate-specific
GHG Emissions Required?	Not specifically	Yes, Scope 1, 2, and 3
Transition Plans	Optional	Required if relevant

Consolidaion related issues & workings

i) Acquisition method of accounting

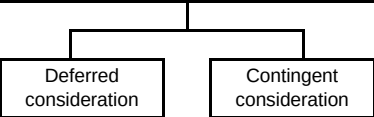
- Identifying the acquirer
- Determining the acquisition date
- Measuring the consideration transferred
- Recognising and measuring the identifiable assets acquired, the liabilities assumed and any non-controlling interest in the acquiree
- Recognising and measuring goodwill or a gain from a bargain purchase

ii) Identifying the acquirer

Acquirer: The entity that obtains control of the acquiree.
Acquiree: The business or businesses that the acquirer obtains control of in a business combination.
Control: The power to govern the financial & operating policies of an entity or business so as to obtain benefits from its activities.
Acquisition date: The date on which the acquirer obtains control.

iii) Cost of business combination

The cost of the business combination is the total of the fair values of the consideration transferred



Deferred consideration should be measured at its FV at the acquisition date. The FV depends on the form of the deferred consideration.
> Where the deferred consideration is in the form of equity shares:
- its FV should be measured at the acquisition date market price
- the deferred amount should be recognised as part of equity, under a separate heading such as 'shares to be issued'.
> Where the deferred consideration is payable in cash
- A liability should be recognised at the present value of the amount payable

vi) Non-controlling interest

IFRS 3 allows two methods of measuring the non-controlling interest (NCI) at the acquisition date:

1. proportionate basis
2. At its fair value

Where NCI has been measured at fair value and there is an impairment of goodwill, part of that impairment will be charged to the NCI at the end of the reporting period, based on the NCI %.

Subsequent measurement of NCI

FV of NCI at acquisition date	X
Share of post acquisition profits and other reserves	
[NCI% X post acquisition (W2)]	X
NCI at the reporting date	X

An obligation of the acquirer to transfer additional consideration to the former owners of the acquiree if specified future events occur or conditions are met.

Measurement of the contingent consideration should be reassessed at fair value each year and the difference taken to profit or loss unless the contingent consideration is in shares. If the contingent consideration is in shares (ie, classified as equity) then it should not be remeasured but its subsequent settlement should instead be recognised as part of equity.

v) Goodwill at acquisition

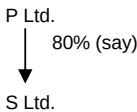
Fair value of consideration transferred	X
Non-controlling interest at acquisition	X
Less: Fair value of tangible assets	X
Fair value of intangible assets	X
Fair value of assets	X
Fair value of liabilities	(X)
Fair value of contingent liabilities	(X)
Fair value of net assets	(X)

Goodwill/(Gain from a bargain purchase) **X**

A gain on a bargain purchase arises if the fair value of the net assets acquired exceeds the total of the consideration transferred and the value of any non-controlling interest, ie, there is 'negative goodwill'. IFRS 3 is based on the assumption that this usually arises because of errors in the measurement of the acquiree's net assets and/or the consideration transferred. So the first action is always to reassess the identification and measurement of the net assets and the measurement of the consideration transferred, checking in particular whether the fair values of the net assets acquired correctly reflect future costs arising in respect of the acquiree.

vi) Consolidation workings (SFP)

1. Establish group structure:



2. Set out net assets of S Ltd.:

	At year end	At acquisition	Post acquisition
Share capital	X	(X)	X
Retained earnings	X	(X)	X
	X	(X)	X

3. Calculate goodwill

Consideration transferred	X
Plus non-controlling interest at acquisition	X
	X
Less net assets at acquisition (W2)	(X)
	X
Impairment to date	(X)
Balance c/f	X

4. Calculate non-controlling interest (NCI) at year end

At acquisition [NCI% × net assets (W2) or fair value]	X
Share of post-acquisition profits and other reserves [NCI% × post-acquisition (W2)]	X
	X

5. Calculate retained earnings

P Ltd (100%)	X
S Ltd [share of post-acquisition retained earnings (W2)]	X
Goodwill impairment to date (W3)	X
Group retained earnings	X

7. Intra-group trading

- Step 1:** Check that current accounts agree before cancelling.
Step 2: Make balances agree by adjusting for in-transit items in the receiving company's books.
Step 3: Cancel intra-group balances

8. Unrealised intra-group profit

Intra-group activities may give rise to profits that are unrealised as far as the group as a whole is concerned. These profits can result from:

a) intra-group trading when goods still held in inventory of buying company

Where goods transferred at a profit are still held at the year end the unrealised profit should be eliminated on consolidation. This is achieved by creating a provision for unrealised profit (PURP).

When Parent sells to Subsidiary

- Seller's (P Ltd's) retained earnings (ie, adjust in retained earnings working) - Dr.
Inventories in consolidated statement of financial position - Cr.

When Subsidiary sells to Parent

- Seller's (S Ltd's) retained earnings (ie, adjust in net assets working) - Dr
Inventories in consolidated statement of financial position - Cr.

b) intra-group transfers of non-current assets

If the asset is transferred at a price different from the transferor's carrying amount two issues arise:

- The selling company will have recorded a profit or loss on sale.
- The purchasing company will have recorded the asset at the amount paid to acquire it, and will use that amount as the basis for calculating depreciation.

Adjustments:

CV of NCA at year end in the transferee's financial statements	X
Less CV of NCA at year end if transfer had not been made	(X)

Unrealised profit

Selling company retained earnings - DR	
NCA carrying amount in CFP - Cr	

Impact of the adj. will depend on whether the parent or the subsidiary makes the sale

9. Reflecting fair values

The identifiable assets and liabilities of a subsidiary should be brought into the consolidated financial statements at their fair value. **Normally these fair values are not reflected in the single entity FS. Therefore the difference between fair values and carrying amounts should be treated as a consolidation adjustment made only for the purposes of the consolidated FS.** An adjustment will always be necessary for any contingent liabilities recognised at the acquisition date, to the extent they are only disclosed by way of note in the acquiree's FS.

13. Prepare consolidation schedule

	<u>P</u>	<u>S</u>	<u>Adj.</u>	<u>Con.</u>
Revenue	X	X	(X)	X
Cost of sales – Per Q	(X)	(X)	(X)	(X)
– PURP (seller's books)	(X)	(X)		
Expenses – Per Q	(X)	(X)		(X)
– Goodwill impairment (if any)*	(X)	(X)		
Tax – Per Q	(X)	(X)		(X)
Profit				(X)

May need workings for (eg):

- PURPs
- Goodwill impairment

16. Equity method

Significant influence: presumed that an investment of between 20% and 50% indicates significantly influence

Initial recognition: At cost

Subsequent measurement: Adjusted in each period for

Original cost (in P's books)	X
Share of post-acquisition change in net assets	X
Less: Impairment loss to date	(X)
Less: Dividend receipt	(X)
	X

The assets and liabilities of the associate **are not included** on a line-by-line basis.

Associate's losses:

- The group's share of the loss should be recognised as a reduction in the carrying amount of the associate.
- The group share of the post-tax loss should be recognised.
- Once the carrying value of the investment in the associate has been reduced to zero, no further losses should be recognised by the group.

PURP: adjust for P's% of any PUP

- Reduce P's RE by its share of the unrealised profit
- Reduce the carrying amount of the investment in A
- Increase P's cost of sales by its share of the unrealised profit (if P sells to A).

10. Other reserves in a subsidiary

- Other reserves at acquisition form part of the net assets at acquisition, ie, they should be recorded in the net assets working at acquisition.
- A separate working should be used for each reserve; do not mix retained earnings with other reserves as the other reserves may include amounts which are not distributable by way of dividend.
- If a subsidiary is loss-making or has any other negative reserves the group should consolidate its share of the post-acquisition losses/negative reserves.

14. Calculation of NCI (on profit/loss)

SPAT X NCI%

$$\text{NCI}\% \times \text{(X)} = \text{X}$$

15. Dividend

- Dividends received are shown as income in the statement of profit or loss; but
 - Dividends paid are shown in the equity statement
- Adjustments:**
- Cancel P's dividend income from S in P's PnL against S's dividends in S's equity statement
 - Leaving the uncanceled amount of S's dividends to be shown as the dividends to the noncontrolling interest in the consolidated equity statement

16. Disposal of subsidiary

A profit or loss will be calculated by comparing the sale proceeds with the carrying amount of the investment disposed of.

Consolidated statement of profit or loss

S's results up to the date of disposal	X
If there is a NCI in the subsidiary, its share of S's results up to the date of disposal	X
the profit or loss arising on the disposal	X
	X

Calculation:

Sales proceeds	X
Less: Carrying amount of goodwill at date of disposal:	
Consideration transferred	X
NCI at acquisition	X
Less net assets at acquisition	(X)
Goodwill at acquisition	X
Less impairment to date	(X)
Carrying value of goodwill	X
Less: Carrying amount of net assets at date of disposal	
Net assets b/f	X
Profit/(loss) for current period to disposal date	X
Dividends paid before disposal date	(X)
	(X)
Add back NCI in net assets at date of disposal	X
Profit (loss) on disposal	X

11. Accounting policy alignments

- If the parent company and subsidiary have different accounting policies the balances in the subsidiary's financial statements should be adjusted to reflect the accounting policies of the parent company.
- These adjustments are made in the net assets working

12. Mid-year acquisitions

- The results of the subsidiary should be consolidated from the date of acquisition
- Only the post-acquisition figures should be included in the consolidated statement of profit or loss.
- Assume revenue and expenses accrue evenly over the year unless the contrary is indicated
- Time-apportion totals for revenue, cost of sales expenses and tax first, then deduct post-acquisition intra-group items.
- Recognise goodwill impairment

15. Transfer to reserve

- Some companies transfer amounts from retained earnings to named reserves. Such transfers are made in the analysis columns in the CSCE and are therefore shown net of NCI.

Group transfers
between reserves

= P's transfer
between
reserve

+ P% of S's
transfers
between
reserves

Includes P's reserves and P's share of S's post-acquisition reserves.

Journal:

Cash/receivables (proceeds) - Dr.

Investment in S (Carrying amount – usually cost) - Cr.

Profit or loss (loss/profit on disposal) - Dr./Cr.

Consolidation related workings

W-1: Group structure

	Sub -1	Sub -2	
Parent% - Direct	60%		[80%*60%]
- Indirect	0%	48%	
NCI%	40%	52%	
Total	100%	100%	

W-2: Net assets workings

Particulars	At reporting date	At acquisition	Post acq. Changes
Share capital	50.00	50	-
Retained earnings	66.00	12	54.00
PURP (if any)	(1.00)	-	(1.00)
Other reserve	23.00	8	15.00
FV adjustments	2.00	2	-
Acc. Dep on fair value uplift	(0.40)	-	(0.40)
	139.60	72.00	67.60

W -3: Fair value of consideration transferred

i) Cash consideration paid immediately

The whole amount of cash paid paid immediately

ii) Deferred consideration

The acquisition date for P Ltd.'s purchase of the whole of the share capital in S Ltd. was 1 July 20X5. The consideration comprised 1,000,000 shares in P Ltd. to be issued on 1 July 20X5, £10 million in cash payable on 1 July 20X5, 200,000 shares in P Ltd. to be issued on 1 January 20X6 and £5 million in cash payable on 1 July 20X6.

The market price of one P Ltd. share was 450p on 1 July 20X5, 475p on 1 January 20X6 and 480p on 1 July 20X6. A discount rate of 7% was appropriate.

What is the total consideration for this acquisition?

Fair value of consideration transferred:

1,000,000 shares issued on 1 July 20X5 at 450p	4,500
200,000 shares in P Ltd. to be issued on 1 January 20X6	900
Cash payable on 1 July 20X5	10,000
Cash payable on 1 July 20X6 (5/1.07)	4,673
Total	20,073

iii) Contingent consideration

P Ltd. acquired 100% of S Ltd on 1 January 20X5 when the fair value of S Ltd's identifiable assets net of liabilities assumed was £20 million. The consideration was:

- 8 million shares in S Ltd. issued on 1 January 20X5 when the market price of Autumn plc's shares was 350p.
- A further payment of cash on 31 December 20X6:
 - £700,000 if Spring Ltd's profits for the year then ended were no less than £2 million; or
 - £1,750,000 if Spring Ltd's profits for the year then ended were no less than £3 million.

At 1 January 20X5 the fair value of the contingent consideration was £100,000.

At 31 December 20X5 the fair value of the contingent consideration was £1.2 million.

At 31 December 20X6 S Ltd's 20X6 profits per draft financial statements were £2.5 million.

Fair value of consideration transferred:

8,000,000 shares issued on 1 Jan 20X5 at 350p	28,000
Contingent at fair value at acquisition date	1,000
Total	29,000
NCI at acquisition	-
Less: Net asset acquired	(20,000)
Goodwill at acquisition	9,000

Note:

Additional consideration on 31.12.05 of Tk. 1,100 (1,200-100) will be charged in PnL.

Consideration in case of step acquisition

i) Acquisition and achieving control

On 1 April 2016, P Ltd acquired 14% of the equity interest of S2 Ltd for a cash consideration of GH¢130 million and S1 Ltd acquired 70% of the equity interest of S2 Ltd for a cash consideration of GH¢635 million.

At 1 April 2016, the identifiable net assets of S2 Ltd had a fair value of GH¢495 million, retained earnings were GH¢95 million and other components of equity were GH¢26 million.

At 1 April 2017, the identifiable net assets of S2 Ltd had a fair value of GH¢575 million, retained earnings were GH¢120 million and other components of equity were GH¢35 million. The excess in fair value is due to non-depreciable land. The fair value of the 14% holding of P Ltd in S2 Ltd, which was classified as fair value through profit or loss, was GH¢140 million at 31 March 2017 and GH¢155 million at 31 March 2018. However, the fair value of S1 Ltd's interest in S2 Ltd had not changed since acquisition.

On 1 April 2017, S1 Ltd acquired 60% of the equity interest of S1 Ltd.

Group structure:

	B Ltd.	C Ltd.
A% - Direct	60%	14%
- Indirect	0%	42%
NCI%	40%	44%
Total	100%	100%

Net asset of C Ltd.

Share capital (given)	400
Retained earnings	120
Other components of equity	35
FV adjustments (β)	20
Total	575

Computation of goodwill:

Fair value of consideration transferred:

FV of initial holding at date control obtained	140
FV of consideration transferred by B Ltd.	635
Less: Adj. for indirect holding (635*40%)	(254)

521

Add: NCI at acquisition

253

Less: Net assets acquired

(575)

Goodwill at acquisition

199

- Note:
1. Here acquisition date is 01 April, 2017 (when control is achieved)
 2. For indirect adjustments, investment will be considered upto parent% only.
 3. For NCI, effective % of NCI will be considered

ii) Acquisitions that do not result in a change of control (already control available)

On 1 June 20X6, P acquired 70% of the equity of S in exchange for £760,000 cash and 100,000 P's shares. At this date the fair value of the identifiable net assets of S was £850,000 and the market value of P shares was £2.50.

On 31 December 20X8, P acquired a further 10% of the equity of Madrid at a cost of £105,000. On this date the identifiable net assets of S were £970,000.

P measures the non-controlling interest using the proportion of net assets method.

Computation of goodwill:

Fair value of consideration transferred:

Cash	760
Fair value of share (100,000 share x Tk. 2.5)	250
	1,010

Add: NCI at acquisition

255

Less: Net assets acquired

(850)

Goodwill at acquisition

415

For additional acquisition of 10%, the following will be considered:

The adj. required is based on the change in the NCI at the acq. date:

NCI on 31.12.X8 based on old interest (30% × £970,000)	291
NCI on 31.12.X8 based on new interest (20% × £970,000)	(194)

Adjustments required

97

Journal entry:

Non-controlling interest	97
Shareholders' equity (bal fig)	8
Cash	105

W-4: Computation of Goodwill (NCI measured proportionately & NCI measured at FV)

A acquires 80% of B for £120,000. The net assets at the date of acquisition were £130,000 and the fair value of the 20% non-controlling interest equity shares was £28,000.

	NCI measured proportionately	NCI measured at Fair value
Consideration transferred	120,000	120,000
Non-controlling interest (20% × £130,000) or fair value	26,000	28,000
Less: Net assets acquired	(130,000)	(130,000)
Goodwill at acquisition	16,000	18,000
Less: Impairment, say 10,000/- (on Full Goodwill)	(8,000)	(10,000)
Goodwill at reporting date	8,000	8,000

W-5: Computation of NCI

NCI at acquisition	X
Add: NCI% of post acquisition changes	X
Less: Indirect holding adjustments, if any	(X)
Add: Preference share, if any	X
	X

W-6: Computation of Retained earnings

Prent retained earnings	X
Post acquisition changes of S1 x holding%	X
Post acquisition changes of S2 x holding%	(X)
Goodwill impairment	(X)
Any other consolidated adjustments	(X)
	X

W-7: PURP on inventory & Non-current assets**i) PURP Inventory:**

P Ltd., the parent company, sells goods which cost £1,600 to S Ltd. for £2,000. P Ltd. owns 75% of the shares in S Ltd. S Ltd still hold the goods in inventories at the year end.

Amount of provision for unrealised profit (PURP) is 400 (2,000-1600)

Adjustment Journal:

Seller's (P Ltd's) retained earnings (ie, adjust in retained earnings working)	400
Inventories in consolidated statement of financial position	(400)

If we now assume that S Ltd (subsidiary) sold the goods to P Ltd (parent) the adjustment would be as follows:

Seller's (S Ltd's) retained earnings (ie, adjust in net assets working)	400
Inventories in consolidated statement of financial position	(400)

ii) PURP Non-current assets:

If the asset is transferred at a price different from the transferor's carrying amount two issues arise:

- The selling company will have recorded a profit or loss on sale.
- The purchasing company will have recorded the asset at the amount paid to acquire it, and will use that amount as the basis for calculating depreciation.

The adjustment in the consolidated statement of financial position should be calculated as follows:

Carrying amount of NCA at year end in the transferee's financial statements	X
Less: carrying amount of NCA at year end if transfer had not been made	(X)
Unrealised profit	X

This treatment is consistent with that of inventories

W-8: Prepare consolidation schedule

	P	S	Adj.	Conso.
Revenue	X	X	(X)	X
Cost of sales – Per Q	(X)			
– PURP (seller's books)	(X) or	(X)		(X)
Expenses – Per Q	(X)	(X)		
– Goodwill impairment (if any)*			(X)	(X)
Tax – Per Q	(X)	(X)		(X)
Profit		X		X

Profit allocated to:

Owners of the parent (β)	X
Non-controlling Interest [PAT of S x NCI%]	X
	X

W-9: Disposal of subsidiaries**i) With loss of control**

Sale proceeds		X
Less: Carrying value of subsidiary		
Net assets at disposal date	X	
Add: Goodwill	X	
Less: NCI	(X)	(X)
Gain/(loss) on disposal		X/(X)

On 1 October 2021, P Ltd. disposed off 40% out of the 70% equity shares of S Ltd. for GH¢220 million. P Ltd. credited the proceeds received to its "Investment in S Ltd." and debited "Cash". At this time, it was determined that the fair value of the remaining interest was GH¢180 million. Following the sale, P Ltd. could only exert significant influence over S Ltd.

After disposal date, any remaining investment, will be accounted for as per IFRS 9 or IAS 28, as applicable.

Say Equity accounting (for 30% holding),

FV of remaining interest at disposal	180.00
Parent's share of post-acquisition changes	3.00
Less: PUP on inventory (if any)	(0.90)
At reporting	182.10

Solution:

Fair value of consideration received	220
Fair value of remaining 30% interest at disposal	180
Less: Carrying value of S L	
Net assets of S Ltd. at disposal date (assumed)	390
Add: Goodwill at disposal (assumed)	48
Less: NCI at disposal (assumed)	(103)
Gain on disposal	65

ii) Partial disposal (no loss of control)

- No gain or loss on disposal is calculated
- No adjustment is made to the carrying value of goodwill
- The difference between the proceeds received and the change in the non-controlling interest is accounted for in shareholders' equity.

In Consolidated statement of financial position:

- Consolidate as normal with the NCI calculated by reference to the year-end shareholding.
- Calculate goodwill as at the original acquisition date
- Record the difference between NCI and proceeds in shareholders' equity as above.

In Consolidated statement of PnL and OCI

- Consolidate the subsidiary's results for the whole year.
- Calculate the NCI on a pro rata basis.

P Ltd. acquired 90% of S Ltd. in 20X2 when S Ltd. had retained earnings of £250,000. Goodwill was calculated as £45,000 using the proportion of net assets method to value the non-controlling interest. Goodwill has been impaired by £5,000 since acquisition.

P Ltd. disposed of a 10% holding in S Ltd. on 31 August 20X8 for £70,000; this has not yet been recorded in P's individual accounts. Capital - £100,000
Opening RE - £204,000 and Profit FY - £26,000

Solution:

Net asset at disposal:

Capital	100
Opening RE	304
Profit	24
	428

Adjustments required:

	DR	CR
Bank	70	-
NCI	-	42.80
Shareholders equity	-	27.20

NCI adjustments on disposal -	
NCI based on new share holding [428*20%]	85.60
NCI based on old share holding [428*10%]	(42.80)
NCI adjustments on disposal -	42.80

W-10: Reverse acquisition

IFRS 3 also addresses a certain type of acquisition, known as a reverse acquisition or reverse takeover. This is where Company A acquires ownership of Company B through a share exchange. (For example, a private entity may arrange to have itself 'acquired' by a smaller public entity as a means of obtaining a stock exchange listing.) **The number of shares issued by Company A as consideration to the shareholders of Company B is so great that control of the combined entity after the transaction is with the shareholders of Company B.**

In legal terms Company A may be regarded as the parent or continuing entity, but IFRS 3 states that, as it is the Company B shareholders who control the combined entity, Company B should be treated as the acquirer. Company B should apply the acquisition method to the assets and liabilities of Company A.

Example:

On 1 January 20X5, ABC's share capital was 10,000 ordinary shares, quoted on a public exchange, and the unquoted share capital of DEF was 24,000 ordinary shares. On that date ABC's shares were quoted at £20. ABC issued 30,000 new shares, and then exchanged them for the entire share capital of DEF. The fair value of DEF's shares on 1 January 20X5 was agreed by the professional advisers to both ABC and DEF as £62.

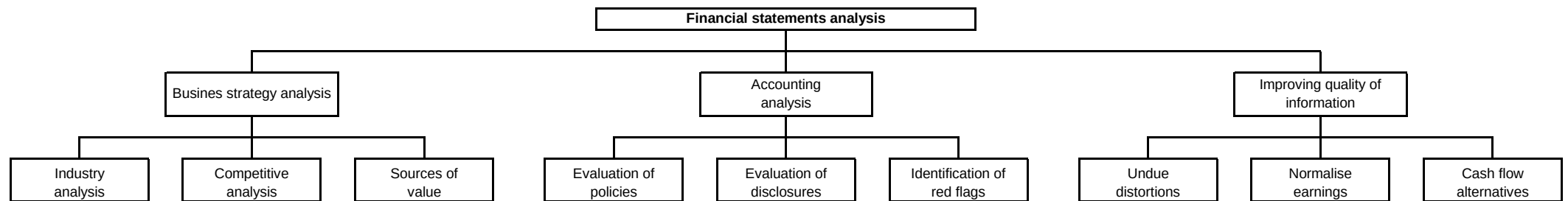
Solution:

After the acquisition, the relative interests of the two shareholder groups in ABC were as follows.

Shareholders	No. of shares held	% of total holding	Remarks
ABC	10,000	25.00%	As the DEF shareholder group controls the combined entities, DEF is treated as the acquirer and ABC as the acquiree.
DEF	30,000	75.00%	
Total	40,000	100.00%	

If DEF had issued enough of its own shares to give ABC shareholders a 25% interest in DEF, it would have had to issue 8,000 shares (ie, 25/75 of 24,000 shares). DEF's share capital would then have been 32,000 (24,000 + 8,000) and the ABC shareholders' interest would have been 8,000 so 25%.

The consideration for the acquisition is £496,000, being 8,000 DEF shares at their agreed fair value of £62.



Purpose of financial analysis

- Analytical procedures to identify audit risks
- Advising current or potential investor/lender
- Choice of accounting policies

Ratio analysis

Performance (profitability) analysis

- GP margin = GP/Revenue
 NP margin = EBIT/Revenue
 ROCE = EBIT/CE
 [Cpaital employeed = TA-CL]
 Net asset turnover = Revenue/CE
 Non-current asset turnover = Revenue/NCA

Liquidity analysis

- Current ratio = CA/CL
 Quick ratio = (CA-Inv.)/CL
 [CA = Current assets, CL = Current liabilities,
 Inv = Inventory]

Leverage analysis

- Interest covogare = EBIT/Interest
 Debt to Equity ratio = Net debt/Equity
 [Net debt = Int. bearing debt - cash equivalents]

Efficiency analysis

- Receivable collection period
 = (Receivable/sales)*365
 Payable payment period
 = (Trade payable/COGS)*365
 Inventory days
 = (Inventory/COGS)*365

Working capital cycle

Working capital

- Current assets - Current liabilities

Investor analysis

- Dividend cover = Profit/Dividend
 Dividend Yield = Divided/Share price
 PE ratio = Price per share/EPS

Changes

Item	Current year	Previous year	Changes in -	
			Amount	%
R	XXX	XX	X	X%

Creating commentary

When creating commentary about movements, it is useful to think in terms of a series of questions:
WHAT: Revenue has fallen
WHY: This is caused by the loss of a major customer to a competitor in the year
WHEN: The loss happened mid-year, and therefore the full impact will not be felt until the following year
SO WHAT: The company should consider why the customer has chosen to move to a competitor, and whether this is an isolated incident or whether other customers are likely to follow.

Generating ideas for your commentary

- i) External factors that may have an impact
- > The general state of the economy
 - > Interest rates
 - > Foreign exchange rates
 - > Government policies
 - > Changes in fashions/trends
 - > Changes in fashions/trends
 - > Competitor action
- ii) Internal factors can be split between
- > Business factors
 - > Accounting policy choices
 - > Ethics

Choice of policy

Standard	Choice of policy
IAS 16	Cost vs revaluation model
IAS 20	Netting off vs deferred income
IAS 40	Cost vs fair value model
IFRS 3	NCI valuation method
IFRS 9	FVTPL vs FVTOCI
IFRS 16	Finance lease vs operating lease

Industry analysis

The profitability of an industry depends upon the competitive nature of the industry.
 The degree of competition in an industry depends upon:

- > The degree of rivalry between firms within the industry
- > The barriers to entry within an industry
- > The substitutability of the industry's products
- > The price elasticity of an industry's products
- > The structure of the input markets

Competitive analysis

There are two main ways in gaining a competitive advantage:

i) **Low cost strategy** – which can be achieved through

- > Economies of scale
- > Economies of scope
- > Efficient organisation and production
- > Lower input costs

ii) **Product differentiation** – if a company can differentiate its product, it has an imperfect substitute and is less sensitive to price changes.

Sources of value

A firm can create value only if it is efficiently organised. To see whether an entity has created value, consider three tests:

- > Are transaction costs within an entity less than within the market?
- > Do economies of scope exist which can be used to reduce costs and create value?
- > Do mechanisms to reduce agency costs exist?

Ethical considerations

Analysing financial information is only useful if the information is reliable, so there is a need to consider if there has been any creative accounting.
 The preparation of financial statements may be affected by pressure to manipulate performance and/or position. Situations that may give rise to this pressure include:

- > Management being entitled to performance related bonuses
- > Need to meet investors' expectations (such as EPS)
- > Risk of breaches of loan covenants
- > Imminent disposal of the business
- > Floatation of the business
- > Tax avoidance

There are many ways to manipulate the financial statements for example:

- > Taking advantage of areas that require judgement such as inappropriate recognition/release of a provision/extension of assets' useful lives
- > Early recognition of revenue
- > Capitalisation of revenue expenditure to improve profits
- > Not writing off bad debts or providing for doubtful receivables to improve liquidity

Identifying red flags

- > Operating cash flows consistently out of line with reported profits
- > Reported income consistently out of line with taxable income, with inadequate explanation or disclosure
- > Ratios such as declining gross profit margins but increased net profit margins, inventories/receivables increasing more than sales
- > Accounting policies for risk areas such as; off balance sheet refinancing, revenue recognition, capitalisation of expenses, significant accounting estimates
- > Actual v estimated results out of line or exactly as forecast
- > Incentives such as profit related pay, management buyout, take over by another entity.

Financial statements analysis

Planning:

Topic	Marks	Time @	Total time
Analyse	9	2	18
Comment	6	2	12
	15		30

a) Restatement/adjustments entry

- i) Journal entry with very short explanation
- ii) Journal entry with very short explanation
- iii) Journal entry with very short explanation

Net Adjustment in PnL

Revenue	XX
Less: Cost of sales	(XX)
Gross Profit	XX
Less: Admin & other exps.	(XX)
Net adjustment	XX

Adjusted Balance sheet (Extract)

Non-current assets	XX
Current assets	XX
Total assets	XX
Equity	XX
Non-current liabilities	XX
Current liabilities	XX
Total equity & liabilities	XX

b) Financial statements analysis

Ratio	Formula	Current year	Previous year
Short-term liquidity			
1. Current ratio	$[CA/CL]$	1.9	1.3
2. Quick ratio	$[(CA - Inv - Prepaid)/CL]$	0.97	0.67
Long-term solvency			
3. Gearing ratio	$[Debt/Total\ asset]$	60%	55%
4. Interest cover ratio	$[(PBIT + Invst.\ income)/Interest\ payable]$	3 times	2 times
5. Debt service coverage ratio	$[EBIT/Debt\ service\ payment\ (i.e.\ Principal + Int.)]$	2.1 times	1.2 times
Performance ratio			
6. Gross profit margin	$[(GP/Revenue) \times 100]$	30%	25%
7. Return on asset	$[(Revenue/TA) \times 100]$	7%	5%
8. Return on capital employed	$[PBIT/(Debt + Equity)]$		
Alternative to 7 & 8, use DuPont: DuPont	Profit margin x Asset turnover x Equity Gearing $(Profit/Revenue) \times (Revenue/Asset) \times (Profit/Equity)$		
Efficiency ratio			
9. Cash conversion cycle	Account receivable period $[(Sales/Av.\ Receivable) \times 365\ days]$ (+) Inventory Period $[(COGS/Av.\ Inventory) \times 365\ days]$ (-) Account payable period $[(COGS/Payable) \times 365\ days]$	33.00 25.00 (28.00) 30.00	41.00 32.00 (36.00) 37.00
Investor ratio			
10. Earning per share	$[Net\ profit/No.\ of\ share]$	1.12	0.97
11. Dividend per share	$[(Dividend/No.\ of\ share)]$	1.00	0.80
12. Operating cash flow per share	$[Operating\ cash\ flows/No.\ of\ share]$	2.00	1.50

Additional issues:

Operating cash flows X

Investing cash flows X

Free cash flows X → The amount that can be repaid to the Debt providers & the equity providers

EBIT = Operating profit

EBITDA = Operating cash profit

Commentary:

Techniques & planning:

- If any corrections/adjustments require: Adjustment entry with very short description
- Time for overall commentary - 7 min.
- Time for overall recommendation - 3/4 min.
- Try to answer with reasoning analysis: Better/worse - due to -----
- Must mention the growth/decline in revenue - due to ----- and recommend required strategies

Short-term liquidity:

The current ratio has improved by 28 basis points, primarily due to an increase in customer credits. Although the short-term payment capacity has strengthened compared to the previous year, it still remains below an optimal level.

Recommendation: Optimize customer credit management to improve liquidity, ensuring it does not adversely affect sales volume performance.

Long-term solvency

Long-term solvency has improved from the previous year, driven by reduced reliance on external borrowing and stronger earnings. The gearing ratio declined due to lower debt levels, while increases in interest coverage and debt service coverage ratios reflect enhanced profitability and improved cash flow generation.

Recommendation: Maintain disciplined leverage and strengthen internal cash generation to support capital structure optimization and enhance long-term financial resilience.

Performance ratio

The revenue growth of the company has increased by 15% which signifies successful market penetration, pricing power, and/or volume growth, validating commercial strategy effectiveness. The performance ratio has improved YoY, primarily driven by an uptick in gross profit margin, indicating enhanced cost efficiency and stronger pricing power. DuPont analysis further reflects this growth, attributable to improved asset turnover and stable equity multiplier, signaling optimized operational efficiency and capital structure.

Recommendation: Focus on sustaining margin efficiency and further optimizing asset utilization to drive continued improvement in return on equity.

Efficiency ratio

Y/Y compression in net cash conversion cycle (CCC) signals enhanced working capital efficiency, driven by reduced days inventory outstanding (DIO), accelerated receivables (DSO), and/or optimized payables (DPO). This releases trapped liquidity, lowers working capital requirements, and boosts ROIC/ROE through accelerated cash generation. The key concentration area remains on maintaining tight working capital controls to ensure liquidity optimization and operational agility.

Recommendation: Sustain CCC discipline via supply chain digitization and rigorous receivables/payables governance to compound FCF efficiency.

Investor ratio

Concurrent EPS, DPS, and OCFPS growth demonstrates robust earnings power, shareholder return commitment, and high cash conversion efficiency. Surging OCFPS validates sustainable distributions (coverage) and self-funded growth capacity—key for total-return investor appeal.

Recommendation: Reinvest surplus OCFPS into high-return projects while sustaining progressive DPS to compound shareholder value.

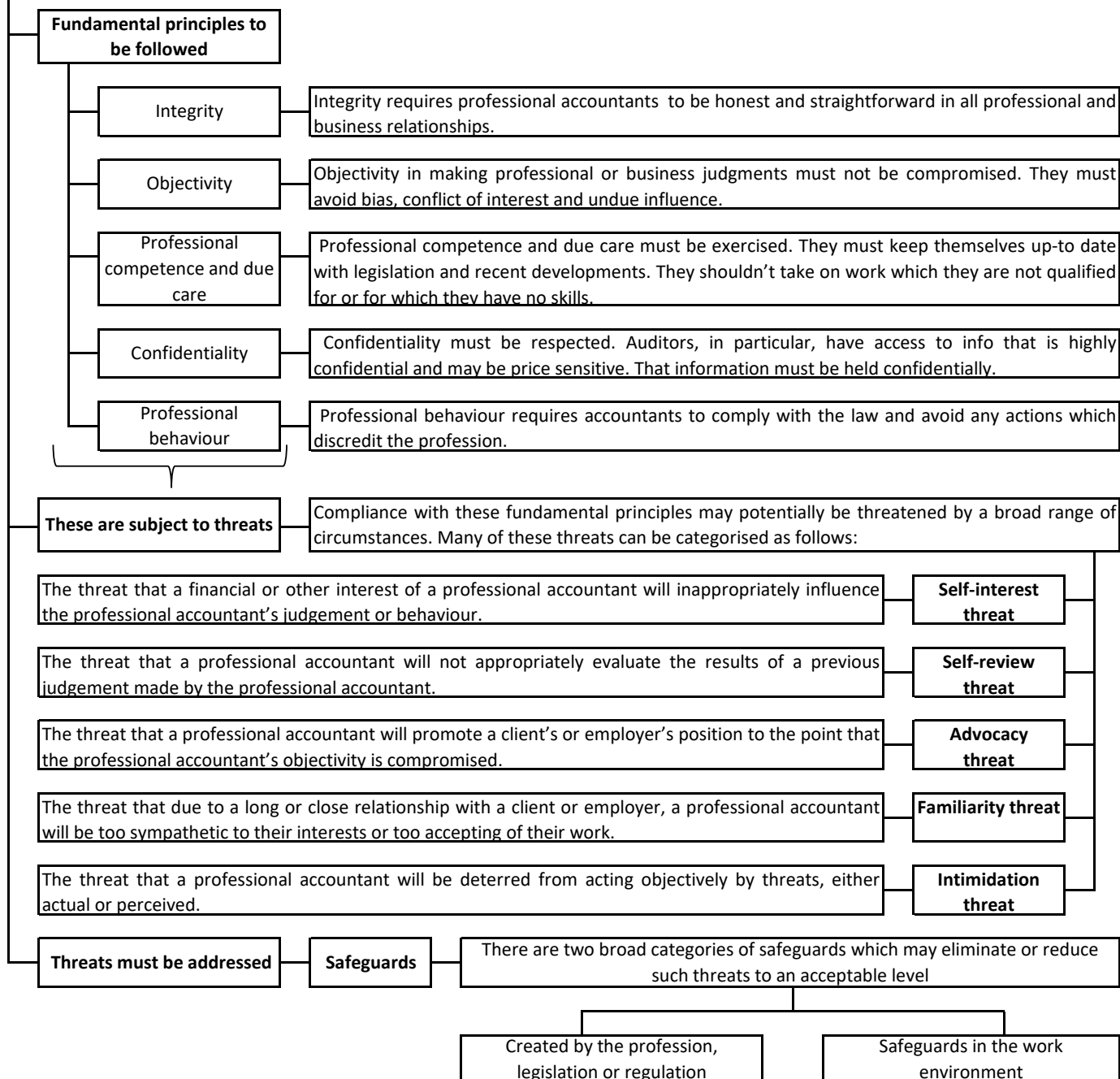
Overall recommendation: The company is financially stable, but it should keep improving efficiency and manage its capital carefully to support long-term growth. Extra cash from operations should be invested in high-return projects, while maintaining steady growth in dividends to increase shareholder value.

Area	Key Ratios	What It Shows	Red Flags
Profitability	GP, NP, ROA, ROE, ROCE	Returns & margin strength	Falling margin, low ROCE
Liquidity	Current, Quick, CCC	Short-term survival	High receivable days
Solvency	Gearing, D/E, IC	Leverage & debt capacity	IC <2x
Efficiency	Inventory, AR, AP, ATO	Operational control	Inventory ↑ faster than sales
Cash Flow	CFO, FCF, CFO/Profit	Earnings quality & sustainability	Profit ↑ but CFO ↓

Ethics

- The IESBA Code of Ethics for Professional Accountants (IESBA Code). The Bangladesh FRC adopted the International Code of Ethics for Professional Accountants including the International Independence Standards. Previously the IESBA Code was adopted by the ICAB.
- The ICAB Code of Conduct (Schedule C).
- The IESBA Code provides ethical guidance internationally for IFAC members. The ICAB Code contains additional guidance or requirements. Therefore, compliance with Bangladesh FRC Code and ICAB Code will ensure compliance with the IESBA Code. The Bangladesh FRC Code and ICAB Code will be referred to the Codes for the purpose of the Chapter.

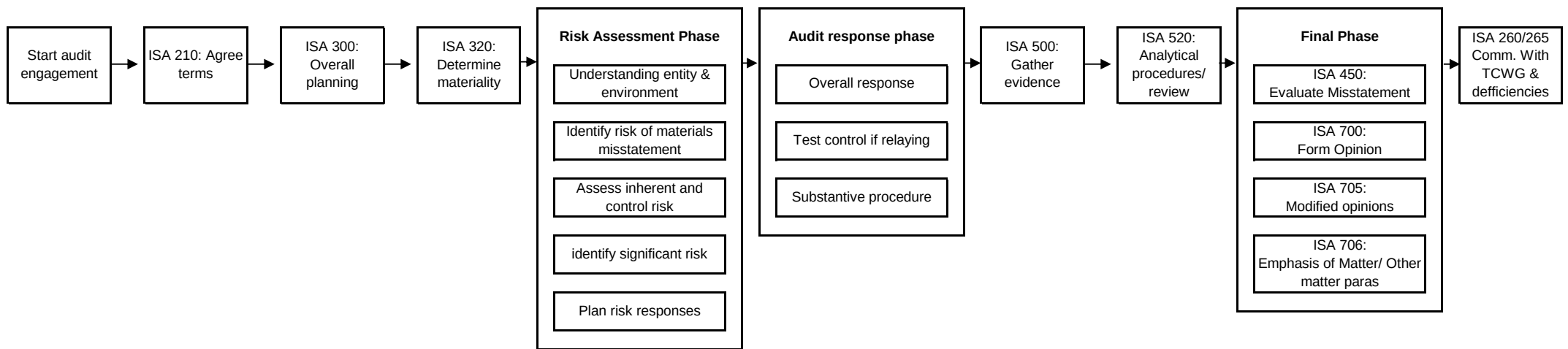
The conceptual framework approach to professional ethics recognises that there are:



Money laundering: Money laundering is a process whereby the proceeds of criminal activity are converted into assets appearing to have a legitimate origin. Dirty money is made clean-looking. The money typically comes from extortion, drugs, prostitution, illegal gambling, illegal arms sales and people-trafficking. Criminal property may also arise from tax evasion.

The process of money laundering can be described in the following three steps:

Integration	The movement of previously laundered money into the economy so that the money can be safely used. Examples include the purchase of assets such as expensive cars and art works and jewellery.
Placement	This is the process of introducing the money into a legitimate business activity so that its origins appear bona fide. Methods include: Blending funds, Gambling, and Currency smuggling.
Layering	Repeated transfer of money through different bank accounts and different countries in an attempt to conceal or camouflage its origins. That way, even if the placement process becomes known to the authorities it becomes difficult for them to trace the cash and recover it.



1. OVERARCHING OBJECTIVES

- To form a basis for opinion on financial statements.
- To direct audit effort efficiently toward areas of highest risk.
- To comply with auditing standards (ISA 300, ISA 315, ISA 330)
- To ensure the audit is effective, efficient, and timely

2. KEY INPUTS (Pre-Planning)

- Client Acceptance/Continuance procedures
- Understanding the Entity & Its Environment (ISA 315)
 - *Industry, regulation, external factors*
 - *Nature of the entity (operations, ownership, governance)*
 - *Entity's objectives, strategies, related business risks*
 - *Measurement & review of financial performance*
 - *Internal Control (Preliminary understanding)*
- Terms of Engagement (Agreed with management/TCWG)

3. AUDIT PLANNING (ISA 300)

- Developing an Overall Audit Strategy
 - *Scope, timing, direction*
 - *Resource allocation (team, expertise, budget, timing)*
 - *Considerations of materiality, risk areas, locations*
- Developing a Detailed Audit Plan
 - *Nature, timing, extent of audit procedures (Risk Assessment Procedures, Further Procedures, Other Procedures)*
- Planning Documentation
 - *Overall strategy, audit plan, significant changes*

4. Materiality

- Overall:**
- What matters to users (usually 5-10% of profit)
- Performance:**
- Lower threshold (50-75% of overall)
- Specific:**
- For particular items (e.g., RPT)
- Revision:**
- Can change if new information emerges

5. RISK ASSESSMENT PROCESS

Step 1: Understanding entity

- Industry, regulatory, economic factors.
- Nature of entity, operations, ownership, governance
- Objectives, strategies, related business risks
- How management measures & reviews performance.

Step 2: Identify risk of materials misstatement

- **At Financial Statement Level** (Pervasive risks, e.g., management override, going concern)
- **At Assertion Level** (For classes of transactions, account balances, disclosures)
 - Identify what could go wrong (potential misstatement)
 - Consider why (inherent risk factors: complexity, subjectivity, change)
 - Link to relevant assertions (Existence, Completeness, Accuracy, etc.)
 - **Consider Fraud Risk** (ISA 240) at both levels
 - **Consider Significant Risks** (complex transactions, fraud, high subjectivity)

Step 3: Assess Risks

- Identify WHAT can go wrong (potential misstatements)
- Consider WHY it could go wrong (inherent risk factors)
- Link to Relevant Assertions (Accuracy, Completeness, Existence, etc.)

Step 4: Conclude on Risk

- Assess Risk of Material Misstatement (RMM) = Inherent Risk × Control Risk
- Categorize as Significant Risk (requiring special audit consideration).
- Documentation: Understanding of entity, IC, identified & assessed risks, significant risks, conclusions.

5. RESPONDING TO ASSESSED RISKS (ISA 330)

- Overall Responses (for Financial Statement Level risks)
 - *Emphasize professional skepticism.*
 - *Assign more experienced staff*
 - *Incorporate more supervision*
 - *Include more unpredictable audit procedures*
- Responses at Assertion Level
 - *Substantive Procedures: For all significant risks and if not relying on IC*
 - *Combined Approach: Tests of Controls + Substantive Procedures (if relying on IC)*
 - *Nature, Timing, Extent of procedures are responsive to assessed RMM.*
 - *Documentation of linkage between risks and responses.*

6. EVIDENCE GATHERING

- **Sufficient:** Quantity (sample size)
- **Appropriate:** Quality (relevance & reliability)
- **Sources:** External > internal, written > oral, original > copy
- Management Experts: Evaluate competence & objectivity
- **External > Internal, Original > Copy, Written > Oral**

7. Analytical Procedures

- **Planning:** Identify unusual relationships (risk assessment)
- **Substantive:** Test assertions (e.g., trend analysis)
- **Final Review:** Overall assessment before opinion
- **Expectations:** Develop, compare, investigate differences

ISA 240 (Fraud):

- Professional skepticism
- Fraud triangle (pressure, opportunity, rationalization)
- Management override of controls (always a risk)

Obtain Understanding of Internal Control (IC)

- **5 Components:** Control Environment, Risk Assessment, Information System, Control Activities, Monitoring of Controls
- **Purpose:** To evaluate design and determine implementation
- **Outcome:** Identify which controls are relevant to the audit for mitigating specific risks

8. REPORTING & COMMUNICATION

- **Unmodified:** Clean opinion
- **Modified** opinion [MAQ (Material-Adverse-Qualified) + Disclaimer]
 - **Qualified** : "Except for" (material but not pervasive)
 - **Adverse** : "Do not present fairly" (material & pervasive)
 - **Disclaimer** : "Unable to obtain evidence" (pervasive limitation)
 - **EOM/OM Paras** : Additional communication without modifying opinion

ISA 550 (Related Parties):

- Identify all related parties
- Substantive procedures if no controls
- Emphasis on business rationale

ISA 570 (Going Concern):

- Assess at least 12 months from reporting date
- Management's responsibility vs auditor's responsibility
- Modified opinion if material uncertainty not adequately disclosed

Accounting Estimates (ISA 540)

Identify Estimates → Evaluate Models → Assess Assumptions → Review Disclosures

Going Concern (ISA 570)

Identify GC Indicators → Review Cash Flows → Check Covenants → Evaluate Disclosures

Related Parties (ISA 550)

Understand Controls → Identify Related Parties → Test Transactions → Assess Disclosure

9. Communication with those charged with Governance

- Two-way communication: Planning, findings, difficulties
- Significant deficiencies: In writing (by report date)

Written Representations:

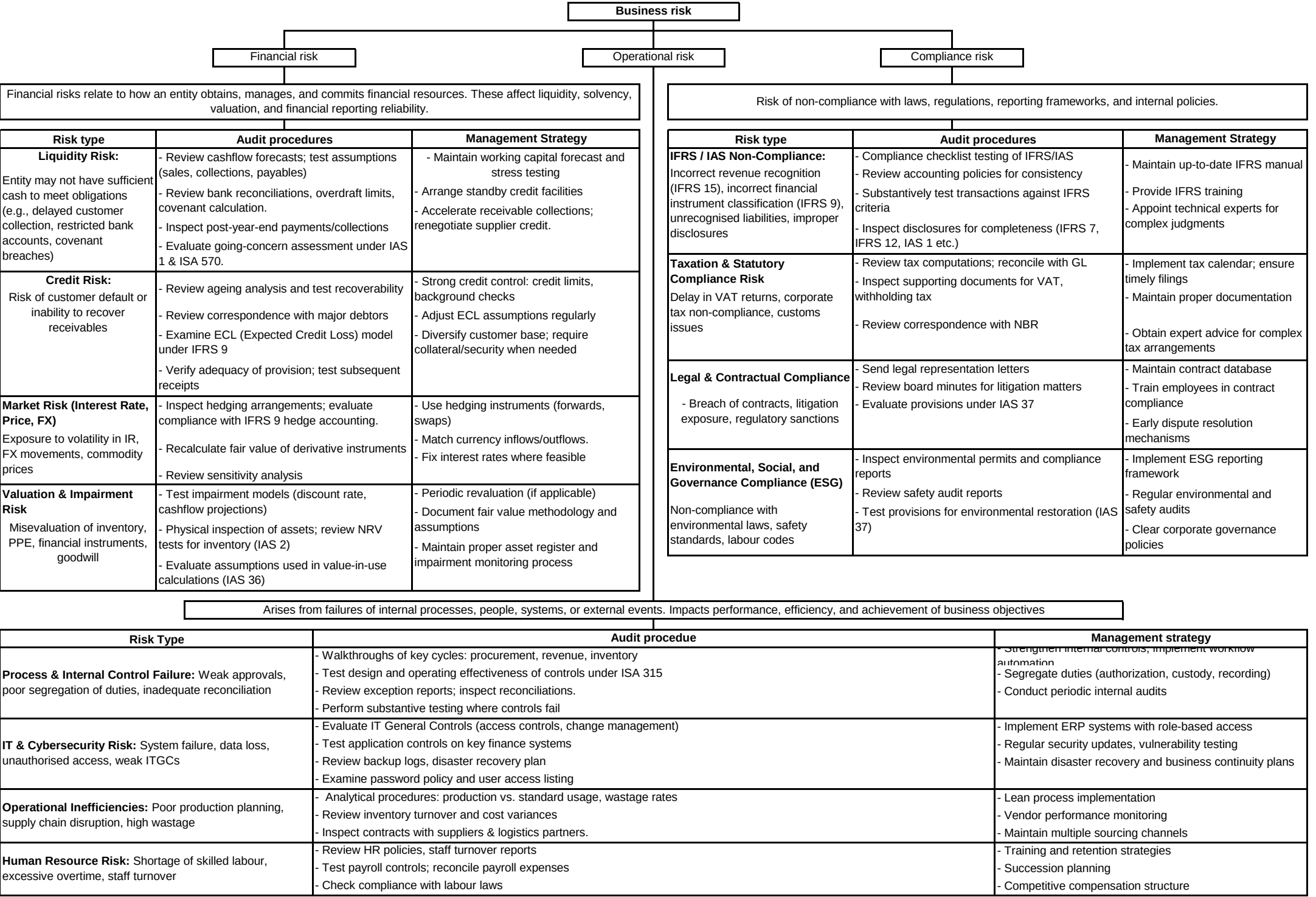
- **Not sufficient evidence alone**
- Management's confirmation of responsibilities
- Date = audit report date

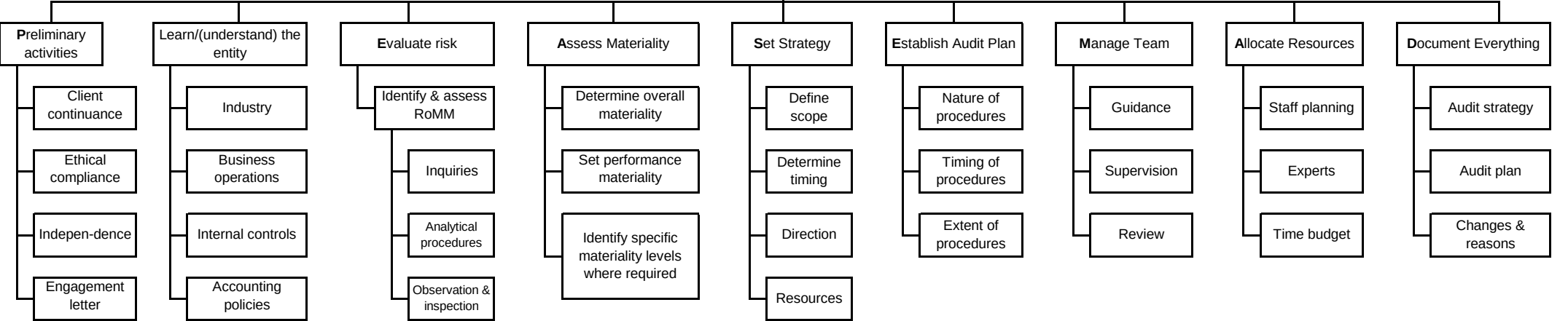
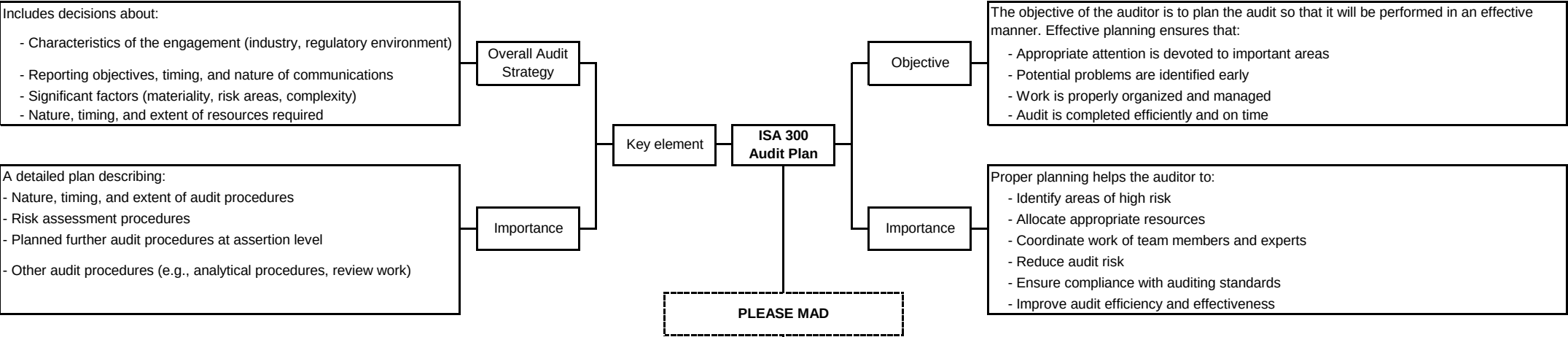
Audit Responses

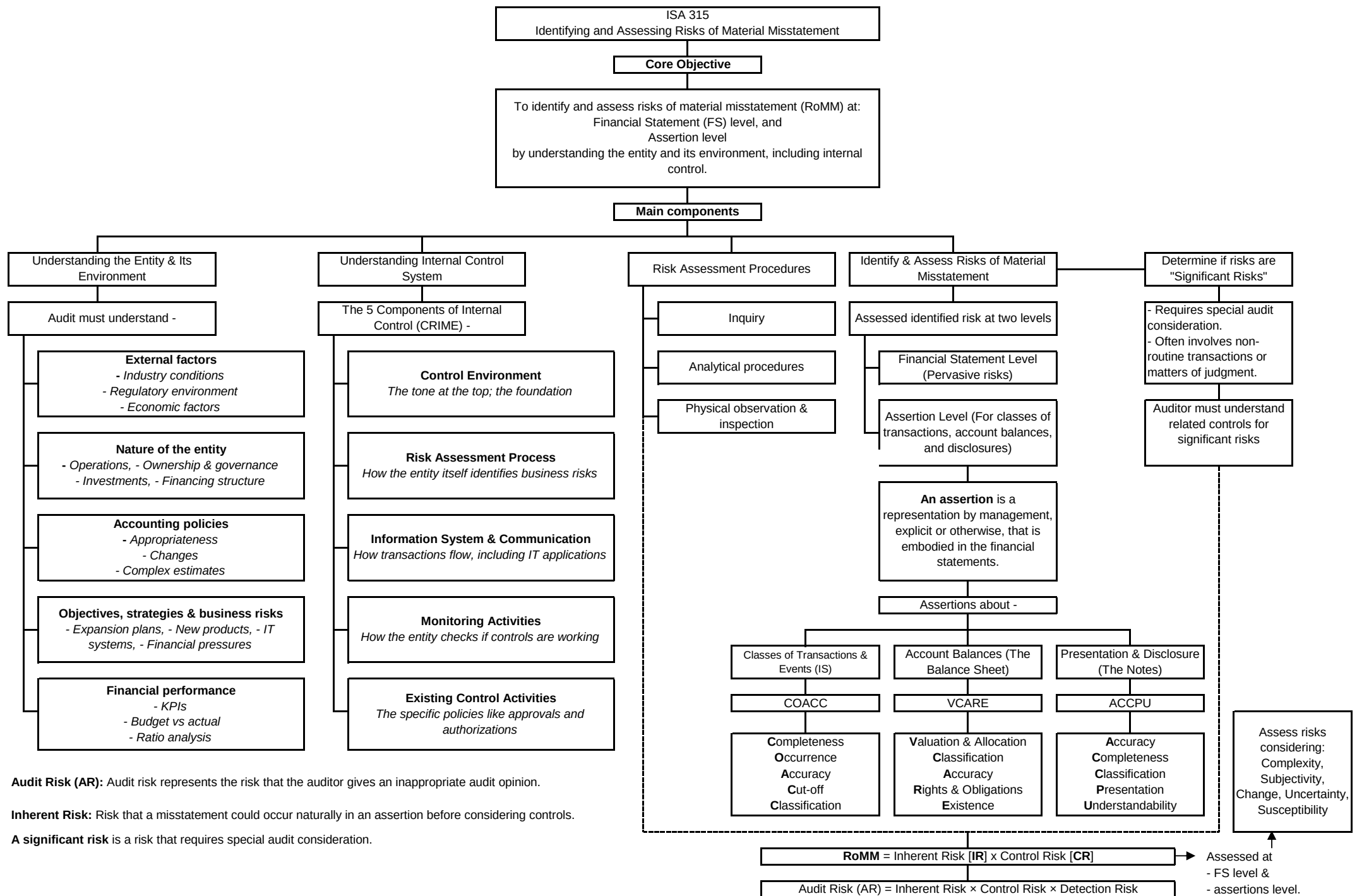
- Overall Responses: More skepticism, experience, unpredictability
- Substantive Procedures: Always for significant risks
- Tests of Controls: Only if relying on IC
- Linkage: Clear connection between risks and procedures

Statutory Audit: Planning & Risk Assessment – Memory Matrix

Area	Key point	Exam Memory Cues
Understanding the Entity (ISA 315)	Business model, environment, strategies, governance, internal controls	Know the business → Know the risks
Materiality (ISA 320)	Overall, performance & specific materiality; reassessed during audit	Materiality sets audit focus
Risk Assessment Procedures	Enquiry, analytics, observation, walkthroughs	RAP = EAO + Walkthrough
Inherent Risk	Complexity, estimation uncertainty, susceptibility to fraud	Natural risk (before controls)
Control Risk	Weak controls → higher audit work	Controls fail → Substantive ↑
Detection Risk	Risk auditor misses misstatements	Lower DR → More testing
Significant Risks	Fraud, complex estimates, related parties, non-routine transactions	Significant = Special attention
Audit Strategy	Scope, timing, reliance on controls, experts needed	Plan the whole mission
Audit Plan (ISA 300)	Procedures: controls + substantive tests; key audit areas	Detailed roadmap
Going Concern (ISA 570)	Assess financial stress indicators, forecasts, covenants	GC = Survival check
Fraud Consideration (ISA 240)	Professional scepticism, journal entry testing, revenue fraud risk	Revenue = default fraud risk







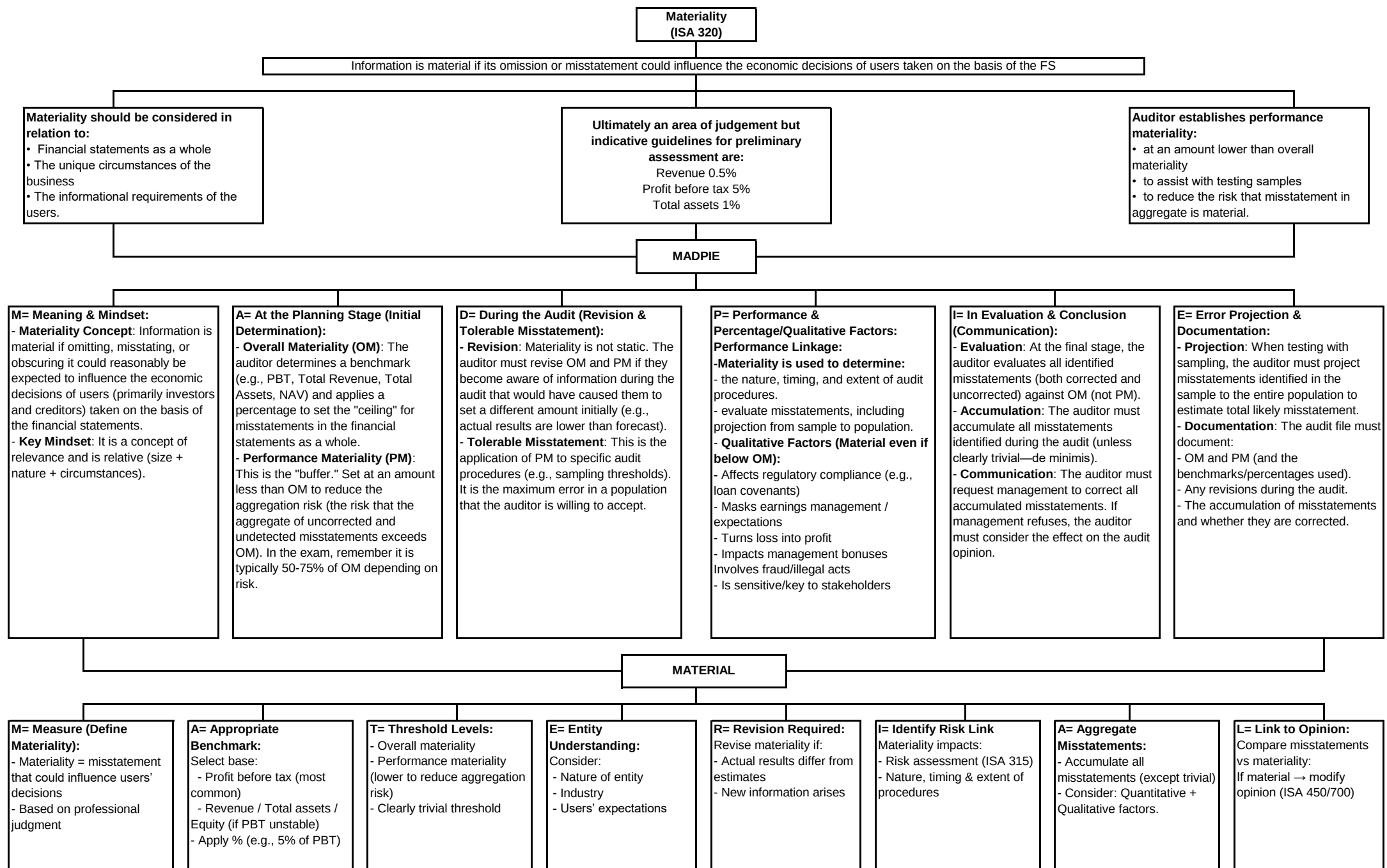
Audit risk & Procedures

IAS/IFRS	Quick recall	Assertion	Risk	Responses
Inventory (IAS 2)	Count + NRV	- Count - Ownership - Obsolescence - NRV - Timing	- Overvaluation - quantity errors	- To address existence, attend stock count and perform test counts - To address valuation, compare cost vs NRV - To address cut-off, test GRN & dispatch near year-end
PPE (IAS 16)	Depreciation	- Capitalization - Allocation - Physical existence - Depreciation	- Capitalizing expenses - incorrect depreciation	- To address existence, physically inspect assets - To address valuation, recalculate depreciation - To address classification, review capital vs revenue expenses
Impairment (IAS 36)	Discount rate	- Discount rate - Cash flow	- Overstated assets	- To address valuation, review cash flow forecasts - Test discount rate and assumptions
Provisions (IAS 37)	Legal review	- Litigation - Estimates - Guarantees - Assumptions - Liabilities	- Under/over provision	- To address completeness, review legal correspondence - To address valuation, evaluate assumptions - Check disclosure adequacy
Intangible Assets (IAS 38)	R&D split	Research vs Development	- Incorrect capitalization	- To address classification, verify R&D criteria - To address valuation, check impairment indicators
Receivables (IFRS 9)	Confirm + ECL	- Confirmation - ECL - Collection - Aging	- Bad debts - fictitious balances	- To address existence, send external confirmations - To address valuation, review ECL model and aging - To address completeness, trace from sales ledger
Payables (IFRS 9)	Search liabilities	Search unrecorded liabilities	- Understatement	- To address completeness, review post year-end payments - Reconcile supplier statements
Cash & Bank (IFRS 9)	Bank confirm	- Reconcile - Existence - Confirm - Observe - Note cut-off	- Fraud - misstatement	- To address existence, obtain bank confirmation - To address accuracy, perform bank reconciliation - Conduct cash count
Revenue (IFRS 15)	Cut-off	- Cut-off - Unrecorded/Overstated - Timing - Valuation - Accuracy - Recognition	- Overstatement - premature recognition	- To address occurrence risk, vouch sales invoices - To delivery notes - To address cut-off risk, test pre/post year-end sales - To address accuracy, recalculate invoices and discounts
Leases (IFRS 16)	Recalculate	- Lease agreement - Liability - Interest - Asset - Balance	- Misclassification - wrong liability	- To address existence, inspect lease contracts - To address valuation, recalculate lease liability - Ensure completeness of lease population

Use: Assertion → Risk → Response

Assertions (ER-CAC) = Existence, Rights, Completeness, Accuracy, Cut-off

“To address the risk of material misstatement in [assertion], the auditor should...”



* Materiality is determined at the planning stage based on professional judgment using appropriate benchmarks, applied at different levels (overall, performance, and trivial), revised when necessary, and used to evaluate identified misstatements and form the audit opinion. In the exam, when a scenario involves a misstatement, never conclude solely on the number. Always add the phrase: "I must also consider qualitative factors such as the effect on profit trend, regulatory compliance, and management incentives before concluding on materiality." This shows application of ISA 320, not just recitation.

